

HAADTHIP

Our Proud Achievements





Vision:

We are the leader in the beverage industry and committed to sustainable growth with the communities.



Mission:

1. To be a completely integrated beverage company and to maintain the leading position in the southern market, with revenue, sales and profits soaring on a continuous basis.
2. To continue to be the manufacturer, distributor and service provider of high quality products to customers and consumers, so that the Company is trusted as part of the South.
3. To ensure that the Company's personnel have integrity, perform their duties with loyalty and honesty; and have responsibilities to the organization and society as a whole.
4. To be an organization with good governance, through the creation and development of the type of personnel that the society needs; and taking part in the development and improvement of natural resources and environment in a responsible and sustainable manner.



Purpose:

Continually increasing profitable, sustainable unit case sales of our products by satisfying new and existing consumers through excellent service to and with our customers at an increasing return



Value:

We will create an organizational culture on the foundation of the following 10 values:

1. **Integrity:** To be loyal, honest, open and sincere
2. **Individual Initiative:** To be creative and to initiate new work ideas individually
3. **Customer Value:** To always focus on customers' needs and expectations and add value to their businesses
4. **Teamwork:** To work as a team and support co-workers in order to raise overall performance level
5. **People Development:** To create personnel of quality through continuous training and development process
6. **Mutual Trust & Respect:** To treat each other with respect and to be trustworthy
7. **Commitment:** To hold oneself responsible for and to perform the tasks as committed
8. **Always be part of the South:** To be responsible for the society and environment in order to leave no impact to later generations
9. **Relationship Marketing:** To continue to strengthen the relationship with customers, consumers and government agencies of all levels
10. **Fun:** To have good balance between life at work and personal life, and to work happily on a daily basis





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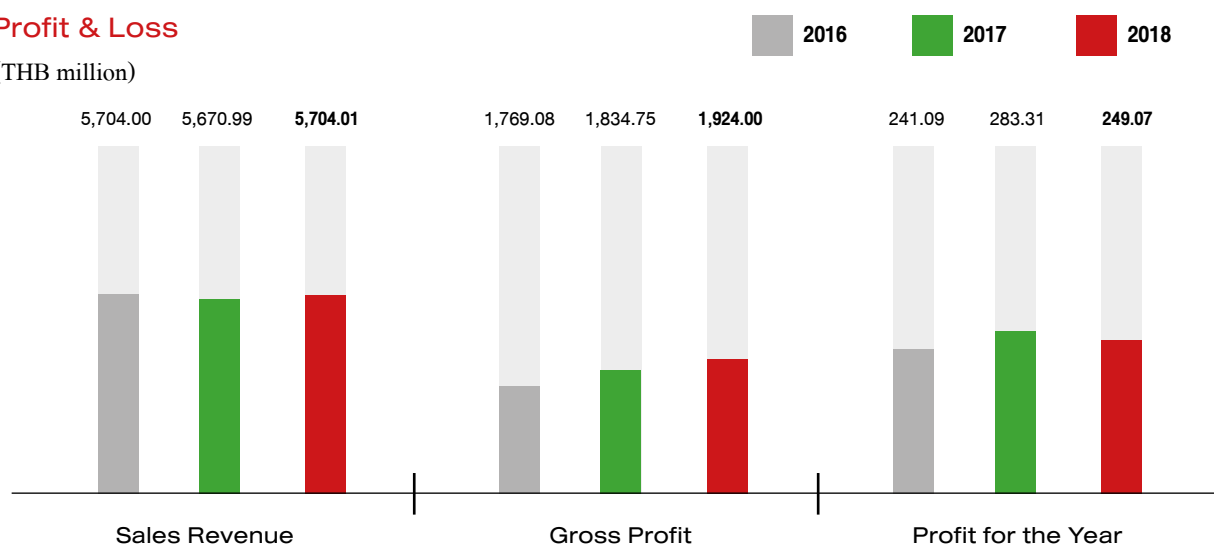
Financial Highlights

		2018	2017	2016
Statement of Income				
	(THB million)			
Revenue from Sale of Goods		5,704.01	5,670.99	5,704.00
Cost of Sale of Goods		3,780.01	3,836.24	3,934.92
Gross Margin		1,924.00	1,834.75	1,769.08
Total Revenue		5,722.70	5,690.86	5,732.07
Distribution Costs and Administrative Expense		1,624.64	1,515.07	1,501.56
Net Profit Attributable to Owners of the Parent		249.07	283.31	241.09
Statement of Financial Position				
	(THB million)			
Total Assets		4,757.80	4,609.24	4,708.24
Total Liabilities		2,045.52	1,943.99	2,235.10
Total Equity Attributable to Owners of the Parent		2,712.26	2,665.24	2,473.22
Shares or Information about Common Shares				
Shares and Fully Paid-up Share Capital	(THB million)	199.22	199.22	199.22
Book Value per Share	(THB)	13.61	13.38	12.41
Earnings per Share	(THB)	1.25	1.42	1.21
Dividend per Share	(THB)	0.80 ^{1/}	1.00	0.65
Dividend Payout Ratio to Net Income	(%)	63.99	70.32	53.71
Share Price at the End of Financial Period	(THB)	13.90	20.20	19.00
Financial Ratios				
Net Profit to Total Sales Revenue	(%)	4.37	5.00	4.23
Return on Equity	(%)	9.26	11.03	10.00
Return Total Assets	(%)	6.41	7.29	6.29
Debt-to-Equity Ratio	(Times)	0.75	0.73	0.90

^{1/} The Board of Directors on 5 March 2019, approved the rate of dividend paid to the shareholders, which will be tabled for the 2019 AGM's approval on 24 April 2019

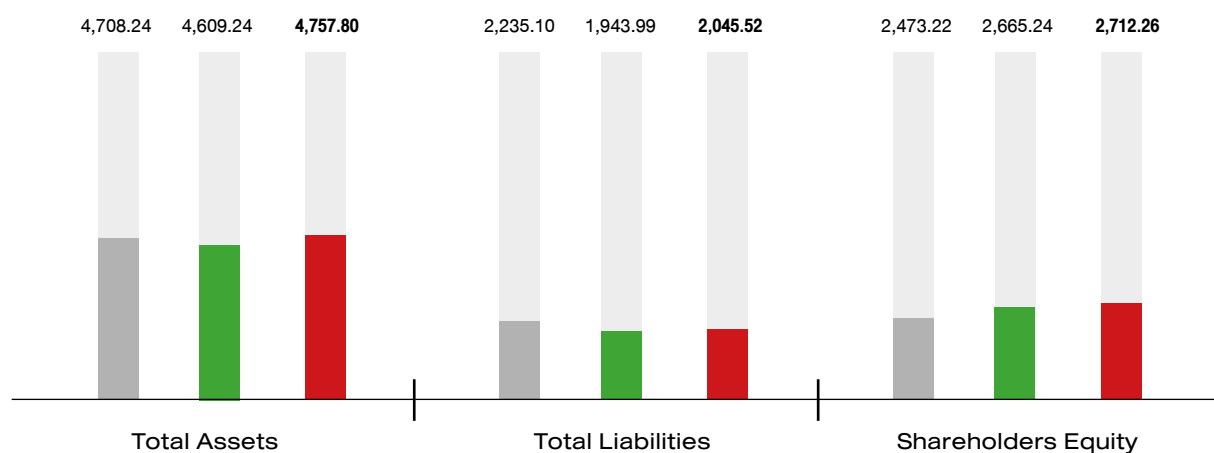
Profit & Loss

(THB million)

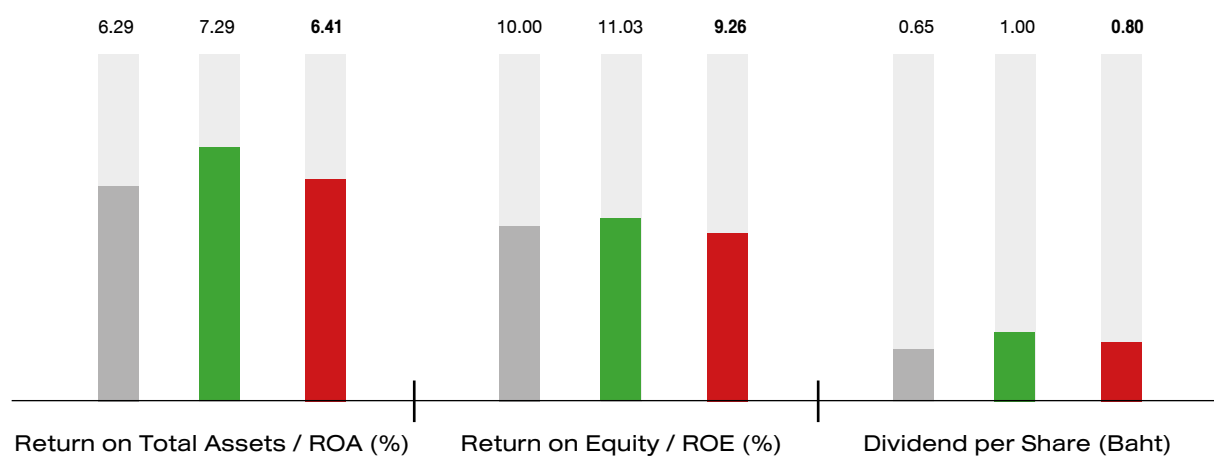


Financial Status

(THB million)

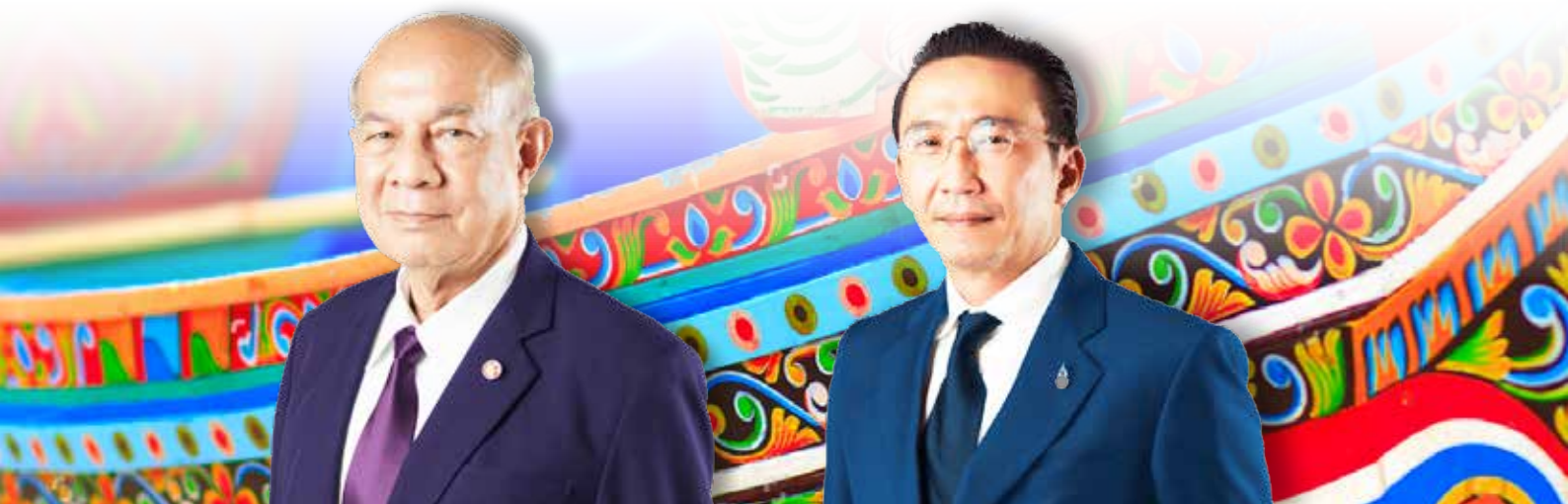


Financial Ratios





Message from the Chairman and the CEO



To Shareholders

In 2018, the overall picture of the economy indicated that the Country's economy had not been fully recovered. This also included the economy of the South, according to the huge plunge in the price of major economic crops of the South namely oil palm, rubber, coconut and white shrimp, all of which had been experiencing extremely and continuously low price. Moreover, tourism industry, one of the main driving forces of economic growth in southern Thailand, had also been adversely affected. A large number of Chinese tourists, the most popular nationality to visit the southern part of Thailand, had dropped due to the weakening of Yuan currency as well as the tragedy involving capsized boats in the sea of Phuket where over 50 lives were taken, mostly of Chinese national. The latter incident produced an impact upon tourism industry and connected industries such as hotel and restaurant industries and jewelry stores. In addition, the problem with illegal fishing, where the government had rolled out stringent measures to tackle the problem, had resulted in shutdowns of a large number of fishing operations. All of which had prevented the economy of the South to recover. The residents of southern Thailand had lost their income for spending, resulting in continuous decrease in the volume of retail sales. This had, inevitably, produced an impact upon the sales of the Company's products.

The operating results of the Company in 2018 in comparison to the year 2017 had shown the total sales of all products of 52.7 million unit cases, a slight increase of 1.77%. As such, total sales did not meet the set target of 55.6 million unit cases or a 5% increase from the previous year. The Company's revenue from sales of Baht 5,704.0 million showed a slight increase of 0.58% from the previous year, which was also below target. The reason was because consumers' purchasing power had dropped as per the reasons cited above. Nevertheless, the Company had managed to maintain its status as the leader of sparkling beverage industry of the South, with the average market share of 83.8% (Source: AC Nielsen) The Company's net profit from operation was Baht 249.07 million, a 12.09% drop compared to the operating results of the year 2017.

The Company's net profit as per the Consolidated Financial Statement of 2018 was Baht 249.07 million, equivalent to earnings per share of Baht 1.25, from paid up shares with the par value of Baht 1.00. Therefore, the Board of Directors had proposed for allocation of profits in the form of dividend payout to the shareholders of the Company at the rate of Baht 0.80 per share, totaling to Baht 159,374,400 or 64% of net profits, which was in accordance with the Dividend Payment Policy of the Company. The Company had already made interim dividend payment to the shareholders at Baht 0.38 per share

on 21st September 2018, so the additional dividend remained to be paid out shall be at the rate of Baht 0.42. The dividend payment shall be made on 21st May 2019.

On the social and environmental responsibility part: The Board of Directors has a policy to operate its business by recognizing the importance of social responsibility and determination to reduce environmental impact as a result of business growth and expansion; and also to ensure good operating results. In applying the policy established by the Company, it has been using electricity produced by Solar Rooftop, which is considered clean and pure energy, for the production process. Moreover, the Company has reduced the utilization of fossil fuel, and instead, it has adopted the use of electrical energy and LPG as fuel for forklifts; and NGV in place of petroleum for transportation trucks used for distribution of products in the south of Thailand.

The Company also helps to push towards sustainable development in handling the climate change situation, in order to achieve the objective set by the United Nations, via the Carbon Footprint Project of the Company and its products. This project has been established in order to help reducing the global warming effect resulting from the release of greenhouse gases into the atmospheric layers; and to manage and administer the resources.

Water, the main raw material used in the Company's production process, has also been entered into the Water Footprint Project. This is for the purpose of the calculation of the quantity of ground water needed for the entire life cycle of the products; and safely returning water to the community and the nature under the "RAKNAM" (Love Water) Project, by returning in the amount greater than the amount of water utilized for the production process.

Following the determination by the Company on the development of Environmental, Social and Governance (ESG) aspects in all dimensions and on a continuous basis, the Company had been accepted for evaluation on sustainable investment as per the format and requirements set by the Stock Exchange of Thailand in the year 2018. As a result, the Stock Exchange of Thailand (SET) had announced that the Company was selected as a listed Company with sustainable business; and 1 of the 79

listed Companies on the list of Thailand Sustainability Investment of the year 2018.

On the Anti-Corruption Policy part: In 2018, the Company's membership period of the Thai Private Sector Collective Action Against Corruption (CAC) had expired and it was time for renewal. The Company had arranged for and submitted the self-evaluation form in regards to the anti-corruption measures in order to propose for renewal of the membership certificate. As a result, the Collective Action Certification Committee had passed a resolution on 5th November 2018 to certify the Company and renew its membership of the Thai Private Sector Collective Action Against Corruption (CAC). The certificate shall last 3 years from the date that the Committee passed the resolution for approval of certification.

Future Outlook and Trend: It has been forecasted that the economy of the South is likely to remain at a similar condition to that of the year 2018 since the price of major economic crops, the main income for the farmers of the South, shall continue to dwindle, even with a support measure already issued by the government. This shall, in turn, present an adverse impact upon retail sales of the Company's products, since the residents of the South will be short of income, and hence, less able to spend. Election is now the only hope for Thai citizens, with the hope that democracy will help to boost the economy. Despite all this, the scorching heat of the summer shall certainly create a positive effect for the Company's total sales of the products. The Company has set a target for sales growth at approximately 6% from the year 2018. In addition, the Company shall try to control its expenses on a continuous basis, which means that the operating results of the year 2019 shall most likely be better than the ones in 2018.

The Board of Directors would like to thank all of the shareholders and stakeholders of all parties for the trust and support in Haad Thip's operations all along. Please rest assured that the Board of Directors, Management, employees and staff of Haad Thip Public Company Limited are determined and committed to the development and improvement of "Haad Thip," in order to remain a successful business in a sustainable manner.

Gen. 
(Charan Kullavanijaya)
Chairman

Maj. Gen. 
(Patchara Rattakul)
Chief Executive Officer



Board of Directors



Gen. Charan Kullavanijaya
Independent Director / Chairman of the Board



Maj. Gen. Patchara Rattakul
Chief Executive Officer/ Authorize Director



Mr. Prakit Pradipasen
Independent Director/
Chairman of Audit Committee



Mrs. Yupares Thiengtham
Director / Chairman of the
Nomination and Remunetation
Committee



Miss Smornluk Mahasmiti
Independent Director/
Member of Audit Committee / Member of
Nomination and Remuneration Committee



Mr. Philipp Hugo Gutsche
Director/
Member of Nomination and Remuneration
Committee



Mr. Johan Willem Maarten Jansen
Independence Director



Mr. Yanyong Maethapanich
Independent Director/
Member of Audit Committee / Member of
Nomination and Remuneration Committee



M.L. Dhisana Sritavaj
Director



Mrs. Pariya Chirabandhu
Authorize Director / Member of Nomination and
Remuneration Committee



Mr. Dumrongrugs Apibalsawasdi
Authorize Director



THSI

**THAILAND
SUSTAINABILITY
INVESTMENT 2018**





Report on Corporate Social Responsibility (CSR) for Sustainability



The Board of Directors of Haad Thip Public Company Limited has a policy to operate the Company's business with complete awareness of its responsibility to the society and environment, as well as commitment to generate a sound operating result, for the purpose of business growth alongside social and community development in a sustainable manner. The Company shall adhere to the principle of management with good moral principle, business ethics, respect to human rights; and determination to provide quality products and services while paying great attention to the environment and taking into consideration the interests of stakeholders of all parties. The Company shall instill in its staff to always be aware of their responsibility towards the society and environment; ensure the best use of resources; treat all consumers in an equitable manner; and comply with legal requirements and any other regulatory requirements or any related universal practices; as well as take part in community development continuously and in a sustainable manner.

1. Commitment to Fair Business Practice

The Company is committed to fair business practice and strictly abides by the law and other requirement set forth by regulatory agencies. The Company is also committed to operate its business by following the Code of Conduct, which has been put in writing as explicit guidelines and regulations for the directors, management and staff of all levels to follow, in order to treat all stakeholders such as shareholders, customers, business

partners, competitor, staff and employees with fairness and without seeking an opportunity to serve one's own interest that would be in conflict with the Company's interests.

The Company has established a policy and principles of conduct in regards to non-violation of intellectual property or copyright as part of the Company's regulations under the subject of the Utilization of Computer network, Information and/or Electronics Equipment Act (B.E. 2549), in line with all of the Computer related Crime Acts. Violation of or infringement upon such regulations shall result in the maximum penalty of employment termination and possibly prosecution.

The Company has a compensation measure for stakeholders in the case that damage has been inflicted upon the stakeholders as a result of the Company's violation of the legal rights of the stakeholders. The Company also provides an opportunity for notification of tips and clues or complains in regards to violation of the law or Code of Conduct through the Company's Consumers Information Center (CIC). The CIC shall act as a center to receive news and information and consumers' complains. Following the notification of tips or clues, information shall be verified and then reported to the Audit Committee and the Board of Directors. The Company has also arranged for a communication channel for employees to submit their suggestions and complaints on any subject of constraints or frustration in the workplace. Every suggestion shall be taken seriously into

consideration, and an effort shall be placed in finding a solution to the problem that shall benefit all parties connected. This is also in line with the human rights principle and development of good working relationships in the workplace. The Company shall provide an opinion box and electronics channel for all staff and employees to have equal and inclusive opportunities to submit their opinions.

The Company has also established the guidelines in regards to appropriate manners of giving and receiving gifts, assets or any other benefits. The objective is to try and prevent any possible channel of fraud or reasons to decide to treat the giver in a way that may lead to inequitable compensation or unfair treatments to other related persons. However, the Company shall take priority in considering the intention of the giver and the receiver in this case in addition, the Company has established a set of guidelines for the roles and responsibility of the management and staff of all levels as well as the Code of Conduct and responsibilities towards all of the interested persons and stakeholders. Such guidelines shall be proven beneficial, as it shall set the standards of job performance for the management and staff on the basis of honesty and integrity. Performance shall be followed up on a regular basis to ensure conformity to the established regulations, with considerateness and respect for the rights of others who coexist in the same society.

Hence the company has communicated the aforementioned policies to its trading partners so that they have the same procedures in compliance with the company's policies. The company has also announced the same policies to staff for their acknowledgement and compliance.

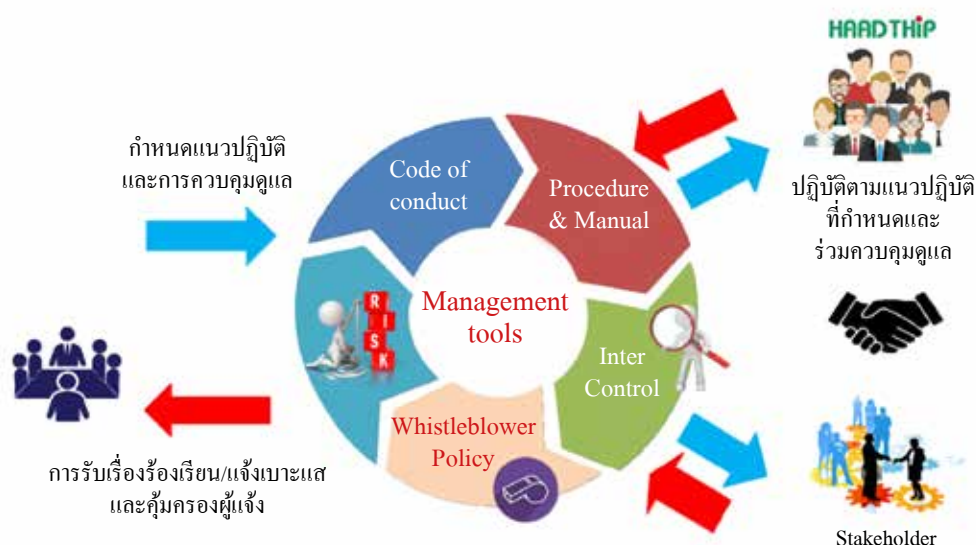
2. Respect for Human Rights and Fair Labor Treatment

The Company has a policy to conduct the business by abiding to the law and adhering to the principle of human rights and shall not support any businesses that violate human rights. The Company shall adhere to the principle of equitability in the management of wages, salaries, compensations and benefits and any other employment terms and conditions. The Company shall also recognize the rights to freedom in the gathering of work colleagues; not allow forced labor or child labor to exist; forbid unfair treatment; and proceed with employment selection with no discrimination in terms of gender, religion or political viewpoint. The Company had arranged for a suitable working environment; activities to provide opportunity to create bond, relationship and unity between the organization and employees. Such activities include Bidding Farewell to the Old Year and Welcoming the New Year Project; Haad Thip Family Bonding; Haad Thip Family Bonding Through Merit Making (Pornpin Production Plant); Children's Day gift-giving to employees' children; 7th "Haad Thip Cup" Petanque competition for senior citizens for the year 2018; "Baan Pru Games" sports contest; "Super Songkran for Relationship Building," Promotion of Morale and Ethics Among Haad Thip Family; Lent Candle Offering of the year 2018; "Haad Thip Unity Cup" relationship building football match of the year 2018; Employees' Birthday gift-giving activity; Ror Jor Ror Yor Activity Day and Employee Retirement Day Activity. The activities had been carried out with an objective to create unity and harmony among the group of staff and build good relationship among employees from different work units.

The Company shall proceed in accordance with Labor Protection Act and Thai Labor Standard, as well as other related laws, regulations and requirements as follows:

2.1 Hiring Procedure: Appointment, transfer, compensation and welfare payment shall be carried out in an equitable manner and in accordance with the principle of impartiality and moral principle. Employees shall be compensated with the rate higher than minimum wage rate, and shall have the opportunity to advance in their career according to their knowledge, ability and performance level. All employees are readily informed about the Company's Compensation and Fringe Benefit Policy from the first day of employment as it is started in the Employees Handbook; and from the new staff orientation program.

2.2 Welfare / Fringe Benefit: Medical treatment and safety are considered the Company's responsibility, to ensure the welfare of its employees and maintain the right, safe and sanitarian environment of the workplace. The Company shall strictly abide by all labor-related laws, and make the welfare of employees its priority. In 2017, the Company had established a Provident Fund as additional benefit for the employees, in order to provide additional financial security for the employees in the form of retirement savings. The program started off applying only to employees with duration of employment with the Company of 1 year or more, with employee's contribution at 3% and the Company's (employer's) contribution at 3%.



2.3 Complaints / Whistleblowing: Haad Thip Public Company Limited has intended to perform business operation along the line of fairness and transparency, by adhering to the fact that it must be responsible to the society and all parties of stakeholder, as per the principle of good corporate governance, with the code of ethics as guideline and indicator to business operation. In order to operate in an equitable manner for all parties concerned, as well as show that the Company places utmost importance on verifiable transparency, the Company has, therefore, established the means for employees and staff to be able to report or provide information on any wrongdoings in business operation, be it in the area of financial transaction, conformity to the law, regulations, code of conduct or business ethics, via the provided channels for whistleblowing.

In order to build confidence among employees or whistleblowers, the Company shall ensure that such employees will not get into trouble, be harmed or affected in anyway by reporting or providing information on any wrongdoing. As such, the Company has established the methods and channels for whistleblowing or making a complaint on fraud and corruption as follows:

To report or provide information

It is considered the duty of the Company's employees and staff to report on any situation deemed unlawful, nonconformity to the regulations, code of conduct or business ethics. Employees or whistleblowers can choose to report or provide information in a safe and secured manner, under the policy and guidelines regarding the process of whistleblowing or providing information on behaviors considered unlawful and nonconformity to the regulations, code of conduct and business ethics in relation to the Company's working procedure and operation. The Company shall fully protect each and every whistleblower or reporter of the mentioned information, in such a way that the whistleblower approves and finds suitable for him/herself.

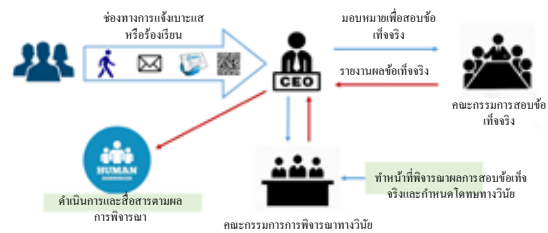
Recipients of complaints or information

A whistleblower can choose a channel or an individual trusted by the whistleblower to whom the whistleblower chooses to report or provide the information, one way or the other, as follows:

1. A supervisor level of employee in any level and any work unit on whom the whistleblower places trust;
2. The CEO who is also in the position of the Chairman of the Anti-Corruption Measure and Guideline Establishment Committee of the Company;
3. A Committee member, one or the other, of the Anti-Corruption Measure and Guideline Establishment Committee, as specified by the Company.

Whistleblowing or information providing methods can be done via the following channels:

Following the investigation, if the information has been proven to be true, the Company shall proceed as follows:



1. In the case that the information on complaint has put the Company in a position that is considered unlawful and nonconformity to the regulations, code of conduct or business ethics, the Company shall immediately put to rights the rectification, prevention and guideline establishment procedure, in order to prevent an impact upon the Company's reputation, image as well as status in all aspects.
2. In the case that the complaints made have created a negative impact or present harm upon a certain individual, the Company shall propose to the affected individual in a prompt manner, a suitable and equitable way to relieve the damage.
3. In the case that the whistleblower has been found guilty of bad intention, telling lies, wishing harm or ill faith, in reporting or providing the information, the investigation procedure shall be put to a halt, and the Company may proceed with disciplinary action upon the whistleblower as a result.
4. The overall process should be completed within 30 days. In the case that more time is needed, the investigator must issue a sound reason to prove the case.

Protection for whistleblowers or information providers

1. Regarding related information and information that may present an impact upon the whistleblower or information provider, the Company shall treat

such information as confidential. In the case that it is necessary for the information to be disclosed, the Company shall disclose only as necessary, by taking into consideration safety of and harmful impact upon the information provider or related individuals. All related individuals from each and every step of whistleblowing information must keep the information confidential without disclosing it to any others. Violations of this rule shall be regarded as serious disciplinary offences.

2. Whistleblower shall be protected in an appropriate manner, and shall not have to encounter such cases as demotion, work suspension, threat, distraction to daily operation, termination of employment, or any other actions regarded as unfair treatment to the whistleblower. The information provided by the whistleblower shall be kept confidential, with no piece of information disclosed to non-related parties, except for the case where it is necessary to disclose the information as stipulated by the law.
3. In the case that the whistleblower finds him/herself in an unsafe position or may be put in harm's way, the whistleblower may urge for a suitable protection measure for him/herself from the Company. On the other hand, the Company may establish a protection measure without an urge or request from the whistleblower, for the case that is likely to put the whistleblower in harm's way or unsafe position.
4. An employee who treats a fellow employee in an unfair or inappropriate manner or cause damage to another employee as motivated by the fact that the latter employee had filed a complaint, provided information or whistle-blown regarding fraud, or nonconformity to the law, rules, regulations, code of conduct or business ethics, including the fact that a lawsuit may be filed, a witness called upon, deposition may be made, or cooperation with the

court or other government agencies is needed, shall be regarded as serious disciplinary offences and shall be punished.

5. Individuals who have been troubled, harmed or negatively affected, the damage shall be alleviated by means or procedure that is suitable and fair.

2.4 Knowledge and Ability Development for Employees:

The Company provides inclusive opportunities of employee development and training, both on and off premise, and on a regular basis. For example, the Company has provided educational sessions to its employees on various topics related to each employee's job, in order to develop their skills, vocational ability, technological knowledge, knowledge on domestic and international laws, as well as regulations and requirements. The intention is to improve employees' performance efficiency through implementation of their acquired knowledge and skills, and also to stimulate and create teamwork and maintain good relationships among work colleagues through training programs as well as activities organized on premise.

2.5 Occupational Health and Environment:

The Company has a policy in regards to safety, occupational health and environment in the workplace, in realizing the importance of a healthy environment at work; believing that accidents, injuries, diseases and ailments inflicted in a workplace can be prevented through safety awareness and employees' cooperation. The Company is prompt to provide any resources for its employees to support and encourage safety in the environment of the workplace and while driving; mitigation of occupational accidents, ailments, diseases and loss; prevention of public hazard; as well as continuous improvement and development on this particular area. This policy shall be communicated to all of the employees of the organization, visitors, contractors, general public and any other interested parties for the purpose of acknowledgement.

Accident Statistics in the past 3 years:

Year	Total Cases of Accident (No. of Person)	By degree of severity			
		Off-Work (Person)	Able to Work (Person)	Total Off-Work (Day)	Total Able to Work (Day)
2016	5	5	-	12	-
2017	5	4	1	19	-
2018	6	6	-	27	-

The Company has proceeded and arranged for activities, both by the requirements of the law and by the Company's desire to train and provide knowledge to the employees in regards to accident prevention. For example, via the arrangement of the 4th generation of "Drive Safely Course"; the "Driving and Accident Prevention Course" for the Transportation Department; the "Safety Tips for Working in High Places Course"; the "Safety Tips for Working with Electricity Course" for employees working with electricity; the "Basic Fire Safety Training Course" and "Advance Fire Extinguishing Course". Moreover, the Company has installed the News Broadcasting System, mainly for the purpose of fire evacuation procedure. The Company has also arranged for appropriate safety gear and equipment for its employees; a Safety Committee; as well as professional safety officers, for example. In addition, the Company has promoted and supported activities among the employees to boost awareness on safety at the workplace on a regular basis. For example, the "5 Minutes for Safety" Project or the 13th "Safety, Health and Environment Week" Project of the year 2017; or "Driving Sales Trucks Safely" Campaign. All of which have been arranged to ensure that the employees and staffs have knowledge and understanding on the subjects of safety, health and environment in the workplace; and are reminded to always proceed with their tasks with caution, in order to reduce injury or illness from happening in the

workplace. The Company has been certified with OHSAS 18001 of the Occupational Health and Safety standards; and received an Honorary Plaque from The Federation of Thai Industries of Songkhla, for being a model company of a Happy Workplace.

3 Responsibility to Consumers

The Company is committed to fair business practice and the business operation that creates benefits for the consumers and clients, by giving heed to quality, safety and occupational health, from the production process all the way to the quality of product delivery and services that meets the level of international standards. Moreover, the Company has imposed a stricter management system responsible for the control of the production proceed as well as product verification and analysis. As a result, the customers and consumers have placed trust in the Company's product and service standards up until these days. The Company's principles of conduct are as follows:

- The Company manufactures products of high quality and standard, as it has always been strict in terms of safety and quality of products by the standard of The Coca-Cola Quality System that ensures the same standard worldwide. The Company has also been certified with the following standardized systems:

- Certified by ISO 9001:2008 that sets out the criteria for quality management system
- Awarded with a Gold Medal from “Technical Stewardship Excellence Awards 208 (TSEA 2008)” as the best manufacturer in Southeast and West Asian region, from a total of 30 manufacturers in 6 countries namely Thailand, Vietnam, Cambodia, Malaysia, Singapore and Indonesia
- Certified by ISO 22000 Food Safety Management, an international standard that specifies the requirements for a food safety management system
- The first manufacturer in Southeast and West Asian region (SEWA Division) to be certified by Q3
- The Process Focus Stage in the Quality Management System of The Coca-Cola Quality System
- Certified by the Standard for Corporate Social Responsibility, Department of Industrial Works (CSR-DIW Awards) in the year 2010 and certified by CSR-DIW Continuous Awards in 2011, by the Department of Industrial Works, Ministry of Industry
- The Company gives precedence to the operation under consumer-related laws, for example, Consumer Protection Act B.E. 2522 (1979), as amended by the Consumer Protection Act (No.2) B.E. 2541 as well as Act on Prices of Goods and Service B.E. 2542 (1999)
- The Company can communicate with its consumers through various communication channels as follows:
- The Company has a Consumer Information Center (CIC) to receive news and information as well as complaints from consumers
- The Company has a procedure to perform customer satisfaction survey (Voice of Customers Project)
- The Company has been marketing its products in a fair manner, and providing accurate, sufficient and up-to-date news and information to the customers. There is no marketing activities conducted with youth under 12 years of age in whatever communication channels.
- The Company respects and maintains customers’ confidentiality.
- The Company makes contact with its customers in a courteous manner; business partners and consumers place trust in the Company; the Company always ensures promptness in responding to customers as well as in delivering products to the customers.
- Educating consumers is one of the Company’s priorities, especially in regards to the Company’s activities, products and services. For examples, the Company has educated consumers on the subjects of consumer health and safety, consumer protection and the product labels.
- The company has appointed IMCI (Incident Management and Crisis Resolution) from the managerial members to analyses, make decisions and notify related parties so as to reduce effect upon the products or company.

4. Environmental Management

The Company truly realizes its responsibility for the environment, especially in regards to the possible impact on the environment as a result of the Company's business operation. The Company would like to express its intention and commitment in regards to the environmentally related principle through the establishment of an Environmental Management Policy in order to create a framework for its employees to perform their tasks under the established objectives and goal. This, ultimately, intends for the conservation of environment and to urge the management and staff to progress in the same direction



The Company had passed the standard for environmental management system and certified by ISO14001: 2015. In the year 2017, Haad Yai Production Plant had been awarded with a Green Industry Plaque of level 4, in honoring its achievement of the Green Culture level from the Ministry of Industry. The Company is determined to reach level 5 (Green Network) of the Green Industry, and has already set a plan together within the organization to build a network of green throughout its supply chain, by creating and enhancing relationship and bond through environment-related activities with all of the stakeholders throughout the entire supply chain as well as the community and consumers.

The Poonpin Plant has been constructed in such a way that makes it a prototype of the Green Factory that helps to conserve the environment. It is equipped with skylight roof to receive natural light; makes appropriate use of rain water, with a water quality control system installed to ensure acceptable water standards; equipped with a state-of-the-art waste water treatment system that saves energy during the operation; helps to conserve nature through conservation and planting of trees; and last but not least, its vetiver grass cultivation project has helped to prevent erosion of soil surface. The vetiver grass cultivation project to prevent soil surface from erosion has allowed the Company to become the first and only private company to have won the "Golden Vetiver Grass" award, with a Royal Plaque received as the winner of His Majesty King Bhumibol Adulyadej's vetiver award.

The Company has proceeded according to the policy it has announced, in accordance with the framework and guidelines below:

1. The Company shall proceed strictly in accordance with the following environmental laws:
 - Notification of Ministry of Industry on the subject of Determination of Particulates Emissions from Stationary Sources B.E. 2549 (2006)
 - Notification of Ministry of Industry on the subject of Disposal of Waste and Unusable Materials B.E. 2548 (2005)
 - Enhancement and Conservation of National Environmental Quality Act B.E. 2535 (1992)
 - The Energy Conservation Promotion Act B.E. 2535(1992)
 - National Energy Policy Council Act B.E. 2535 (1992)
 - The Groundwater Act (No.2) B.E. 2535 (1992)

2. To be determined to become the leader of beverage industry that places values and importance on energy conservation and protection of climate condition. For example, through the use of the new version of refrigerators that utilizes 50% less energy and is free of CFC substance, meaning that it is not harmful to the atmospheric layers and environment; the Carbon Footprint for Product and Carbon Footprint for Organization Projects; and energy management activities such as bicycle riding between office buildings, and putting on the “energy saving campaign” stickers
3. The Company is determined to make the most responsible and efficient use of water resources, as its ultimate goal is to return an equivalent amount of water used in the Company’s production process to the community and nature in a safe and sustainable manner. The Company is equipped with state-of-the-art waste water treatment system that treats waste water generated by the production process. The Waste Stabilization Pond System is an energy-saving system that utilizes natural resources for the treatment, for example, sunlight and water hyacinth, with aerobic and anaerobic decomposition of organic material. The Company has also provided support to various projects in order to meet the above objectives, for example, the Check Dam Construction Project, to preserve water resources and boost the potential of the local council and support the Khleng Yan basin conservation and restoration network for the 7th time in 11 years under the “RAKNAM” Project; and Vetiver Grass Cultivation Project, the Royal Initiative Project, at Poonpin Plant.
4. Recycle Bank Project : The Company has set up a Recycle Bank Project since the year 2009, which is opened for operation once a week, and is managed by the Recycle Bank Committee with the objectives as follows:
 - To instill good conscience in the employees to separate garbage and help to conserve the environment of the factory, their family and the community.
 - To help reducing the quantity of garbage that needs disposal to the least possible amount; and to increase the percentage of the Company’s recycled garbage to the target level.
 - To use the by-product from the creation of Recycle Bank to further enhance environmental knowledge among the employees.
 - To design a garbage management format, with the employees taking part in this operation.
 - To show involvement and responsibility to the society.

Anticipated benefits from Recycle Bank Project:

 1. An efficient management system
 2. Employees and their family members become aware of and participated in garbage separation activities, in order to help mitigating the global warming effect.
 3. Income-generating and a good way to build the habit of saving for members

5. Energy Saving Project:

1. The Air Compressor 7 Bar Replacement Project for energy saving: Since the 2 old Air Compressors 7 Bar of 18.5 KW (totaling to 37 KW), that produced the compressed air of 6.00 m³/min had become less efficient and produced less compressed air. As such, the Factory Department had improved the system by replacing the old compressors with 1 new compressor with VSD (Variable Speed Drive) system of 37 KW size that can produce compressed air at 6.8 m³/min. The new version has the ability to produce more compressed air by 0.8 m³/min, compared to the old version of the same size of 37 KW.

- Saved by 184,915 Baht
- Investment amount 716,900 Baht
- Investment subsidy in monetary form received from the Ministry of Energy for machinery improvement 104,000 Baht
- Payback period is 3.3 years

	Compressor of 18.5 KW (2 compressors)	VSD of 37 KW
Electrical Energy Utilization (KW/Year)	218,592	170,058
Energy Charge (Baht/Year)	832,835	647,920



2. Solar Energy Production Project: The Company has a policy in regards to energy, to appropriately develop the energy management system. The Company shall conduct its business alongside energy conservation, by promoting and encouraging utilization of clean energy produced by solar energy, through the installation of solar rooftop at Poonpin Production Plant. The objective is to help solving the global warming problem, which is the result of greenhouse effect.

The Company has established an annual budget for training and educational courses for employees in regards to the environment that take place on a regular basis. These courses include on-the-job Training as well as sending employees to participate in external seminars organized by other institutions or agencies, in regards to environmental issues. In 2018, the Company had organized training courses and sent out employees to participate in environmental seminars altogether 12 courses with a total of 475 employees participating in the events, and the total budget for the year was approximately Baht 98,750

5 Innovation and promulgation of innovative creations derived from business operation with responsibility to the society, environment and stakeholders

The Company has a policy to support the development of innovative creations with responsibility to the society and environment. The Company has been certified by ISO 14001:2004 since the year 2007, which is the highest of international standards in environmental management. The innovation on packaging that the Company has been applying, has enabled the Company to reduce the use of plastic by 1,700 tons per year. Moreover, the Company has been able to reduce energy consumption in the production process by 10% since the year 2012 and more than 99% of garbage and waste generated by the manufacturing plants have been through the recycled process, and hence, reused.

1. The Company has developed and created environmental-friendly packaging by way of reducing the quantity of raw materials and resources utilized in the production process. For example, reducing utilization of plastic in the production on PET products; reducing the use of aluminum in the production of 325ml can products; and using plastic wrap without having to use the paper trays.
2. Carbon Footprint Project: The Project has been ongoing ever since the year 2013 up until today, and the Company has already been certified and issued carbon footprint label by Thailand Greenhouse Gas Management Organization (Public Organization: TGO) for 58 SKUs (size and type of products). The certified products include sparkling beverages in PET bottles, Non-RGB glass bottles, RGB glass bottles, Minute Maid Splash, NamThip Drinking Water, and BIB. Moreover, both Haad Yai and Poonpin Production Plants have received a certificate from Thailand Greenhouse Gas Management Organization (Public Organization: TGO) in certifying the emission level of greenhouse gases. This year, Haad Yai Production Plant had reduced the emission of greenhouse gases by 1,115.34 tons of carbon dioxide.

3. The Company has developed and created the type of packaging that can possibly become valuable resources in the future, for example, 100% of it bottles and cans can be recycled.
4. The Company has developed the type of products that will help to conserve natural resources and environment. For example, Coca-Cola is the first manufacturer in Thailand to apply environmental-friendly innovation to the new packaging of Namthip Drinking Water. This innovation can help to reduce utilization of plastic by as much as 35%, compared to the previous packaging type. It is the most lightweight PET bottled product in Thailand and it has been designed to allow bottle twisting when the water has been emptied, in order to help reducing space and increase efficiency in the garbage recycling activity.





6. Participation in Community and Social Development

The Company has a policy to reinforce and strengthen the community by getting involved in “our community” for the purpose of sustainability. The Company shall perform its duties in the areas and localities of its business with total responsibility, be it to provide support, promotion or development for the quality of life, society and environment, so that the communities of the 14 provinces of southern Thailand to remain strong in a sustainable manner. This shall be succeeded through collaboration with all possible sectors/agencies and by means of the 3 fundamental areas of sustainability framework as follows:

ME: Enhancing personal well-being and active living for good health, for "me"

WE: Building stronger communities, for "our communities"

WORLD: Developing and protecting the environment even better, for "our world"

In 2018, the Company had participated in the promotion, support and development of the quality of life, society and environment, according to the 3 fundamental areas as follows:



ME: Enhancing personal well-being and active living for good health, for "me"

1. Sponsored “Cup of Hope” Project, the project that had been organized for the proceeds from donation to be used in providing support to the young generation on improvement of their skills in sports as well as providing sporting equipment to the youngsters in 14 southern provinces who had a dream and ability but lacked of opportunity. The project was organized in hoping that one day there will be young southern athletes who represent Thailand as part of Thailand National Team, with the ability to play in World Cup Football in the future.
2. Sponsored Football Clinic at Republic Phuket Stadium during 26-27 January 2018, with an objective to improve football skills and make the dream come true for the representatives of youth football league of the South, from the schools sponsored by Cup of Hope Project.



3. Haadthip Youth Cup to make southern children's dream come true in becoming a career football player: Haadthip had provided a special opportunity for the children from the 7th Haadthip Youth Cup of the year 2018, by taking the members of the football team of Yan Sue Mitrapab 147 School of Satun Province (Vice Champion) for an experience of a lifetime that could drive them to great success, at SCG Muangthong United Football Club for an out-of-the-classroom learning experience and for them to be aspired to get involved in sports.
4. Sponsored "Siam Kad Chuek, Troot Jean Muang Ta Kham" event in order to promote among the new generation the use of free time to benefit themselves, by doing some exercise like joining a boxing competition, on 16th February 2018 at Amphur Phunphin, Surat Thani Province.
5. Sponsored the PEA YALA FA Cup 2018 to win The Princess Maha Chakri Sirindhorn's Cup.
6. Sponsored the 16th Hatyai Hospital Foundation's Walk-Run for Health and Charity event.
7. Sponsored the 68th Royal Thai Army Sports Competition from 9-14 March 2018, with the logo of the games being 'fighting bulls' – an animal that is a real fighter from the land at the end of the axe; and organized a total of 23 types of sports competition that took place at Chira Nakhon Stadium, Amphur Hatyai, Songkhla Province.
8. Co-sponsored Thailand's Jetski Championship Competition, Round 1, for the year 2018 during 16-20 March 2018 at Paknam Chumphon Beach.
9. Sponsored "Youth Sailing Against Drugs Project," which was a project to promote good health and stamina, and to encourage the children of the officers of the Third Naval Area and Phuket's youth to use their free time during school recess to benefit their own health, and hence, to stay far away from drugs.
10. Haadthip and Family Cycling Club had organized a bicycle riding event in order to exercise and take good care of their health; as well as mangrove planting activity at Hat Jao Mai National Park in Trang Province, to help conserving natural resources and build relationship among Haadthip and the society.



WE: Building stronger communities, for "our communities"

1. Youth Development

- 1.1 Granted Baht 1,000,000 to Hatyai University in order to establish a Sec. Lt. Dr. Phairoch Rattakul Fund with an objective to promote and develop diligent youth with good behavior but lack of capital.
- 1.2 Co-organized Children's Day activity for the year 2018 at Wing 56, with gaming booths and prize giveaways.

- 1.3 Granted a playground through the 6th “Sharing Happiness with the Kids Project” at Ban Don Ngam School, Moo 3, Amphur Namderm, Surat Thani Province.



- 1.4 Organized the 14th “Sprite Music Contest 2018” that took place from 15-17 August 2018, at the Central Stage of Southern Agricultural Fair, Prince of Songkla University, Hatyai Campus. A total of 26 musical bands entered the contest, with Basilisk, a musical band from Udomsueksaphanitchayakan Technological College as the Champion of this year.



- 1.5 Arranged for the “Open Up to the Real World through Real Experience” Fieldtrip Project from 15-19 September 2018, by taking the members of the band, Basilisk, from Udomsueksaphanitchayakan Technological College (Champion) to enhance their musical experience at Faculty of Music, Silpakorn University.

- 1.6 Granting of scholarships:

- The children of the officers of Wing 56, the 4th Aviation Brigade, Air Force Operations Division Headquarter, Amphur Hoi Khong, Songkhla Province.
- Diligent children of Songkhla Naval Base, Second Naval Area, Songkhla Province
- The Hatyai Thammasakon School for the Blind and School for the Deaf, Songkhla Province.

- 1.7 Children’s Day Gift Giving Project for the children of the Company’s staff and employees, from newborn to 12 years of age, in the event of Children’s Day of the year 2018.

- 1.8 Produced a total of 10,000 notebooks for the purpose of fundraising for scholarships. The entire proceeds were granted to Housing Assistance Service, Children and Youth Organization for Peace in the South (Luukrieang Organization).

2. Public Charity/ Public Benefit

- 2.1 Granted an Automated External Defibrillator (AED) and its equipment for installation at Yensira Building, Amphur Hatyai, Songkhla Province, to aid the patients and their relatives.



- 2.2 “By your side at sad times; Bonding at happy times” to lend a helping hand to the southern residents affected by the flood incident, by visiting the several affected Amphurs in Songkhla, including some areas in Phatthalung, Trang and Nakhon Si Thammarat.

- 2.3 Participated in the National Labor Day event together with Songkhla Labor Protection and Welfare Office, by carrying out several merit making activities such as “Forestation, Crab Release, Learning about the Community Year 2” and “Blood Donation” at General Prem Tinsulanonda Historical Park, Tumbon Pawong, Amphur Muang, Songkhla Province.
- 2.4 Sponsored the 7th Charity Walk-Run “San Fun Pan Rak for Autistic Children Mini Marathon” event at Sanfunpanrak Foundation School, Amphur Hatyai, Songkhla Province.
- 2.5 The “Ror Jor Ror Yor” Activity Day of the year 2018: Since 12th November was the CEO’s birthday, the Company had set the date as the “Ror Jor Ror Yor” Day (Ruam Jai Rao Yoo or Together We Survive”) and had the Company’s employees gathered together to participate in the activities that would benefit the society and community on a yearly basis. In 2018, the activities had been divided into categories below:
 - Socially beneficial activities (temple, school and mosque improvement projects)
 - Blood donation

3. Culture and Tradition

1. Haad Thip has helped to organize activities to preserve the southern culture and tradition as follows:
 - 1.1 To preserve the culture and tradition of Songkran Festival: Employees and staff had a chance to pour water and be blessed by their respected seniors and elderlies, for good luck, good fortune and good life for them and their families on the occasion of the Thai New Year.
 - 1.2 Festival of the Tenth Lunar Month of the year 2018 in Nakhon Si Thammarat
 - 1.3 Made merit together through the tradition of Thot Kathin Samakkee festival by arranging and offering the Phum Kathin to Wat Khok Nao, Amphur Hatyai, Songkhla Province.

2. Arranged for the “Moral Principle and Ethics Promotion Project for Haad Thip Family” to instill moral principle and ethics among Haad Thip employees by means of Dharma; as well as promoted sufficiency living and meditation practice, in order for concentration and wisdom to be borne.
3. Lent Candle Offering Ceremony of the year 2018: The Company and employees together had the opportunity to offer lent candles and robes to the monks for the rainy season, for prosperity. It was an opportunity for the Company and employees to make merit together on an important Buddhist Holy Day, which would help to build good moral principle, ethics and unity among the employees and staff, and promote relationship building between the employees and the local community.





WORLD: Developing and protecting the environment even better, for "our world"

1. The 7th time in 11 years of the "Check dam Construction and Mountain Water System" Project at Khlong Yan river basin, Surat Thani, had been ongoing for the purpose of improvement of bountiful upstream forests and helping over 15,000 households of people living in the upstream, midstream and the mouth of the river to have water for drinking and utilization. The project was carried out under the "RAKNAM" (Love Water) Program, which was established by intention of Coca-Cola (Thailand) Foundation to join in and help with the management of water in the areas in need. The project also covers activities relating to conservation of water source; and supports new, initiative ideas and cooperation between the community, local public sector and non-profit organizations in the form of a triangle of cooperation for sustainability. The various communities had been encouraged to help planning and managing water resources from the beginning to the end of the process, from analyzing the problem to finding solutions and evaluating the results cooperatively. At present, the "RAKNAM" (Love Water) Program has proven beneficial for over 1 million Thai citizens of many communities around the country, both directly and indirectly. The Foundation has been proceeding with the project together with Utokapat Foundation Under Royal Patronage of H.M. the King; Department of Environmental Quality Promotion, Ministry of Natural Resources and Environment; Forest-Sea Foundation for Life; Khlong Yan Basin Community Organization; and other alliances. As for the beginning of the Check Dam Project at Khlong Yan basin, the project started when, in the past, upstream

forest of Khlong Yan was not as abundant and fruitful as today. Moreover, the local folks started to have a thought about forest restoration and conservation of natural resources within their own locality. As a result, the project to reinforce the potential of the local organization and the network of conservation and restoration of resources at Khlong Yan basin had initiated under the "RAKNAM" (Love Water) Program, and has been ongoing for 11 years today. Everyone has joined force in restoring the abundance and fruitfulness of the forests, for example, by constructing the Check Dam for the purpose of storing water for every household to have drinking water, water for utilization, as well as an area for wildlife sanctuary. Moreover, there is a water system for the mountain areas; there are volunteers to watch and monitor the basin from upstream all the way to the mouth of the river. Water resource conservation system as well as management of water within the community had thence become a natural way of life for the community, with a very strong network of community organization for conservation of resources of Khlong Yan basin.

Mr. Yindee Suwannachote (Uncle Thong), a local resident of Khlong Yan basin, said that he was very happy and so delighted that Coca-Cola (Thailand) as well as all of the volunteers have come to help and support the community and show how to properly manage the water. He said if water were scarce, then the water assets and the upstream forests would no longer exist. But since there is now a check dam and a mountain water system that have been set up to manage the water properly, some types of fish that were almost extinct have returned to nature. He would like to thank everyone for helping the community and make everyone live together happily in harmony.





2. Marine Camp, a southern sea coral reef conservation project, is a project created from cooperation between the Company, Petra Islands National Park, Satun Provincial Administration Organization, Thai Marine Conservation Group and Reef Guardian Thailand. The objective of the project was to conserve and promote coral growing to replace the ones being destroyed, in order to restore balance to the marine ecological system in a sustainable manner. Moreover, the project was created to instill conscience in the young generation in the area, to admire and feel the need to cherish the natural resources in their locality, by joining force in growing the corals to replace the ones being destroyed, on an area of approximately 2,000 square meters in front of Baan Koh Bulon school, Amphur La-Ngoo, Satun Province. A total of 185 replacement corals were successfully grown. They were from 3 different coral types namely Stag-horn coral, Foliate coral and Branching Pore coral. This particular coral reef has been named “Haadthip Site,” for which the Company has intended to be a pilot nursery for coral restoration and conservation; to be a learning ground and a place to instill good conscience in the residents of Koh Bulon, regarding the need for coral reef and natural resource conservation. Moreover, coral reef serves as a home for young marine lives as well as beautiful, colorful fish of Bulon islands, as well as a natural preventive system for the coastline from enormous waves

3. Garbage Collection Project at the beach of Koh Bulon, Amphur La-Ngoo, Satun Province, to instill conscience in the people of the community to help keeping their own locality clean and reduce negative effect to the environment. From the activity, the Company had collected garbage in the form of plastic in the amount of 31.1 kilograms; glass and metal waste in the amount of 21.1 kilograms; biological waste in the amount of 9 kilograms; and hazardous waste in the amount of 1.8 kilograms. All of which to be taken care of and managed through a proper process.
4. Recycle Bin Project at academic institutions and communities: The Company had introduced this project to get the children to become alert and pay attention to the problem of pollution caused by waste, which is one of the environmental problems. Another objective was for the Company and academic institutions to build good relationships, and for the Company to instill good conscience among the people of the community, to increasingly recognize the significance and magnitude of the problem concerning waste and garbage. A campaign shall be organized to provide knowledge on garbage to the community as well as personnel from academic institutions who will participate in the project. The Company shall hold consultation sessions with the management of Ban Khlong Wa School and the management of Khohong Municipality in order to find a way to cooperatively drive this project to success.





Anti-Corruption Policy

Anti-Corruption Policy

The Board of Directors has placed great emphasis on business operation with good moral principle and responsibility to the society and all parties of stakeholder, as per the principle of good corporate governance and ethical performance by employees, with honesty, fairness and transparency.

In order to ensure that the Company and its personnel proceed in the direction of the established policy and guidelines, the “Anti-Corruption Measure and Guideline Establishment Committee,” on behalf of the Company, has carried out related activities with stakeholders in an explicit and substantive manner in order to get the essence of the message across to all people involved. Especially for the employees of the Company, that it must become a habit to perform daily operations in accordance with the set guidelines. All of which is for the purpose of sustainable development, that would then lead to sustainable business.

In 2018, the Company’s membership with Thailand’s Private Sector Collective Action Coalition against Corruption (CAC) had expired and it was time to renew the certification (the term of each membership period is 3 years). The Company has already renewed the membership by submitting self-evaluation on anti-corruption measure together with additional notes as a member during Q4/2018.

Involvement with Independent Organizations

In addition, the Company had participated in an activity arranged by the Bureau of Corruption Prevention in State Enterprise and Private Sector, Office of the National Anti-Corruption Commission. It was an honor for the Company to be the only representative of private companies invited to participate in the activity as a lecturer at the “Guidelines to Transparency ... to the New, No-Bribery Society” Seminar. The seminar took place on Monday 25th June 2018 at Grand Ballroom A, 5th Floor, Best Western Plus Wanda Grand Hotel, Chaengwattana Road, Nonthaburi.



Picture: The representative of the Company participating as a lecturer at the “Guidelines to Transparency ... to the New, No-Bribery Society” Seminar held on Monday 25th June 2018 at Grand Ballroom A, 5th Floor, Best Western Plus Wanda Grand Hotel, Chaengwattana Road, Nonthaburi



Knowledge and Skill Development for the Board of Directors

Knowledge enhancement and skill development for the Company's Investigation Committee and Disciplinary Action Committee is also essential since the two Committees were the driving force behind the establishment of the anti-corruption measure and guidelines within the organization. As such, in the year 2018, the Company had organized an internal training course on Fraud Investigation: Investigation and Report Writing Techniques, on 18th December 2018 at Songkhla Room. The training course was led by a lecturer and specialist, Mr. Pairat Srivilairit, Executive Vice President of Governance Office and Secretary to the Company at TISCO Financial Group Public Company Limited. In addition, the two Committees as well as personnel of the Internal Audit Office of the Company had been sent to participate in a training course with Federation of Accounting Professions of Songkhla Province on "80 Fraud Issues an Organization must Detect" on 24th November 2018.



Networking and Signing in Commitment to Collective Action Coalition against Corruption

On 11th December 2018, the Company invited companies and stores in the sales & marketing collateral business that were interested in becoming trade partners with the Company for a meeting. The meeting was held for the purpose of acknowledgement of the guidelines on submitting a bid and terms and conditions of Product Liability Insurance and Standards. The total of 54 companies and stores had participated.

On 12th December 2018, the Company held a meeting for transport operators to acknowledge the policy on Thailand's Private Sector Collective Action Coalition against Corruption and to sign in participation of the network. In addition, a review on safety and environmental policy as well as related laws and regulations also took place. There were a total of 25 participants at the meeting.

Following the campaign among listed companies and their networks on No Gift Policy, the Company has also participated in the campaign and announced to the public about this policy as well.



COMPANY PROFILE

Company's Name	:	Haad Thip Public Company Limited
Abbreviation	:	HTC
Registration Number	:	0107537002206
Registered Capital	:	199,218,000 Baht (199,218,000 ordinary shares @ 1 Baht par value) 199,218,000 paid-up capital, in total of 199,218,000 Baht
Nature of Business	:	Sparkling Beverage Industry

LOCATIONS

Head Office	:	87/1 Karnchanavanich Road, Baan Pru, Haad Yai, Songkhla 90250
	Tel :	(074) 210-008-18, (074) 210-025-33 (074) 209 -240-1, (074) 439 -644-53
	Fax :	(074) 210-006-7
Branch Office 1	:	36 Soi Ekamai 10 Yaek 2, Sukhumvit 2, Sukhumvit 63, North Klongton, Wattana Bangkok 10110, Thailand
	Tel. :	0-2391-4488
	Fax :	0-2381-2257
Branch Office 2	:	206/1 Moo 3, Tha Rong Chamg, Poonpin, Surat Thani 84130
	Tel:	(077) 357 – 385-89
	Fax:	(077) 313-640
Website	:	http://www.haadthip.com
Accounting Period	:	1 January - 31 December
Anti-Corruption progress indicator	:	Level 4

REFERENCE

Registrar	:	Thailand Securities Depository Company Limited 93 Rachadapisek Road, Dindaeng, Bangk 10440
	Tel :	0-2009-9000
	Fax :	0-2009-9991
Website	:	https://www.set.or.th/tsd
E-mail	:	SETContractCenter@set.or.th
Auditor	:	KPMG Phoomchai Audit Ltd. Empire Tower, 50 th – 51 st Floors Yanawa, Sathorn, Bangkok 10120
	Tel :	0 2677 2000
	Fax :	02677 2222
Website	:	kpmg.co.th



Nature of Business and Industry Trend

Haad Thip Public Company Limited is a sparkling beverage manufacturer, granted a franchise by the Coca-Cola Company (U.S.A), Atlanta, Georgia, as a producer and distributor of sparkling beverages under the trademarks of “Coca-Cola,” “Fanta” and “Sprite,” and other products owned by Coca-Cola Company such as Minute Maid, Aquarius, and Namthip, Drinking Water. The Company has 2 manufacturing plants located in Amphoe Haad Yai, Songkhla, and Amphoe Poonpin, Surat Thani, with the products distributed exclusively to the 14 southern provinces of Thailand namely Chumphon, Ranong, Yala, Krabi, Phuket, Phang-nga, Trang, Phatthalung, Surat Thani, Nakhon Si Thammarat, Songkhla, Satun, Pattani, and Narathiwat.

The products are manufactured by the Company, with some of the products purchased from a business partner in Bangkok for distribution. The products comprise of the followings:

1. Sparkling beverages that include Coke, Fanta and Sprite
2. Non-carbonated/ Still beverages that comprise of Minute Maid, Aquarius, and NamThip Drinking Water

The Company’s main source of revenue is derived from the sales of sparkling beverages in the south of Thailand. The Company’s revenue structure for the past 3 years is as follows:

Detail	2018		2017		2016	
	Million Baht	%	Million Baht	%	Million Baht	%
Sparkling Products	5,400.70	94.68	5,361.13	94.54	5,394.58	94.58
Non - carbonated products	303.31	5.32	309.86	5.46	309.42	5.42
Total Revenue from Sales	5704.01	100.00	5,670.99	100.00	5,704.00	100.00

INVESTMENT IN SUBSIDIARY COMPANY

Southern Rocks Company Limited

Location:

Head Office : 87/1 Karnchanavanich Road, Baan Pru, Haad Yai, Songkhla 90250

Tel. : (074) 210-008 -18 ext. 292 Fax : (074) 210-006-7

Branch Office : 206/2 Moo3, Tha Rong Chang, Poonpin Surat Thani 8410

Tel. : (077) 357- 385 Fax : (077) 313 640

Nature of Business : a manufacture and distribute plastic bottles and semi - finished plastic bottles and blowing plastic bottles service that has received investment promotion from BOI.

Registered capital : 970,000 ordinary shares at par value of Baht 100 per share, totaling Baht 97,000,000

Paid-up Capital : 595,000 ordinary shares at par value of Baht 100 per share, totaling Baht 59,500,000

Company’s Shareholding : 594,968 ordinary shares at par value of Baht 100 per share, totaling Baht 59,496,800 a direct shareholding 99.99 percent of the paid-up capital.

Business Structure



Future Industry and Competitive Environment

Major players in the soft drink industry in Thailand at present comprise of ThaiNamthip Ltd., a manufacturer and distributor of Coca - Cola products in all regions of the country, in exception of the 14 southern provinces covered by Haad Thip Public Company Limited; Pepsi - Cola (Thai) Trading Company Limited, a manufacturer and distributor of “Pepsi”; Serm Suk Public Company Limited, a manufacturer and distributor of “Est Cola”; Aje Thai Co., Ltd., a manufacturer and distributor of Big Cola, and 2 - 3 other small operators in the industry.

The soft drink industry in Thailand is an oligopoly by nature. It is considered difficult for a new operator to enter the industry because high level of investment is inevitable for the purchase of machinery, creation of demand, as well as construction of building structures such as stock warehouses, in addition to sales and distribution vehicles. The characters of the products in the market also do not differ much, and so from the consumers’ point of view, each and every product is substitutable. As such, each operator is making an utmost effort to differentiate their products from the others, be it the taste of the products, the image of the products or the image of the Company, especially through regular introduction of new products to the market. Sparkling beverage industry is currently a highly competitive industry, therefore, each Company is in need for adjustment and adaptation at all times. As a result, each bottler is placing great emphasis on continuous advertising and sales promotions throughout the year, in order to maintain exposure and brand recognition; create faith and trust in the products; and prevent consumers from losing interest in the products while creating

brand loyalty. Business operators would continue to create value added services or introduce the latest innovation on a regular basis, in order to stimulate and entice the market, with an objective to maintain and acquire more market shares through unique marketing strategies designed and executed by each company.

Sparkling beverages are seasonal by nature, with sales volume often higher during the summer than other seasons. As such, major players usually concentrate their tactics and marketing efforts through main media channels namely television media, social media and printing media in order to generate feedback from the consumers through sales promotion activities to reach as much consumer target group as possible. The Company’s strategy is to emphasize on the advertising campaigns to suit the target groups in each area as well as promote good relationships with vendors, community and society in all aspects, while also emphasizes genuine, prompt, reliable and consistent services, with the Coca - Cola standard and quality of products - the products that can be conveniently found and consumed anywhere and anytime, and come in various sizes to satisfy every consumer’s preference possible.

In 2018, sales increased at the rate of 1.77% and the company had had to make a great effort to maintain such continual growth because the company had had to face many challenges which bore effect upon sales volume. For example, in the 1st quarter, the company had had to deal with flooding in many areas, causing a loss of sales opportunity in the summer. These challenges also included factors like deteriorating prices of agricultural products and palm oil, EU tight regulations imposed

upon fishery industry as well as the government's policy which limited working areas for migrant workers, resulting in a lack of labour force in fishery industry. These factors had borne an effect upon a decrease in purchasing power on consumer products, including drinking products. Moreover, the overall Thai's economy had continued to slow down due to negative internal and external factors.

Nonetheless, the company had still maintained the number 1 market share at an average rate of 83.8% (Source: AC Nielsen) in the soft drink segment in the southern region, a slight decrease in comparison of that of last year.

It has been forecasted that, for the overall picture of sparkling beverage in the year 2018, growth shall be seen through the use of additional marketing strategies to increase satisfaction among core consumer groups, namely individual consumers and community, traditional trade (TT) consumers, wholesale / indirect consumers and modern trade (MT) consumers.

For individual consumers and community, emphasis shall be placed on the addition of new products such as healthy beverages, to increase variety for the consumers. The Company shall also create trust in the products by means of product quality control, alongside an effort to mitigate pollution created by the production process. In addition, the Company shall continue to establish and maintain close relationships with customers, in line with the "Haad Thip alongside Southern Folks" concept, by means of CSR activities and provision of support to various activities inclusive of charitable activities.

As for traditional trade (TT) customers, the Company's objective is to increase efficiency in the management of sales and distribution of products to the market, in order to increase the number of vendors while maintaining the existing customer base. To achieve the objective, the company will develop a procedure to systematically collect accurate and updated customers' data, and set up EDS (Every Dealer Survey) Team to survey all shops including those unrelated to the company in order to search for potential customers.

The company will develop a new sales management system call "Pre-sell" and "Tele-Sale" to serve customers" and consumers" needs so that they receive service and product according to their needs in all target areas, to increase effectiveness of customer service, to improve marketing activities, not mentioning cost reduction of sales in the long time.

The Company has also arranged for the Logistic for Ex-Factory Project, which is a development and variation of product transportation and distribution method, through the method of direct transportation from the factory to a wholesale customer for the case of full-truckload order. This method can help to cut down the procedure of transporting the products via a warehouse/ branch, with an objective to meet the customers' requirements more instantly and to reduce the transportation cost.

In the case of Modern Trade customers (MT), the Company places the focus on team development, in order to increase service level and ensure readiness of products, to prevent the problem of stock shortage. Efficient supply chain management is the key, so the Company would work closely with the customers on business planning, in order to meet the customers' requirements in the best possible way. The Company has also focused on sales and distribution of new products through convenient store channel, to be in line with changes in consumer behavior.

In addition, the Company has developed and improved the in-house data management system by means of the HaadThip Improvement Project (HIP), to be able to manage all of the business processes and operational activities with SAP (System, Applications, and Products) system in a more efficient manner.

With ambition to improve continual effective management policies in all aspects, the company is confident that it will be able to progress to produce a better result than last year. In 2019, the company has set a sales target with an increase of 6% in comparison with 2018.



Elements of Risk

A risk is an uncertainty of an event that, when occurred, will present a negative impact upon the Company's accomplishment of its objective or target. A risk may be induced by both internal and external factors. The Company has a Risk Management Committee to take responsibility in the analysis and assessment of various risk factors, in order to establish the guidelines for the preparation of internal control strategy, for the purpose of reducing and limiting the level of risk to an acceptable level.

Risk factors associating with the Company can be summarized as follows:-

1. Raw material sourcing risk:

There is a risk that the quality of raw material is not in conformity to the requirement of the Company. Such risk occurs from the fact that each raw material supplier opts to focus on reducing the cost of raw material for the purpose of cost reduction and customer satisfaction. Such action may possibly lead to the quality of raw material decreasing to the level lower than the requirement set by Coca-Cola, as well as the risk of delayed delivery of the raw material. As a result, the Company has a plan to lower the risk level by cooperating with the same suppliers to mutually develop and improve the quality of raw material; and also to source new suppliers with potential and technological capability in improving the quality of raw material. Fluctuation of the price of raw material also presents another risk, but the Company has already planned to make advance purchase agreement with 2-3 suppliers, with the volume of purchase in accordance with the Company's forecasted volume of production.

2. Risk associating with water source for production:

Ground water is the main source of water used in the production process. The Company has managed the water source risk through the work of the Water Source Risk Assessment Committee, with an expert from Prince of Songkla University as a consultant. The Committee is responsible for the assessment

and monitoring of water source risk and forecasting the amount of water needed for production, by considering geographical, climate and hydrological condition. Moreover, consideration of legal risk, changes in the price structure as well as drawing up a risk management plan for the case of drought also play an important part. Especially for the purpose of management of water source in an efficient manner, and in a way that will not present an impact upon the Company's operation and nearby community.

3. Price Risk:

Since sparkling beverage is a category of product under close surveillance by Department of Internal Trade, Ministry of Commerce, a reasonable price increase is difficult.

4. Risk resulting from changes in consumer preference:

4.1 Changes in consumer preference according to the social trend towards becoming more health conscious have shifted consumers' attention to more healthy beverages such as milk, fruit juice, bottled water, mineral water, green tea, etc. The current trend towards healthier life has led to the fact that people are paying more attention to their health, and cutting down on the consumption of food and beverages considered harmful to their health. As such, sparkling beverage industry, which has been viewed as non - beneficial to health, has therefore, felt the impact.

4.2 Changes in consumer preference on product types to non - returnable products: Consumers now prefer to consume beverages in the form of non - returnable PET bottles or cans to returnable glass bottles, since non - returnable or one - way products are easily portable. At present, one - way products are sold mainly through channels such as modern trade and convenience stores, and have shown increasing sales volume on a continuous basis as a result of an expansion of an expansion of modern trade outlets, with the latter being the most popular among the current generation of consumers, Such changes in

consumer behavior have affected the Company's profitability, since returnable glass bottles generate higher profit per unit. At the same time, distribution of the type of products only shows a decreasing trend. Which is also a universal trend.

5. Human Capital Risk :

5.1 This is an element of risk associated with the policy and strategy in the planning of manpower, especially in association with the nomination and selection of personnel with qualification and attributes suitable for the positions. The risk is also associated with promotion of unsuitable personnel or ones with insufficient knowledge, ability and skills. All of which will present an impact upon the Company's strategic goals and their accomplishment. In order to manage this particular risk factor, the Company has performed the analysis and arranged for a human resource management plan as follows:

- Increasing appropriate personnel recruitment channels for each level of personnel. For example, for executive level recruitment, to use a website that is well-known among experienced personnel who are on the verge of changing jobs to a more challenging one with the possibility of career growth; or to recruit personnel in operation level from agencies in the area, and also by recruiting military personnel who have been discharged;
- Setting up an appropriate format and tool for the selection and recruitment of personnel to fill in a particular position in an explicit manner. Moreover, the interview technique used shall be on the basis of competency, so that the interviewer can train the new recruit to work on the assigned task in a competent and effective manner.
- Developing and improving the employee promotion system into a more appropriate, transparent and equitable one, with a plan to develop each and every personnel, and a clearer and more concrete succession plan.

5.2 There is also a risk factor associating with personnel development in order to become suitable for a particular position, especially to become a good leader of the organization. It is, therefore, imperative to evaluate the potential and strength of each employee, and try to develop and substantially improve such strength. On the other hand, employees with weaknesses in some area may present obstruction to their performance, and hence, their career advancement in the future. Therefore, it is crucial that the Company arranges for a personnel development plan, on an individual basis, by adopting such human resource development techniques as mentoring program, coaching program, etc. In addition, personnel development for each individual employee is needed in order for each employee to perform his/her task in a way that meets the Company's expectation and that performance evaluation can be applied to each employee. The ongoing actions and results shall help to reduce employee turnover rate, and employee satisfaction level shall increase as a result.

6. Risk Associating with Fraud and Offender:

This type of risk is usually associated with the operation part of the business and has been classified as asset-related fraud. For example, asset misappropriation or the act of using the Company's assets or Company's advances/ petty cash for own benefit. The Company has laid out the guidelines that shall be put to practice in dealing with fraud and offender risk as follows:

- The Company has set up a mechanism for monitoring, following up and whistleblowing;
- The Company has stipulated that every unit is to arrange for operation regulations and working procedure via E-document system of Document Control Center, Quality Department;
- The Company has arranged for investigation procedure for the investigation of fraud committed by employees, which shall be carried out by Investigation Committee and Disciplinary Action Committee;

- The Company has arranged for a training course on Ethics in Business Operation for new employees in order for every employee to strictly adhere to the Anti-Corruption Policy;
- The Company has been supporting anti-corruption-related activities all along. For example, through the arrangement of the anti-corruption logo contest; and promotion and commendation of employees with loyalty and honesty. As for employees who commit fraud, which is wrongful to their duty and the Company, the highest disciplinary action shall certainly be imposed upon such employees. Such disciplinary action shall be set as standard for all employees to acknowledge and understand clearly;
- With the leader of the organization setting a good example for all employees, trust and confidence will be built in the workplace, and the employees will fully and whole-heartedly cooperate in resisting corruption in the workplace.

7. IT System Risk:

Information technology plays a big part and is a very important system in any business operation today. The Company also places value on and promotes utilization of IT system in the management and administration of the Company as well as other operations. The Company has adopted the SAP system (System Applications and Products in Data Processing) since the year 2010, to increase efficiency in the workplace with correct, accurate and reliable information for analytical, planning and decision making process. Nevertheless, the following risks associating with the IT system may possibly occur:

- A risk that the IT systems utilized by the Company may possibly crash, be it the SAP system, email system, etc.

- A risk that the IT systems currently utilized by the Company may become outdated and cannot be updated to support changes in business environment in a timely manner.
- A risk from external threat that may cause disturbances, damages or harm to the Company's IT system.

The Company has a way to manage IT system risk as follows:

- The Company has already arranged for a Disaster Recovery Site, for the purpose of information and IT system recovery.
- The Company has arranged for internal network system for the use of IT systems within the organization; and also arranged for backup through the use of Backup Link system.
- The Company has arranged for Security Gateway or a preventive and security system for the information and IT system.
- The Company provides support for improvement and development of the IT system on a continuous basis.

8. Market Risk:

8.1 Sparkling beverages are seasonal products, with higher demand during the summer season. The Company is, therefore, inclined to encounter the risk of shortage in production during the summer and excess capacity during other seasons. However, the management has already drawn up a production plan and a plan for machinery investment in the most cautious manner, with the use of SAP system to help with the management of this issue.

8.2 Stiff competition especially in the modern trade market both from competitors in the same industry and other healthy drink companies in particular.

8.3 Limitation in market expansion because of the Company's distribution territory is limited only to 14 southern provinces, while its major competitor is able to distribute the products

nationwide. The scales of operation are, therefore, highly different, allowing the competitor to produce at a lower cost per unit, and hence, having more money on hand for marketing activities.

9. Financial Risk:

This is the risk derived from performing normal business operation. Such risk includes changes in the interest rate and foreign exchange rate; and credit risk, which is the risk derived from the fact that the partner of a contract does not abide by the terms and condition of the contract. Detail regarding financial risk is as follows:

9.1 Interest Rate Risk is the risk that will occur as a result of future changes in the market rate of interest. This will present an impact upon the operating results as well as cash flow, since most of the interest rates on the Company's loans are floating rates.

9.2 Foreign Exchange Risk is derived from the fact that the Company imports raw materials and machinery on an occasional basis. However, the Company has entered into a FX Forward Contract in order to prevent the risk of having financial liabilities in foreign currencies.

9.3 Credit Risk is the type of risk incurred as a result of partner of a contract is unable to repay the loan at maturity as per the stipulated terms and conditions. The Management has, regularly, established a credit policy in order to control the risk, by performing analysis on the financial status of all of the Company's customers who have requested for a credit line.

9.4 Lack of liquidity risk: The Company controls the risk associating with the lack of liquidity by always maintaining cash and cash equivalents at a level sufficient for business operation. This action also helps to lessen the impact from fluctuation in the cash flow.

10. Risk that may produce an impact on Shareholders' right or investment :

The Company's major shareholders were Ruttakul family (35.57% shareholding), and Gutsche Family Investments (Proprietary) Limited (24.11% shareholding) which was incorporated in South Africa and the Company's business ally. As such, the 2 groups of shareholders hold all together 59.68% (over 50%) of the total paid - up capital. There are therefore, able to control almost all of the resolutions at the shareholders, meeting, be it the appointment of directors and other request for approval that need the majority votes from the shareholders' meeting. Exception, however, is made for the agendas, that either required by the law or the Company's Code of Conduct, for 3 out of 4 votes to be obtained at the shareholders' meeting to call it unanimous. Therefore, it is possible that no other shareholders would be able to try and collect votes in order to verify and offset the votes on the agenda proposed by major shareholders. Nevertheless, the Company provides an opportunity for minor shareholders to present queries on every agenda and issue, on the day that the shareholders' meeting is held, or to make an enquiry directly to the Company at any time.

11. Other Risk Factors :

There is a risk that may possible be induced by public policy in regard to the imposition of the excise tax. Since an increase in the rate of taxation or changes in the method of tax imposition would certainly produce a material impact upon the Company's cost of production. For example, imposition of excise tax on beverages with sugar as an ingredient, at the rate according to the level of sweetness. The Company has been preparing for this upcoming new tax by experimenting on a new formula with less sugar content; as well as introducing additional, new products such as Coca-Cola Zero No sugar, in order to reduce the cost of production as well as tax expenditure

Natural disasters, unfortunately, seem to occur in the southern part of Thailand on a yearly basis and with no way to predict the level of severity. The mentioned disasters include storms, heavy rain that leads to floods, and mudslide in several areas of the South. These types of disaster inevitably cause life-threatening damage as well as damage on the assets of the community and transportation and communication services, which eventually produce an impact upon the overall economy of the South.

Ongoing unrest in the 3 southernmost provinces and a few Amphoes in Songkhla continues on ever since the month of January 2004. This event has caused the Company's market share in the mentioned area to dwindle gradually and continuously on a yearly basis. The current market share held by the Company in the mentioned area is down to approximately 7-8%.

Guidelines to dealing with risk factors that may impact the Company's operating results

1. Invest in new machineries in order to increase production efficiency; reduce wastage from the production process; and control the cost of production and operating expense.
2. Develop some new distribution channels and seek opportunities to create sales and profits in both existing and new markets, as well as restructure the product mix according to areas of distribution and the principle of BPPC (Brand, Pack, Price and Channel).
3. Reduce the cost of logistics. The Company has improved its product distribution technique in order to increase efficiency in customer service, by developing a way to promptly distribute products to customers at lower transportation cost. The distribution technique has been altered from the previous 100% sales truck technique to the technique that combines the following 4 methods together:

- The traditional sales truck method;
- Vending Machine method;
- Pre-sell and Tele-sale techniques, which require advance order of products for delivery on a set date and time; and
- Direct delivery of products to customers' stores / retail stores (for modern trade or National Account (NA) customers, or wholesalers with high-volume order at a time).

4. Introduce non-carbonated beverages to provide alternatives to health-conscious consumers, by launching products such as Minute Maid in the fruit juice category (Minute Maid Splash, Minute Maid Pulpi and Minute Maid Vita Kids); Aquarius, a new kind of refreshing drink for people with active lifestyle; Fuze Tea that comes in 2 flavors namely "Passion Fruit Tea with Chia Seeds" and "Peach Tea with Chia Seeds"; ZICO 100% coconut water of premium grade; Namthip Drinking Water; as well as "Coke Light," for the new generation of consumers who prefer to control their calorie intake while still wanting to enjoy the refreshingly sparkling taste that is the signature of everyone's favorite drink; and also "Coca-Cola Zero Sugar," the new recipe that tastes just like Coke but comes with no sugar. "Coca-Cola Zero Sugar" has been certified by The Nutrition Promotion Foundation, Institute of Nutrition, Mahidol University, as a healthy alternative to sparkling beverages.

5. Improve the IT system so that users can analyze the information more expeditiously and accurately. As a result, the management will have a more reliable piece of information for planning and decision-making. The Company had carried out IT development and improvement process in order to improve efficiency of the work and management procedures; and provide a complete network throughout the organization. The software system that the Company has been using since the year 2010 is Enterprise Resources Planning (ERP) by SAP ECC 6.0. During the year 2017, the Company had arranged for the HaadThip Improvement Project (HIP) with an objective to improve and revise the SAP system to ensure higher efficiency level, and also with the ability to provide a more complete coverage to all of the work processes and procedures of all units of the Company.

6. Adhere to the policy that maintains a longstanding relationship with customers and related organizations outside of the Company, for the purpose of understanding and trust in the Company's product quality and service standards.

7. Continue to proceed with the "Haad Thip alongside the Southern Folks" policy by participating in good times and bad times alongside the people of the south, especially when they encounter catastrophic incidents. The Company also participates in a variety of activities to promote and support the local culture and tradition, youth education, sporting events, community development; and plays an important role, in conjunction with the community, in environmental conservation.



SHAREHOLDERS STRUCTURE

List of the first 10 Shareholders as of 20th March 2019 (The record date on which shareholders have the right to attend the 2019 AGM.)

	Name – Surname	Number of shares	% of paid-up shares capital
1.	GUTSCHE FAMILY INVESTMENTS (PROPRIETARY) LIMITED	48,130,126	24.160
2.	Sec. Lt. Phairoch Rattakul's group		
	1. Sec. Lt. Phairoch Rattakul	24,439,839	12.268
	2. Mrs. Prabhansri Rattakul	20,136,281	10.108
	3. Miss Pannapa Rattakul	14,421,647	7.239
	4. Maj. Gen. Patchara Rattakul	10,381,044	5.211
	5. Mr. Pichakorn Rattakul	1,473,144	0.739
3.	Mrs. Pariya Chirabandhu's group		
	1. Mrs. Pariya Chirabandhu	8,661,275	4.348
	2. Mr. Apichart Chirabandhu	214,272	0.108
	3. Mr. Harith Chirabandhu	3,003,400	1.508
	4. Miss Chanya Chirabandhu	2,047,300	1.028
4.	ABERNDEEN SMALL CAP FUND	10,259,323	5.150
5.	BNP PARIBAS SECURITIES SERVICES, LONDON BRANCH	5,731,293	2.877
6.	Miss Sirincha Sitichaivises	3,800,026	1.907
7.	Mrs. Chira Sritavaj na Ayudhya	3,183,807	1.598
8.	BNP PARIBAS SECURITIES SERVICES, LONDON BRANCH	3,107,600	1.560
9.	Mr. Teerapatana Chernchom	2,000,000	1.004
10.	Miss Chirapa Ukris	1,562,385	0.784
11.	Others	36,665,238	18.405
	Grand Total	199,218,000	100.000

Distribution of shares by nationality

Nationality	Number of shares	% of paid-up share capital
Thai	139,996,633	70.27
Forieng	59,221,367	29.73
Total	199,218,000	100.000

Remarks: Forieng shareholding limit is 35%



Dividend Policy

HTC's dividend policy

“The Company’s has a policy to pay out dividend at the rate of no less than 50% to 80% of the remaining Net Profits after deduction of all types of reserves required by the law and set forth by the Company. Dividend shall be paid out accounting to the appropriation of Net Profits from the Company’s Consolidated Financial Statements. However, dividend payments shall be based upon the Company’s cash flow, investment plan, other necessities and circumstances deemed appropriate in the future.

Dividend payments for prior years are shown below for reference:

Details of Dividend Payment	2018	2017	2016
Number of paid - Up capital (shares)	199,218,000	199,218,000	199,218,000
Profit for the year (million Baht)	249.07	283.31	241.09
Basic earnings per share (Baht)	1.25	1.42	1.21
Dividend per share (Baht/share)	0.80 ^{1/}	1.00	0.65
Total dividend payment (million Baht)	159.37	199.22	129.49
Dividend as % of profit for the year (%)	63.99	70.32	53.71

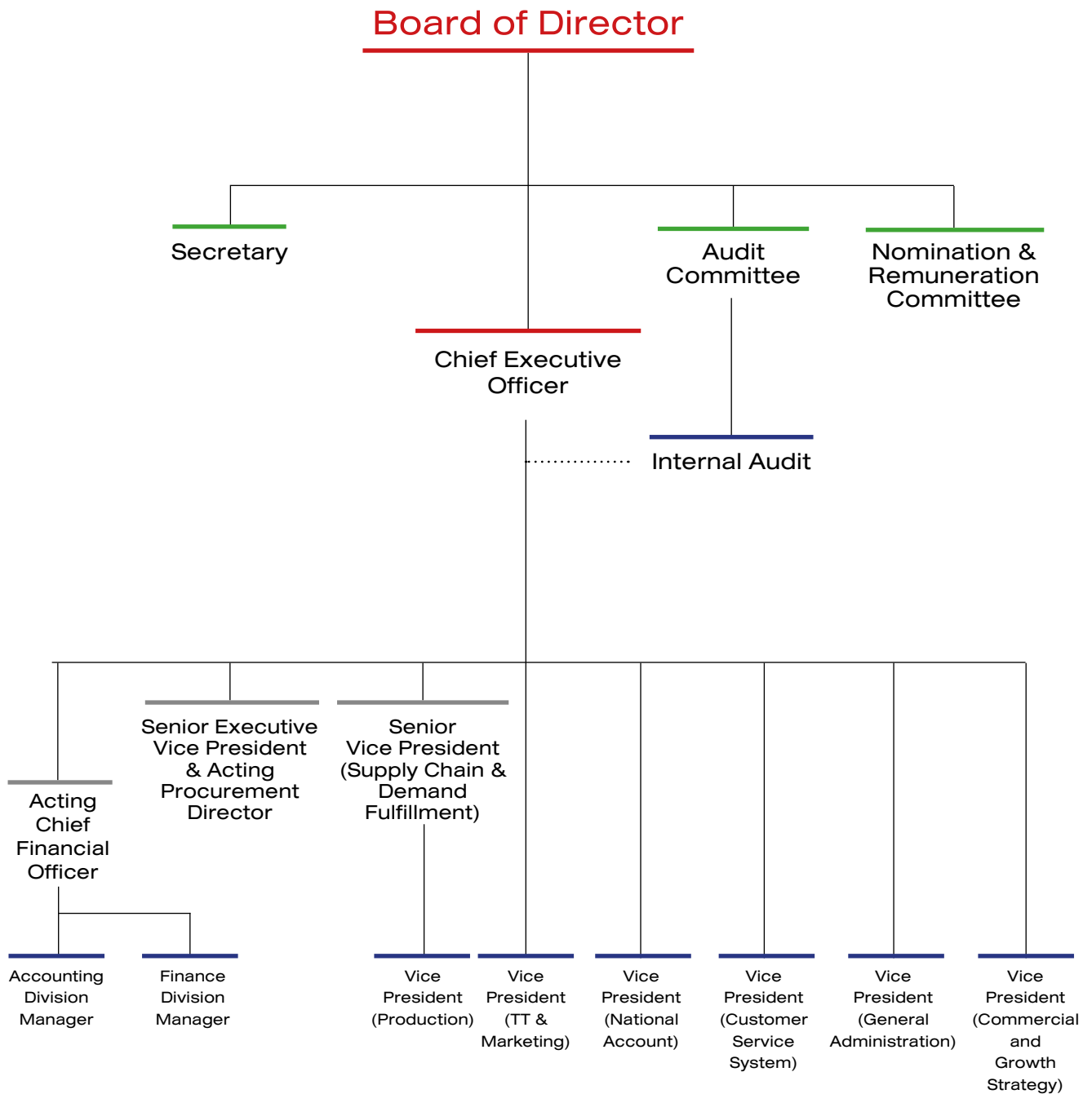
^{1/} The Board of Directors on 5 March 2019, approved the rate of dividend paid to the shareholders, which will be tabled for the 2019 AGM’s approval on 24 April 2019

Subsidiary’s dividend policy

Concerning subsidiary’s dividend policy, may decide dividend payment by taking into account its remaining cash flow. If the cash flow is substantial enough after legal provisions, the subsidiary may proceed with payment.



Management Structure



Management and Administrative Structure

The Management and Administrative Structure of the Company comprises of the Board of Directors, Audit Committee, Nomination and Remuneration Committee, and Management Team. Each member must hold the following qualifications, roles and responsibilities:

The Board of Directors

The Board of Directors is composed of qualified individuals with experience, leadership character, vision, and independent decision making process, who devote their time and utmost effort

in carrying out duties under their responsibility with caution and integrity for the best interest of the Company, shareholders and all stakeholders concerned.

As 31th December 2018, The Board of Directors comprised of 11 individuals, out of which 8 or 72.73 % were Non-Executive Directors and the remaining 3 were Executive Directors as follows:

1. Independent Directors: 5 persons, which is more than one-third of entire board.
2. Non - Executive Directors: 8 persons
3. Executive Directors: 3 person

Name	Position	Number of Board of Directors' Meetings	
		2018	2017
Gen. Charan Kullavanijaya	Chairman / Independent Director	4/4	4/4
Sec. Lt. Phairoch Rattakul ^{1/}	Chief Executive Officer	-	4/4
Maj. Gen. Patchara Rattakul ^{2/}	Director/ CEO	4/4	4/4
Mr. Prakit Pradipasen	Independent Director	4/4	4/4
Ms. Smornluk Mahasmiti	Independent Director	4/4	4/4
Mr. Yanyong Maethapanich	Independent Director	4/4	4/4
Mr. Martin Jansen	Independent Director	2/4	2/4
Mr. Philipp Hugo Gutsche	Director	2/4	2/4
Mrs. Yupares Thiengham	Director	4/4	3/4
Mrs. Pariya Chirabandhu	Director	4/4	4/4
M.L. Dhisana Sritavaj	Director	4/4	4/4
Mr. Dumrongrugs Apibalsawasdi	Director	4/4	4/4

^{1/} Passed away on 22nd December 2018.

^{2/} Appoint as CEO as the resolution of the Board meeting on 21st January 2019

Authorized Directors of the Company: Maj. Gen. Patchara Rattakul, Chief Executive Officer, is to sign and affix the Company's seal, or Mrs. Pariya Chirabandhu and Mr. Dumrongrugs Apibalsawasdi to co - sign and affix the Company's seal.

Scope of Duties and Responsibilities of the Board of Directors can be summarized as follows:

1. To perform duties in accordance with the statutory regulation, objectives, and regulations of the Company as well as the resolutions from the Shareholders' Meeting, with responsibility, discretion and integrity and in the best interest of the Company, and to perform in accordance with the rules and regulations stipulated by the Stock Exchange of Thailand, the Securities and Exchange Commission and Capital Market Supervisory Board
2. To establish policies and strategies, objectives, work plans and annual budget as well as to monitor the management activities performed by the Directors and Executives and ensure that such duties are efficiently performed according to their individual assignments, also with regular follow - up system imposed on the work progress of the Management
3. To set up a review and to participate in determining vision, mission, purposes and values of the company for the management and all employees to follow in the same direction.
4. To formulate and ensure appropriate and adequate internal control system and risk management system
5. To set a guideline for transactions that may have conflict of interest or may be considered connected transactions
6. To demand that the company holds board of directors meeting and AGM, prepares financial statements and sufficiently and consistently discloses the company's information to related parties.
7. To appoint the sub - committees as necessary through consideration of the Nomination and Remuneration Committee, as well as specify the scope of duties and responsibilities of the sub - committees as follows.
 - (A) Audit Committee
 - (B) Nomination and Remuneration Committee
8. To stipulate that the Chairman of the Board of Directors and the Chief Executive Officer are 2 different individual. Hence, the scope of duties and responsibilities shall be set as follows.
 1. The Chairman of the Board of Directors shall assume the duties to establish policy, establishing business plan, monitoring the management activities of the Management in order to proceed in an efficient manner, providing advice without intervening in the day - to - day management operations. In addition, the Chairman of the Board of Directors must possess leadership skill, with an ability to supervise directors to ensure that they are not under the control or influence of the Management. The Chairman of the Board of Directors shall act as Chairman of the meetings. Including Board of Directors' Meeting and the Shareholders' Meeting in an equitable manner. The Chairman of the Board of Directors must support and encourage meeting attendees to exercise their voting rights and strictly follow the principle of good corporate governance as well as proceed in an efficient manner.
 2. President/CEO shall assume the duties of managing and administering daily job routines to ensure that they proceed in line with the objectives, policies, targets, strategies and business plan as approved by the Board of Directors, and under the scope of authority assigned by the Board of Directors.
 9. To appoint the Company Secretary and establish scope of duties and responsibilities of the Company Secretary to the coordinator among the executives, directors and shareholders of the Company. The Company Secretary has duty to organize meeting and take minutes of the Shareholders' Meeting and Board of Directors' Meeting, to oversee that the disclosure of information are conducted in accordance with the rules and regulations stipulated by the Stock Exchange of Thailand, the Securities and Exchange Commission.
 10. To monitor and oversee that the operation and procedure of the Company are in conformity to the laws, regulations and related requirements, as well as the resolutions passed by the Shareholders' Meetings, Securities and Exchange Law; and the requirements and best practice stipulated by the Securities and Exchange Commission, to be in conformity to the Securities and Exchange Act, B.E. 2535, Sections 89/7-89/10.

11. To stipulate that the Board Charter be drawn up and issued for the Board of Directors and every committee/subcommittee to explicitly determine roles, duties and responsibilities of each board/committee. The Board Charter shall also be used as reference for each and every director and member of the board/committee to perform his/her duty. The mentioned Board Charter must be revised at least once a year, to keep it in line with the direction of the Company's business operation.
12. Approval authority by the Board of Directors:
 1. To approve bank borrowings for the purpose of working capital for the Company, for the part of credit line that exceeds the authority of the CEO;
 2. To approve the receipt or cancellation of credit line for loans, for the part of the credit line that exceeds the authority of the CEO;
 3. To approve the opening or closing of the fixed, savings and current accounts with financial institutions;
 4. To approve the establishment, merging or termination of the subsidiary company, affiliated company or joint venture company of the Company as per the requirements in regards to the acquisition or the sales of assets, as stipulated by the Stock Exchange of Thailand, Securities and Exchange Commission and related laws and legal requirements;
5. To approve the investments in fixed assets, such as new production line installation project, in accordance with the requirements in regards to the acquisition or the sales of assets, as stipulated by the Stock Exchange of Thailand, Securities and Exchange Commission and related laws and legal requirements;
6. Other approval authorities shall be in accordance with the Company regulations.

Audit Committee

Audit Committee comprises of at least 3 Independent Directors. One of the Directors must hold sufficient qualification and experience to perform the review and evaluate the reliability of the Company's financial statements. The term for each set of Audit Committee is 3 years at a time, but a member whose term has expired can be reappointed for the position. In the case that an Audit Committee member's term has expired, or such member is unable to remain in the position until expiration of term by some other reasons, causing the number of Audit Committee members to fall below the required number, then the Board of Directors must appoint a new member to the Audit Committee immediately or at least no later than 3 months following the date of insufficient number of committee members, in order to ensure uninterrupted work progress. The Directors to be appointed as Audit Committee members must possess all of the qualities stipulated in the notifications by the Securities and Exchange Commission and the Stock Exchange of Thailand.

The Board of Directors has appointed the Audit Committee that comprises of 3 Independent Directors who had held a total of 4 Audit Committee Meetings in 2018 as follows:

Name	Position	Number of Audit Committee Meetings	
		2018	2017
1. Mr. Prakit Pradipasen	Chairman of the Audit Committee	4/4	4/4
2. Mr. Yanyong Maethapanich ^{1/}	Audit Committee Member	4/4	4/4
3. Ms. Smornluk Mahasmiti	Audit Committee Member	4/4	4/4

^{1/} Mr. Yanyong Maethapanich are Audit Committee members with sufficient qualification and experience to perform the review and evaluate the reliability of the Company's financial statement, with Ms. Nithinart Juntasurat, Manager of Accounting Division, as a Secretary to the Audit Committee

Scope of duties and responsibilities of the Audit Committee as assigned by the Board of Directors are as follows:

1. To review the company's financial report for accurately and completeness.
2. To review the company's internal control and internal audit systems to ensure that they are suitable and effective.
3. To review the company's operations to ensure compliance with all relevant and applicable law and standards.
4. To review internal auditor's independence, and approve the appointment and termination of the head of the internal audit function. Outsourcing of the internal audit function has to be reviewed for the independence and approved by the audit committee.
5. To consider and approve internal audit plan, budgets and manpower of the internal audit department.
6. To consider the selection, appointment and termination of an individual deemed independent to assume the duty of an Auditor for the Company as well as to propose for the Auditor's remuneration; perform evaluation on the performance of the Auditor; and attend the meetings with the Auditor without the presence of the Management at the meetings at least once a year.
7. To review related party transactions and other transactions that may create conflicts of interest, to ensure that they comply with applicable law, are reasonable, and carried out in the best interest of the company
8. To review the company's compliance with private sector's anti- corruption and certification programs, including the Collective Action Coalition against Corruption's Self-Evaluation Tool.
9. The audit Committee should express its opinion on the adequacy of the company's internal control and risk management system, and disclose its opinion in the company' annual report.
10. To prepare the Audit Committee Report for disclosure in the Company's Annual Information Disclosure Form (Form 56-1) and Annual Report (Form 56-2). The Report must be certified and signed by the Chairman of the Audit Committee.
11. Any other assignments required by law or assigned by the board of directors.

The Company has also arranged for an establishment of an Internal Audit Office, in order to oversee and review the Company's progress and performance, to ensure conformity to the established operational system and standard. The internal audit office also acts as a coordinator and provide assistance to the Audit Committee, to ensure good corporate governance.

Nomination and Remuneration Committee

The Nomination and Remuneration Committee comprises at least 3 non-executive directors and at least 1 member shall be an independent director. The committee member shall be appointed by the Board of Directors and shall have an office term of 3 years. If the members of Nomination and Remuneration Committee are below the specified number, the Board of Directors shall select and appoint new member(s) within 3 months for continuity in operation.

Since the passing of Sec. Lt. Phairoch Rattakul, Chairman of the Nomination and Remuneration Committee, on 22nd December 2018, the Board of Directors' Meeting 1/2019 held on 21st January 2019 had passed a resolution to appoint the new members to the Nomination and Remuneration Committee as follows:

Mrs. Yupares Thiengtham	Chairman of the Nomination and Remuneration Committee	Mr. Philipp Hugo Gutsche	Member of the Nomination and Remuneration Committee
Ms. Smornluk Mahasmiti ^{1/}	Member of the Nomination and Remuneration Committee	Mrs. Pariya Chirabandhu	Member of the Nomination and Remuneration Committee
Mr. Yanyong Maethapanich ^{1/}	Member of the Nomination and Remuneration Committee	^{1/} Ms. Smornluk Mahasmiti and Mr. Yanyong Maethapanich are independent directors.	

In 2018, The Nomination and Remuneration Committee had held a total of 2 meetings, as follows:

Name	Position	Number of Nomination and Remuneration Committee Meetings	
		2018	2017
1. Sec. Lt. Phairoch Rattakul	Chairman of the Nomination and Remuneration Committee	Passed away on 22 nd December 2018	
2. Mrs. Yupares Thiengtham	Chairman of the Nomination and Remuneration Committee	The board of directors agreed with the appropriate on 21 st January 2019	
3. Ms. Smornluk Mahasmiti	Nomination and Remuneration Committee member	2/2	1/1
4. Mr. Yanyong Maethapanich	Nomination and Remuneration Committee member	2/2	1/1
5. Maj. Gen. Patchara Rattakul	Nomination and Remuneration Committee member	2/2	1/1
6. Mr. Philipp Hugo gutsche	Nomination and Remuneration Committee member	The board of directors agreed with the appropriate on 21 st January 2019	
7. Mrs. Pariya Chirabandhu	Nomination and Remuneration Committee member	2/2	1/1

Authorities and Duties of the Nomination and Remuneration Committee

The Nomination and Remuneration Committee has responsibilities as assigned by the Board of Directors to perform their duties with responsibility, caution, and honesty as follows.

1. Consideration of Nomination of Company's Directors and Executives

- To establish and review proper structures and qualifications of the Board of Directors, sub-committee and executives, consider nomination criteria and process to recruit suitable candidates for the directorship position and submit opinion to the Board of Directors and propose to the Shareholders' meeting for consideration and appointment.
- To consider a suitability of the candidates for positions of the Assistant Managing Director and above and the Company Secretary in order submit opinion to the Board of Directors for consideration and approval in case of vacancy of the position; as well as establish criteria for consideration of successors and perform other duties as assigned by the Board of Directors regarding the nomination of directors and executives.

2. Consideration of Remuneration for Company's Directors and Employees.

- To establish fair and reasonable remuneration formats and criteria for the Board of Directors and sub-committees by comparing with other companies in the same industry And listed companies in the Stock Exchange of Thailand of the same industry. Remuneration is considered based on accountability and responsibility, annual operating results of the Company, annual self-assessment of the Board of Directors' performance. Remuneration consists of monthly remuneration (e.g. meeting allowance) and annual remuneration (e.g. directors' bonuses) paid to the Board of Directors and sub-committees. The

Committee shall submit opinion to the Board of Directors to propose to the shareholders' meeting for consideration and approval.

- To consider performance evaluation formats and criteria for the Company's employees or KPI (Key Performance Indicators) for consideration of salary adjustments and annual rewards (bonuses) to the Company's employees by considering based on the Company's annual budget and operating objectives as well as market and economic situations and submitting opinion to the Board of Directors for consideration and approval.
 - To perform other duties as assigned by the Board of Directors on operations related to consideration of remuneration for the Company's directors, executives, and employees.
3. Preparation of Nomination and Remuneration Committee Report once a year to be proposed to the Company's Board of Directors by disclosing it within the Annual Registration Statement (Form 56-1) and the Annual Report (Form 56-2) of the Company, signed by the Nomination and Remuneration Committee Chairman. The number of meetings and meeting

Independent Directors

As at 31st December 2018, the Board of Directors comprised of 11 Directors, where 5 which was more than one-third of the total number of Directors were Independent Directors as follows:

1. Gen. Charan Kullavanijaya
2. Mr. Prakit Pradipasen
3. Ms. Smornluk Mahasmiti
4. Mr. Yanyong Maethapanich
5. Mr. Martin Jansen

Selection Criteria for Independent Directors

The Board of Directors has defined the qualification of the Independent Directors which is stricter than those defined by the Capital Market Supervisory Board, the detail of which as in Article 1 the shareholding, as follows:

1. Shareholders who are holding no more than 0.05% of total voting shares of the Company, the parent company, the subsidiary company, the affiliated company, major shareholder or person with controlling interest in the Company, including shares held by related persons to each Independent Director.
2. Neither having a position nor had been the Executive Director, employee, staff or advisor who receive salary from or a person with controlling interest in the Company, parent company, affiliated company, subsidiaries of the same level, major shareholder or of person with controlling interest in the Company, unless has abstained from such duty for at least 2 years. However, the mentioned prohibition shall not include the case that an Independent Director was formally a civil servant or an advisor to the government sector that is a major shareholder or holds controlling interest in the Company.
3. Neither related by blood nor by legal registration as parent, spouse, sibling or child, including spouse of child, executive, major shareholder, person with controlling interest in the Company or person to be nominated as an executive or person with controlling interest of the Company or subsidiaries.
4. Neither having nor had business relationship with the Company, parent company, subsidiary company, affiliated company, major shareholder or person with controlling interest in the Company in such a way that may prevent independent decision making, including not having been or used to be a shareholder deemed material or person with controlling interest in the person with business relationship with the Company, parent company, subsidiary company, affiliated company, major shareholder or person with controlling interest in the Company unless the person has been abstained from such relationship for at least 2 years.
5. Neither being nor had been the Auditor of the Company, parent company, subsidiary company, affiliated company, major shareholder or person with controlling interest in the Company, and not a shareholder deemed material, person with controlling interest or partner of the audit firm with whom the Auditor of the Company, parent company, subsidiary company, affiliated company, major shareholder or person with controlling interest in the Company is an employee, unless the person has been abstained from such duty for at least 2 years.
6. Neither being nor had been a provider of professional services, including legal or financial services that receive service fees of more than two million Baht per year from the Company, parent company, subsidiary company, affiliated company, major shareholder or person with controlling interest in the Company; and not a shareholder deemed material, person with controlling interest or partner of such service providers, unless the person has been abstained from such duty for at least 2 years.
7. Not a director who has been appointed to represent the Company, major shareholder or shareholders who are related to the major shareholders of the Company.
8. Neither operating the same type and condition of business and considered a major competitor to the business of the Company or subsidiaries; nor a shareholder deemed material of the partnerships or an Executive Director, employee, staff or advisor who receives fulltime salary or holds over 1% of total voting shares of the other Company that operates the same type and condition of business as the Company and is considered a major competitor to the business of the Company or subsidiaries.
9. Not having in possession any other characteristics that may hinder the Director from rendering independent opinions regarding the Company's operations.

The selecting nominees to serve on the Board of Directors

The Board of Directors has assigned the duties to the Nomination and Remuneration Committee to consider and screen personnel with knowledge, abilities and qualification as per the announcement of the Securities and Exchange Commission and the Stock Exchange of Thailand, and to propose the names of the individuals deemed suitable for the director position to the Board of Directors in the following manner, and the names shall be proposed to the Shareholders' Meeting for consideration and approval thereafter:

1. The Nomination and Remuneration Committee shall consider the individual's knowledge and specific skill/ability deemed beneficial to the Company, as well as experiences in business operation or in the core business in the industry that the Company operates in, so that the Board of Directors can establish strategies, policies and regulations and monitor such individual to conduct the business in such a way that it effectively proceeds in the direction of the Company's strategy. Education and work experiences of such individual shall also be considered without any gender discrimination.
2. The Board of Directors has issued a policy to provide equitable rights to all shareholders, especially minority shareholders, in proposing in advance the names of individuals deemed suitable to become new directors. The rules and methods of proposal had been published on the website of the Company: www.haadthip.com under the subject of "Investor Relations" ⇒ "Shareholders' Information" ⇒ "Shareholders' Meeting." Thereafter, the Nomination and Remuneration Committee shall perform the consideration and selection process as per the rules previously established, before proposing to the Board of Directors to further propose to the Shareholders' Meeting for final approval.

3. The selection process of the Company's director shall be in conformity to the Company regulations and related legal requirements. The Shareholders' Meeting shall consider and select the directors to the Company in regards to the rules, regulations and methods as follows:
 1. Each shareholder has a voting right equivalent to one share to one vote
 2. In the election process, the shareholders can cast their votes to elect one Director, or a group of Directors at a time, or by any other methods as deemed appropriate by the Shareholders' Meeting. During the voting procedure, however, the shareholders can only exercise their voting right as per condition (1) above, and cannot allocate any portions, less or more, of their voting rights to any one Director or group of Directors
 3. Appointment of Directors shall be decided by majority votes. If the votes are tied, the Chairman of the Meeting shall cast the vote to determine the final outcome

At the Annual General Shareholders' Meeting held each year, one third of the Directors shall be retired. If the number of Directors cannot be divided evenly by one third, the number of retiring Directors shall be as close to one third as possible. The names shall be drawn and announced, for Directors to retire in the first and second year following registration. But for the following years, the method employed will be to retire the Director with longest tenure. In the case that the number of Directors with longest tenure exceed that of the number of Directors to retire at that time, the names of Directors to retire at that time shall be drawn.

The Directors whose tenure has expired may be re-elected.

Shareholdings of the Directors Report

No.	Name of the Directors	Number of Shares		Increase (Decrease) during the year
		31 Dec 2018	31 Dec 2017	
1.	Gen. Charan Kullavanijaya	-	-	-
2.	Sec. Lt. Phairoch Rattakul ^{1/}	44,576,120	44,576,120	-
3.	Mr. Prakit Pradipasen	-	-	-
4.	Mr. Philipp Hugo Gutsche	266,058	266,058	-
5.	Mr. Martin Jansen	-	-	-
6.	Mrs. Yupares Thiengtham	30,120	30,120	-
7.	Ms. Smornluk Mahasmiti	-	-	-
8.	Mrs. Pariya Chirabandhu ^{2/}	8,875,547	8,870,547	5,000
9.	Maj. Gen. Patchara Rattakul	10,381,044	10,381,044	-
10.	Mr. Yanyong Maethapanich	-	-	-
11.	M.L. Dhisana Sritavaj ^{2/}	3,183,807	3,183,807	-
12.	Mr. Dumrongrugs Apibalsawasdi	-	-	-

Notes: ^{1/} Passed away on 22th December 2018

^{2/} Inclusive of shares held by spouses

Management Team

As at 31st December 2018, the Company's Management Team comprised of the followings:

	Name - Lastname	Position
1.	Maj. Gen. Patchara Rattakul ^{1/}	Chief Executive Officer
2.	Mrs. Pariya Chirabandhu	Senior Vice President and Acting Procurement Director
3.	Mr. John Joseph Benedetti	Senior Vice President – Supply Chain & Demand Fulfillment
4.	Mr. Dumrongrugs Apibalsawasdi	Vice President – Sales & Marketing
5.	Mr. Takerng Kanchana	Vice President - Production
6.	Mr. Thongchai Unchurit	Vice President – General Administration
7.	Mr. Sarapat Thiengtham	Vice President – National Account & Direct Chanel
8.	Mr. Tim Mothy Edward Doyle	Vice President – Customer Service System
9.	Mr. Jose Henrique Zeitune	Vice President – Commercial & Growth Strategy
10.	Ms. Plernpun Rutchakitprakarn	Senior Executive Assistant to CEO and Acting CFO
11.	Ms. Nithinart Juntasurat	Accounting Manager/ Chief Accountant
12.	Ms. Nopparat Amornchaisakda	Financial Manager

Notes: ^{1/} Appoint as CEO as the resolution of the Board meeting on 21st January 2019

Scope of duties and responsibilities of the Chief Executive Officer

- The Chief Executive Officer shall determine the vision, mission, corporate value, objective, policy, business plan as well as the Company's business operation strategy, financial planning, human resource management and the annual budget.
- The Chief Executive Officer shall also follow up and evaluate the Company's operating results on a regular basis, in order to prevent any possible risks that may incur from both internal and external factors, which may cause failure to meet the established objectives.
- The Chief Executive Officer holds the power to appoint the working teams and committees for the best interest of the Company and for the purpose of efficient and transparent management activities.

4. The Chief Executive Officer holds the power to issue rules and regulations, orders, requirements and notifications, for all operations and tasks to progress according to the policies and to the best interest of the Company, as well as to maintain the code of conduct within the organization in the most efficient manner.
5. The Chief Executive Officer shall possess authorizational power as stipulated in the regulations, and approval authorization as considered and approved by the Board of Directors' Meeting.
6. The Chief Executive Officer shall ensure that business is operated and progressed in accordance with the rules and regulations, orders and requirements established by the Company as well as rules and regulations as per the Securities and Exchange Act; and the requirements and operational guidelines set forth by the Securities and Exchange Commission, the Stock Exchange of Thailand and any other rules related to the Company's business.

Shareholdings of Management Team Report

No.	Name	Number of Shares		Increase (Decrease) during the year
		31 Dec 2018	31 Dec 2017	
1.	Maj. Gen. Patchara Rattakul	10,381,044	10,381,044	-
2.	Mrs. Pariya Chirabandhu ^{1/}	8,875,547	8,870,547	5,000
3.	Mr. John Joseph Benedetti	-	-	-
4.	Mr. Dumrongrugs Apibalsawasdi	-	-	-
5.	Mr. Takerng Kanchana ^{1/}	34,998	34,998	-
6.	Mr. Thongchai Unchurit	9,580	9,580	-
7.	Mr. Sarapat Thiengtham	7,253	7,253	-
8.	Mr. Tim Mothy Edward Doyle	-	-	-
9.	Mr. Jose Henrique Zeitune	-	-	-
10.	Ms. Plernpun Rutchakitprakarn	-	-	-
11.	Ms. Nithinart Juntasurat	-	-	-
12.	Ms. Nopparat Amornchaisakda	-	-	-

Notes: ^{1/} Inclusive of shares held by spouses

Director and Management Remuneration

The Company's Board of Directors has assigned duty to the Nomination and Remuneration Committee to consider the remuneration for the directors and executives and propose its opinion to the Board of Directors for consideration of the remuneration for the executives and employees of the Company. As for the remuneration for the Board of Directors, it shall be proposed to the Shareholders' Meeting for its consideration. However, the remuneration for the directors is considered by comparing with other companies in the same industrial sector that will also provide incentive and sufficient retain qualified Directors, before proposing to the Shareholders' Meeting for approval.

During the Annual General Shareholders' Meeting of the year 2018, held on Thursday 26th April 2018, a resolution had been passed for the remuneration of the Board of Directors and sub-committee to be increased by 10% from the remuneration rate as per the following detail:

Unit: Baht

Committees	Position	2518		2517	
		Remuneration (Person/Year)	Meeting Allowance (Person/ Meeting)	Remuneration (Person/Year)	Meeting Allowance (Person/ Meeting)
Board of Director	Chairman	253,000.00	10,000.00	230,000.00	10,000.00
	Directors	181,500.00	10,000.00	165,000.00	10,000.00
Audit Committee	Chairman	253,000.00	5,000.00	230,000.00	5,000.00
	Directors	181,500.00	5,000.00	165,000.00	5,000.00
Nomination and Remuneration Committee	Chairman	16,500.00	3,000.00	15,000.00	3,000.00
	Directors	11,000.00	3,000.00	10,000.00	3,000.00

Summary of Monetary Remuneration per Director for the year ending 31st December 2018

Name-Lastname Position	Remuneration (Baht/Person/Year)			Meeting Allowance (Baht/Person/meeting)			Total (Baht)
	Board of Directors	Audit Committee	Nomination and Remuneration Committee	Board of Directors	Audit Committee	Nomination and Remuneration Committee	
1. Gen. Charan Kullavanijaya Chairman / Independent Director	253,000	-	-	40,000	-	-	293,00
2. Sec. Lt. Phairoch Rattakul CEO/ Chairman of Nomination and Remuneration Committee	181,500	-	16,500	-	-	-	204,000
3. Mr. Prakrit Pradipasen Independent Director / Chairman of Audit Committee	181,500	253,000	-	40,000	20,000	-	494,500
4. Mr. Yanyong Maethapanich Independent Director / Audit Committee Member/ Nomination and Remuneration Committee Member	181,500	181,500	11,000	40,000	20,000	6,000	440,000
5. Ms. Smornluk Mahasmiti Independent Director / Audit Committee Member/ Nomination and Remuneration Committee Member	181,500	181,500	11,000	40,000	20,000	6,000	440,000
6. Mr. Martin Jansen Independent Director	181,500	-	-	20,000	-	-	201,500
7. Mr. Philipp Hugo Gutsche Director	181,500	-	-	20,000	-	-	201,500
8. Mrs. Yupares Thiengtham Director	181,500	-	-	40,000	-	-	221,500
9. Mrs. Pariya Chirabandhu Director/ Nomination and Remuneration Committee Member	181,500	-	11,000	40,000	-	6,000	238,500
10. Maj.Gen. Patchara Rattakul Director /Nomination and Remuneration Committee Member	181,500	-	11,000	40,000	-	6,000	238,500
11. M.L. Dhisana Sritavaj Director	181,500	-	-	40,000	-	-	221,500
12. Mr. Dumrongrugs Apibalsawasdi Director	181,500	-	-	40,000	-	-	221,500

Non- Monetary compensation: The company has purchased Director Liabilities for every Board Members to protect them from prosecutor's sue in case of misconduct.

Management Remuneration

Monetary Compensation

Management remuneration has been set through the policy and requirements established by the Company, which are also linked to the operating results and Key Performance Indicators (KPI). The remuneration is always set at a level that will provide incentive and sufficient retain qualified Directors. Management remuneration in monetary term for the year ending 31st December 2018 is as follows:

	No. of Persons	Amount (Baht)
Monthly Salary	13	61,881,952
Bonus	13	10,853,531
Contribution to provident fund	13	1,797,348
TOTAL		74,532,348

2. Non - Monetary compensation:

2.1 Company car for employees in the position of a director and above

2.2 Accident Insurance (Group)

Company's Personnel

As of 31st December 2018, the company employed 2,298 staff whereas its subsidiary had 22 staff, are as follows:

The Figures of Employees Classified by Levels	Number of Person			
	Company		Company's Subsidiary	
Operation Worker Level	1,476		15	
First - Line Manager Level	529		5	
Middle Manager Level	210		2	
Top Manager Level	83		-	
Total	2,298		22	

Number of staff based on types of employment	Company		Company's Subsidiary	
	Male	Female	Male	Female
Permanent staff	1,717	569	19	3
Temporary staff	8	4	-	-

Total expenses for the Company's employees' benefits in 2018 and 2017 are of Baht 719.33 million and Baht 703.32 million, respectively, which are consisted of Monthly salary, wages, overtime pay, welfare medical expenses, contribution to provident fund and other grants, etc.

The Company has not been engaged in any labor disputes in the past 3 years because the Company has had good relationship with its employees. Staff turnover rate is considered low, and no union has been established for the employees.

People Development Plan แผนพัฒนาบุคลากร

คือ แนวทาง กลยุทธ์ หรือวิธีการที่บริษัทกำหนดไว้ เพื่อพัฒนาคุณลักษณะของบุคลากรให้ครอบคลุมทุกระดับทุกตำแหน่งงานตามที่บริษัทต้องการ



People Development Policy

The Company has proceeded with the development of knowledge, skill and the potential of its staff and employees of all levels, by performing evaluation on duty and responsibility of each employee, in order to put the right man in the right position on a continuous basis. This action has been carried out in order to meet the business needs and for the Company to be ready to enter into the "Digital Age," which shall bring about changes to the organization and the people in the future.

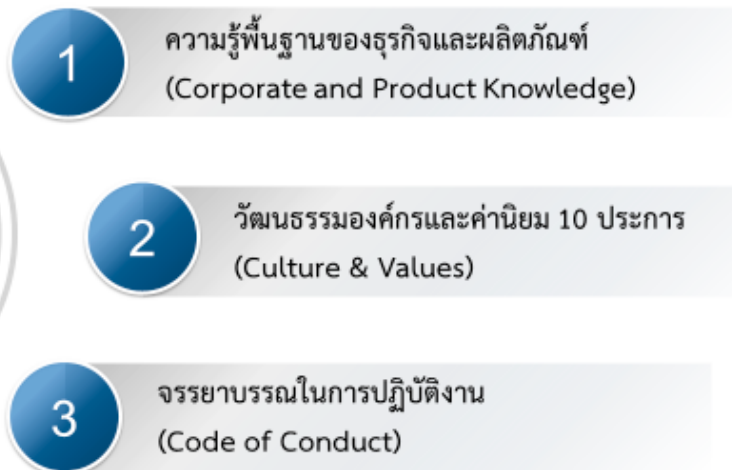
"Quality of People" is a crucial factor for the advancement in technology, which shall serve to add extra capacity for the people to perform their tasks in an efficient manner. Moreover,

technological advancement will help to get the people ready to perform the tasks that are challenging to their knowledge and ability, and eventually lead to success for the Company and achievement of its goal. As such, the Company is determined to develop its people in all types of job and levels as well as instill in them culture and ethical performance, in order to accommodate future growth.

People development framework of the Company, therefore, takes into consideration "knowledge, skills and abilities" in each job and position as follows:

People development plan of the Company can be divided into 3 categories as follows:

หลักสูตรพื้นฐานสำหรับพนักงาน HAADTHIP ทุกคน ทบทวนทุกปี



1. **Training** is a tool used in people development to improve changes in the right direction. Be it the knowledge, understanding, skill, attitude at work or readiness to perform the task at hand in an efficient manner. Revision of basic knowledge shall be performed on each and every employee on an annual basis, in order to make sure that the Company's personnel understand and perform their jobs in accordance with the Code of Conduct and lead their life in a way that sets a good example.

In 2018, the Company had arranged for a total of 204 training courses, spending a total of Baht 14,625,573.

- Quality, Safety and Environmental System Total 66 courses
- Organizational Culture & Values Total 3 courses
- Skill Development Total 119 courses
- Supervisor Development Total 12 courses
- Corporate Social Responsibility (CSR) and Sustainability Total 4 courses

2. **Education** is another way to develop personnel, and has been done through scholarship granting and providing time for school. This type of development will help to enhance knowledge and skill of the people as well as ability to adapt themselves and be flexible in all aspects. It also puts an emphasis on getting the people prepared and ready for their future jobs and hence responsibility. In 2018, the Company considered and granted 3 scholarships for the Master's Degree level and 1 for Bachelor's Degree level.

3. **Occupational Development** is an activity arranged by the Company to provide opportunities for the employees to learn and do some practice on some vocational jobs in the area of handicraft and home economics, without focusing on the job itself, but to put an emphasis on useful activities; activities that can earn money after work; and enjoyment in life.

In 2018, the Company had arranged for internal workshops to develop the employees' vocational skills as follows:

- In the area of home economic: Baking Chinese pastry and steamed banana bread
- In the area of handicraft: Making alms flowers, camphor fancy training, and making funeral wood flowers



Corporate Governance

The Board of Directors has placed an importance on the principle of Good Corporate Governance and understands its roles, duties and responsibilities to the Company, shareholders and all stakeholders concerned. The Company has been abiding by the policy and procedure for the Board of Directors of a listed company, in accordance with the guidelines set forth by the Stock Exchange of Thailand (SET) and the Securities and Exchange Commission (SEC). Accordingly the company was rated in the Corporate Governance Scoring for 2018 at a rate of “Very Good” or 4 star level (), by Thai Institute of Directors (IOD).

Policy on Corporate Governance

The Board of Directors has established a Corporate Governance Policy for the Company, which is in line with the guidelines set forth by The Stock Exchange of Thailand (SET) and the Securities and Exchange Commission (SEC), in order for directors, management and employees of all levels to adhere to in performing their tasks with responsibility, caution and honesty. The guidelines can be summarized as follows:

1. The Board of Directors shall perform their duties with dedication, responsibility, independence, caution and honesty in order to accomplish the established objective and mission. The roles and responsibilities for the Chairman and CEO are explicitly and completely separated.
2. The Board of Directors plays a crucial role in establishing vision, strategy, policy and crucial plans of the Company, through consideration of risk factors and establishment of suitable management guidelines, as well as ensuring that the accounting system, financial reporting system and auditing system are reliable.
3. The Board of Directors shall be the leader in the realm of ethics; be a good example in performing their duties according to good corporate governance; monitor, take care of and solve the problems concerning conflicts of interest and connected transactions.

4. The Board of Directors may appoint an Adhoc Committee when deemed appropriate, to help considering and filtering essential pieces of work in a cautious manner.
5. The Board of Directors is responsible for the establishment of the Company’s philosophy and Code of Ethics, for the Board of Directors, management, officers, staffs of all levels as well as employees to follow as operational guidelines, together with the Company’s Articles of Association.
6. The shareholders of the Company shall be treated in an equitable manner; hold the rights to gain access to the information system as well as appropriate channels of communication with the Company.
7. The Company must have a system for selection of suitable personnel to take on the responsibility in a management position; and a nomination process that is transparent and impartial.
8. The Company must disclose financial and non-financial information in a sufficient, reliable and prompt manner, in order for the shareholders and stakeholders of the Company to receive the information in an equitable manner; and must arrange for an investor relations officer to be responsible for provision of information to investors and general public.
9. The Board of Directors must set up a system that provides support on anti-corruption matters in an efficient manner, as an assurance that the management is seriously aware of and recognizes the gravity of anti-corruption matters, and strictly follows the anti-corruption measures.

The actions deemed material and in accordance with the Corporate Governance Policy that the Company has already excuted can be summarized as follows:

Shareholders’ Rights

The Company has a policy to proceed in a fair manner on the preservation of fundamental and equitable rights of all shareholders

as required by the law. As the owners, the shareholders are entitled to attend shareholders' meeting, take adequate deliberation time, and acknowledge meeting minutes.

1. Arrangement of Shareholders' Meetings

The Company has set a requirement for the Annual General Shareholders' Meeting to be held one time per year, and within 4 months after the end of the Company's accounting period. In case of urgent matters that may impact or relate to the benefits of the shareholders or to the terms and conditions or requirements or law enforcement that require approval from the shareholders, the Company shall call for the Extraordinary Shareholders' Meeting on a case-by-case basis.

For the year 2018, the Annual General Shareholders' Meeting fell on 26st April 2018 hosted at S31 Sukhumvit Hotel, Ballroom 2, 5th floor, 545 Sukhumvit 31, Wattana, Bangkok.

There was no Extraordinary General Shareholders' Meeting was held this year

2. Advance distribution of the Letter of Invitation

The Company has appointed Thailand Securities Depository Co., Ltd. (TSD), its securities registrar, to send out invitation letters to the shareholders. Each Letter of Invitation shall contain the meeting agendas in detail, supporting documents, copy of the previous meeting, Annual Report and proxy form, to be sent out to shareholders at least 14 days prior to the meeting date. Advertisement shall also be placed in newspapers for 3 consecutive days and at least 3 days prior to the meeting in order to allow ample time for shareholders to prepare for the meeting. For the Annual General Shareholders' Meeting, the Company has disclosed the information on the Letter of Invitation and supporting documents on the Company's website at www.haadthip.com at least 30 days prior to the Meeting date.

3. Facilitation for Shareholders

The Company has prepared to facilitate all shareholders in an equitable manner at the Annual General Shareholders' Meeting, by arranging for adequate number of staffs to welcome and assist

the shareholders to ensure convenience; and to check documents.

The Barcode system will be used for providing convenience and accuracy in counting of votes with the Registration opened at 13.00 hrs, and registration time extended to the period before the last agenda is being considered. Appropriate snacks will also be prepared for all attending shareholders.

As for shareholders appointing proxy, the Company has prepared the stamp duty to be affixed on the proxy form.

4. Rules of Procedure for Annual General Shareholders' Meeting

Prior to commencement of each of the Annual General Shareholders' Meeting, the Chairman of the meeting shall introduce the Board of Directors, Management and Auditor of the Company to the meeting, then inform the meeting of all the rules, inclusive of the ballot counting method for the shareholders' votes in each agenda of the meeting, as per the Articles of Association, including how to exercise the rights to vote in each of the agenda in an explicit manner. Once the information on each agenda has been provided, the Chairman shall provide the opportunity for meeting attendees to express their opinions, suggestions or ask questions on each agenda; and provide an appropriate amount of time for discussions. Thenafter, the Chairman and Management shall provide answers to the questions, clearly and to the point; and give precedence to every question. Then the meeting shall be asked to cast a vote to pass a resolution for such agenda. For the agenda on the appointment of directors, the Chairman shall ask the shareholders to cast a vote for each director individually.

The Chairman shall proceed according to the agendas in a consecutive manner. The Chairman shall not present additional agendas without notifying the shareholders in advance unless the Meeting has passed a resolution to modify the order of the agendas with no less than two-third of the number of shareholders attending the Meeting, or shareholders whose accumulated number of shares is no less than one-third of total

share outstanding. In this case, they can request the Meeting to consider matters other than the agendas indicated in the Letter of Invitation. Nevertheless, no changes occurred regarding the order of the agendas at the Annual General Shareholders' Meeting of the year 2018, and there was no request for the Meeting to consider matters other than the ones indicated in the Letter of Invitation.

The Chairman shall then inform the meeting on the outcome of the vote for each agenda, after the consideration process of each agenda has ended. Total time spent at each Annual General Shareholders' Meeting is approximately 1-2 hours. The Annual General Shareholders' Meeting of the year 2018 had been set to commence at 14.30 hrs, with the registration process starting from 13.00 hrs. At commencement of the meeting, there was a total of 224 shareholders attending the meeting. There were 38 shareholders present in person with a total of 23,337,852 shares, and 186 shareholders by proxy totaling to 88,280,602 shares, totaling to 111,318,454 shares or 56.0283 % of the total shares sold, which exceeded one-third of total paid up shares of the Company, or 199,218,000 shares.

The directors, management and auditor were also attendees at the Meeting and were present to provide the meeting with the following information:

List of Attending Directors

- | | |
|--------------------------------|--|
| 1. Gen. Charan Kullananijaya | Chairman/ Independent Director |
| 2. Mr. Prakrit Pradipasen | Independent Director/ Chairman of Audit Committee |
| 3. Mr. Yanyong Maethapanich | Independent Director/ Member of Audit Committee/ Member of Nomination and Remuneration Committee |
| 4. Maj. Gen. Patchara Rattakul | Director/ Member of Nomination and Remuneration Committee |

- | | |
|----------------------------------|---|
| 5. Mrs. Pariya Chirabandhu | Director/ Member of Nomination and Remuneration Committee |
| 6. Mrs. Yupares Thiengtham | Director |
| 7. Mr. Dumrongrugs Apibalsawasdi | Director |

Non-attending Directors

1. Sec. Lt. Phairoch Rattakul
2. Miss. Smornluk Mahasmiti
3. Mr. Philipp Hogo Gutsche
4. Mr. Martin Gensen
5. M.L. Dhisana Sritavaj

- Remark:
1. Sec. Lt. Phairoch Rattakul is sick
 2. Mr. Philipp Hugo Gusche and Mr. Martin Jansen live aboard
 3. Miss Smornluk Mahasmiti and M.L. Dhisana Sritavaj have a prior engagement

Executive:

- | | |
|-----------------------------------|-----------------------------------|
| 1. Miss Plernpun Rutchakitprakarn | Senior Executive Assistant to COO |
| 2. Miss Nithinart Juntasurat | Accounting Division Manager |

External Auditor:

- | | |
|--------------------------------|-----------------------|
| 1. Miss Orawan Sirirattanawong | CPA license no. 3757 |
| 2. Miss Pawinee Nissaisuk | Division Head - Audit |

5. Guideline for Managing Conflict of Interest

The Board of Directors has established operational guidelines for the Annual Shareholders' Meeting. If a director becomes aware that he/she may be a stakeholder or may have an interest that conflicts with the interests of the Company in an agenda, the mentioned director must declare his/her concern to the meeting and withdraw him/herself from the meeting and abstained from the voting procedure of such agenda.

6. Post-procedure of Annual General Shareholders' Meeting

Following the Meeting date, the Company shall send the summary of the resolutions passed by the Shareholders' Meeting to the Stock Exchange of Thailand no later than 9.00 hrs the next day. The Company shall also send the report of the Shareholders' Meeting comprising of the Minutes of the Meeting, the votes recorded as well as questions raised by the shareholders in each agenda (if any) to the Stock Exchange of Thailand within 14 days as required; and disclose the Minutes of the Meeting via the Company's website at www.haadthip.com within 14 days

Equitable Treatment of the Shareholders

The Company shall treat all shareholders in an equitable manner regardless of sex, age, race, nationality, religion, belief, political view or disability, even though the number of shares held by each shareholder may not be equal. Even if the shareholders are absent from the Meeting, by any reasons of inconvenience, such shareholders are eligible to the rights to issue a proxy to the third party to attend the Meeting on behalf of them. The Company also has preventive measures to avoid conflicts of interest or wrongful use of internal information for own and other benefits.

Best Practice for fair treatment to shareholders

1. Proposal of additional agenda and a candidate for Director position

In order to allow minority shareholders to take part in the Company's operation, the Company has established a set of rules and regulations in provision of rights to minority shareholders to propose the Meeting agenda and/or nominate a candidate for the Director position in advance. The regulations established in regards to the provision of rights to minority shareholders have been disclosed via the Company's website at www.haadthip.com. For the provision of rights to minority shareholders to propose the Meeting agenda and/or nominate a candidate for the Director position in advance for the Annual General Shareholders' Meeting

of the year 2018, the Company had disclosed the regulations for the rights to minority shareholders via the website at www.haadthip.com from 1 November 2017 to 31 December 2017 and posted the notification on the website of the Stock Exchange of Thailand. However, there have been no proposals of additional agenda or candidate for Director's position.

2. Language of the Meeting

The Company is a public company limited established according to the statute of the Kingdom of Thailand with Thai as an official language. Since the majority of attending shareholders are of Thai national, the Annual General Shareholders' Meeting shall be conducted in Thai.

3. Issuance of a proxy to a third party

In order to preserve the rights for non-attending shareholders, the shareholders can issue a proxy to a third party or one of the Independent Directors of the Company. The Company shall indicate the name of a third party on the proxy form, in accordance with the requirement of the Ministry of Commerce, as a Meeting attendee with unconditional rights to cast the votes on behalf of the absent shareholders.

The Company has posted the Proxy Form on the website of the Company at www.haadthip.com at least 30 days prior to the Meeting. Shareholders might make further inquiries about this through the telephone number: 0-2391-4488 extension 103 or e-mail address: ir@haadthip.com

4. Use of Voting Ballots

The Company supports use of voting ballots in important events, e.g. consideration and election the Directors, connected transactions, acquisition or disposal of assets etc. for transparency and accountability in case of any dispute in the future.

5. Use of Internal Information

The Company has established measures and practices in the good corporate governance on the use of nondisclosure information. The Company prohibits directors, executives and all level of employee to use nondisclosure information with important content for own benefit including for security trading.

Roles and Responsibilities of Stakeholders

The Company has placed an importance and consideration on all of the stakeholders, as per the related laws. The Company shall not perform or enter into transactions in such a way to infringe on the legal rights of the stakeholders, in order to promote the act of responsibility between the Company and all groups of stakeholders namely shareholders, employees, customers, business partners, competitors, creditors, the community and environment as follows:

Shareholders: Apart from the fundamental rights established by the laws and Company's regulations, for example, the rights to attend and cast the votes at the Shareholders' Meeting; the rights to offer independent opinion in the Meeting; as well as the rights to receive dividends in an equitable manner, minority shareholders have also been given the rights to propose in advance additional agendas for the Meeting and/or qualified candidates for the Director positions. The Company provides opportunity and offer right for the shareholders to propose meeting agenda deemed important by the shareholders and to propose name list of persons with appropriate qualifications for nomination as the new director in advance.

Employees: The Company treats its employees fairly and equally; has respect to human rights; provides appropriate compensation; and places an importance on employees' development of knowledge and ability by providing equal opportunities to employees of all levels on a regular basis. The company also maintains the quality of the working environment; strictly abides by labor-related laws and regulations; as well as encourages employees to prevent and get rid of all kinds of fraud and corruption, by providing appropriate protection to an informant and keeping his/her name highly confidential.

Customers: The Company produces high quality products of acceptable standard and strictly adheres to high safety and quality standard in conformity to The Coca-Cola Quality System and is certified by FSSC 22000 Food Safety Management, an international standard that specifies the requirements for a food

safety management system. The Company shall refrain from charging excessive price or setting unfair business conditions; keep customers' information in a confidential manner and arrange for a customer service unit to deal with customers' complaints in a prompt manner, to ensure highest satisfaction in the Company's products and services.

Business Partners: The Company purchases goods and services from business partners as per the normal trading terms and conditions, and strictly abides by the business agreements and promises made to the business partners, without any request for bribery or other unlawful benefits, or receive from or provide to customers thereof in anyway.

Competitors: The Company shall operate the business within the boundary of decent competition and create a healthy competitive environment by maintaining the standard of the code of conduct. The Company shall avoid exploitation of competitors' information in an unethical or dishonest manner, and avoid unlawful proceedings in order to cause damages to competitors. In the past year, the Company was not engaged in any competitor-related disputes.

Creditors: The Company shall strictly adhere to the terms and conditions agreed upon with the creditors in terms of repayment, guarantee and other conditions. The Company shall also ensure proper use of loans as stipulated in the loan agreement.

Community and Environment: The Company establishes the quality policy, safety and environment policy, and promoted employees to follow these policies so the relevant parties can ensure that the company is aware of quality, safety and environmental factors and continual development. The Company is certified by ISO 14001; Environmental Management System and CSR-DIW Award (Corporate Social Responsibility, Department of Industrial Works) in 2010 from Department of Industrial Works, Ministry of Industry. In 2011, the Company received the CSR-DIW Continuous Awards from Department of Industrial Works, Ministry of Industry.

Apart from placing an importance upon stakeholders of all groups,

the Company also pays great attention to all recommendations, opinions and information on traces and evidents that can possibly lead to the development, improvement and rectification of the Company's operation. The Company has created channels of communication through which the stakeholders can communicate with the Company in case there are inappropriate or wrongful situations that the stakeholders would like to report, rectify, request for clarification or provide suggestions. Communication can be made through the email address of the Company's Internal Audit Office at internalaudit@haadthip.com or telephone number 074210008-18 extension 124 or 307 or through the Company's Consumer Information Center (CIC): 07421008-18 extension 242 or 252.

Disclosure and Transparency of Information

The Board of Directors has issued a policy for the Company to perform with transparency, verifiability and sufficient information disclosure to all parties concerned. Information shall also be disclosed in an accurate, complete, timely and reliable manner, with equal opportunity to access the information for all parties concerned.

Guidelines for appropriate information disclosure and transparency

1. The Company recognizes the importance of disclosure of the important information, both financial and non financial information to shareholders and investors in an accurate, complete, timely and reliable manner, as per the requirement set forth by the Securities and Exchange Commission and the Stock Exchange of Thailand, via SET Community Portal and the website of the Company at www.haadthip.com in both Thai and English languages, to allow users to access the information in an equitable manner.
2. The Company has disclosed the information on the Annual Disclosure Form (Form 56-1) and Annual Report (Form 56-2) as per the requirement set forth by the Securities and Exchange Commission and the Stock Exchange of Thailand.
3. The Company has established that the audit fees and other services fees of the auditor be disclosed with in the Annual Redistration Statements (Form 56-1) and the Annual Report (Form 56-2)
4. The Company has appointed the Board of Directors to issue the Statement of the Board of Directors' Responsibilities to the Financial Reports, to be presented together with the Auditor's Report in the Annual Report (Form 56-2).
5. The Company defines criteria, conditions, and methods for reporting interest of directors, executives, and relevant personnel in accordance with Section 89/14 of The Security and Exchange Act (No.4) B.E. 2551 (2008)
6. The Company has established that there shall be disclosure of the roles and responsibilities of the Board of Directors and sub-committees; the number of meeting sessions, and number of meeting attendance by each committee member in the past year in the Annual Disclosure Form (Form 56-1) and Annual Report (Form 56-2).
7. On the Investor Relations part, Miss Plernpun Rutchakitprakarn, Acting Chief Finance Officer, has been assigned the role of a coordinator and information provider to institutional investors, analysts as well as shareholders. The contact information is: Telephone Number 074 – 210008-18 Extension 298 or Facsimile Number 074-210031 or E-mail Address: plernpun@haadthip.com

In 2018, the Company had met with the following investors:

1. Attend the Opportunity Day once in 2018, organized by the Stock Exchange of Thailand;
2. Attend an event to meet with investors and analysts twice in 2018, organized by securities companies;
3. Meeting with investors who made a company visit 4 times in 2018;
4. Provide information and answers questions by shareholders and investors via email and telephone 3-4 times per month in 2018.

8. In the case of conflict of interest, the Board of Directors has issued a requirement for transactions with major shareholders, Directors, Executives, or others with relation to the persons thereof, to be considered and approved by the Audit Committee, who will closely supervise the approval process of such transactions and strictly abide by the regulations and measures set forth by the Stock Exchange of Thailand, the Securities and Exchange Commission, and the Capital Market Supervisory Board. The transaction details such as type, value, counterparties of agreement, reasons and assurance of transparency shall be disclosed to the public via electronic media of the Stock Exchange of Thailand and in the Annual Report (Form 56-2) and Annual Disclosure Form (Form 56-1).

The Company has sought approval in principle from the Board of Directors for the case of future engagement in a connected transaction with Directors, Executives, or related persons. In the case that the transaction is a normal business transaction or a normal business support transaction with normal business terms and conditions, the Management shall have the rights to grant approval to such transaction, and shall need to prepare a report of each transaction with the value of more than Baht 50 million per transaction, in order to report to the next Board of Directors' Meeting, in accordance with Section 89/12 (1) of the Securities and Exchange Act (Issue 4) B.E. 2551 (2008).

Roles and Responsibilities of the Board of Directors

The Board of Directors comprises of qualified individuals with experience, leadership character, vision and ability to make decisions independently, who also devote their time and utmost effort in performing their duties according to the responsibilities assigned with discretion and integrity for the best interest of the Company, shareholders and stakeholders. The composition, qualification, duties and responsibilities and structure of the Board of Directors and Subcommittees have been established, as well as the rules and regulations concerning nomination and

remuneration for Directors and Executives, with complete detail presented under the 'Management Structure' topic.

1. Structure of the Board of Directors

The Board of Directors comprises of 11 Directors, which is considered appropriate. There are 8 Non-Executive Directors or 72.73% of total number of the Board; 5 Independent Directors or one-third of the entire Board of Directors, in accordance with the notification issued by the Capital Market Advisory Board. The Independent Directors are Gen. Charan Kullavanijaya, Mr. Prakrit Pradipasen, Mr. Yanyong Maethapanich, Ms. Smornluk Mahasmiti and Mr. Martin Jansen. (Details are shown under Management Structure No. 2.1: The Board of Directors)

2. Audit Committee

The Board of Directors has established and appointed the Audit Committee to perform specific tasks and propose to the Board of Directors for consideration or acknowledgement. The Audit Committee comprises of 3 Independent Directors, Mr. Yanyong Maethapanich equipped with sufficient knowledge and experience to perform and review the reliability of the financial statements. The Audit Committee shall perform the review and ensure that the Company's operation is in conformity to the Company's policy and Articles of Association as well as the laws, regulations and requirements stipulated by the supervisory authorities. The Audit Committee must also promote the development of financial reporting system to that of an international standard; perform regular review of and ensure appropriate internal control system; and ensure prudent, appropriate and efficient risk management system. In addition, the Audit Committee shall perform its duties and issue opinions in an independent manner, with Internal Control Office reporting directly to the Audit Committee. The Audit Committee shall participate in a meeting with the Auditor without the presence of the Management at least one time per year, to request for the Auditor's opinions on any issues, with complete detail presented under the "Management Structure" topic

3. Nomination and Remuneration Committee

The Company's Board of Directors has appointed the Nomination and Remuneration Committee to consider the selection and appointment of the qualified directors and to consider the remuneration for the directors and executives and propose its opinion to the Board of Directors for consideration of the nomination and remuneration for the board of the directors and all the committees before proposing to the Shareholders' Meeting for its consideration, with complete detail presented under the "Management Structure" topic

4. Number of listed companies in which the Directors are eligible to hold the Director position

The Board of Directors has established a policy regarding the number of listed companies in which the Directors are eligible to hold directorship positions in no more than five listed companies, especially independent directors since the Chief Executive Officer cannot hold a directorship position in other listed companies besides other its own company's subsidiaries.

5. Segregation of Duties between the Board of Directors and the Management

The Company has segregated the duties and responsibilities of the Board of Directors from those of the Management in an explicit manner. The Directors are responsible for the establishment of policies and supervisory of the Management performance at the policy level; while the Management is responsible for management activities in several different areas to ensure conformity to the established policies.

As such, the Chairman and the Chief Executive Officer must be 2 separate individuals, and both positions must have been through selection process by the Board of Directors to ensure the most appropriate individuals for the positions. Moreover, the Board of Directors is responsible for the establishment of succession plan for the top Executive positions.

The Chairman must have in possession the quality of independence; must not hold the Executive Director position; must not take

part in the management of the Company; and must not be an authorized Director, to ensure explicit segregation of overall policy-making and supervisory duties from the management of the Company.

Top Executives of the Company shall be assigned with duties and responsibilities, in order to perform under the established policies; hold themselves responsible for the overall outcome; control expenses and budget within the limit approved and indicated in the annual budget plan; perform as per human resource policy; rectify and find a solution for the problem or conflicts that may pose an impact upon the company; and maintain the effectiveness of communication process with all related parties.

6. Board of Directors' Meeting

The Directors must attend the Board of Directors' Meeting on a regular basis, in order to acknowledge and unanimously make decisions in regards to the Company's operation. Normally, there are approximately 4 Board of Directors' Meetings per year, each with agendas clearly set in advance. Extra meetings may also be called upon in the case of important or urgent matters. The Chairman and the Chief Executive Officer shall cooperatively establish the agendas for each Meeting, and consider the issues to add into each agenda of the Board of Directors' Meeting, while providing opportunities to each Director to propose issues for consideration as an agenda.

In year 2018, a total of 4 Board of Directors' Meetings were held, all of which had been set in advance. Letters of Invitation along with the agendas and supporting materials were sent to all of the Directors at least 7 days prior to the Meeting, to allow ample time for the Directors to study the information.

In consideration of each matter, the Chairman of the Board of Directors who is also the Chairman of the Meeting shall provide the opportunity to the Directors to share their independent opinions. Majority voting rule shall be applied during each Board of Directors' Meeting, with one vote per one Director,

and Directors who are stakeholders to abstain from attending the Meeting and/or from exercising the rights to vote for such matter. If the votes are tied, the Chairman of the Meeting shall cast the vote to determine the final outcome and ensure that at least two third of all entire Board members are present while casting the vote.

The Management shall attend the Board of Directors' Meeting to provide useful information and be informed of the policy in a direct manner, in order to apply such policy to their performance in an efficient manner. The only exemption from participation is when the Meeting agenda is set exclusively for the Board of Directors.

The Board of Directors has also placed an importance upon the management of transactions with conflict of interest in the most discreet, equitable and transparent manner, with information thereof being disclosed in entirety. In the case that a Director is also a stakeholder and may possibly benefit from an issue in the agenda, such Director must abstain himself/herself from the decision making process of the issue.

At the end of the Meeting, the Secretary to the Company shall produce the Minutes of the Meeting in order to propose for approval in the first agenda of the following Board of Directors' Meeting, and to have the Chairman of the Board of Directors signed and certified the accuracy of the report. The Directors are allowed to issue opinions and request for additional items to or correction of the Minutes of the Meeting, in order to ensure utmost accuracy. The Minutes of the Meeting that has been acknowledged and certified shall be archived in the Office of the Chief Executive Officer.

7. Training & Development

The Board of Directors provided support encouragement for directors to consider and attend training sessions with Thai Institute of Directors or other institutions/organizations as seen appropriate.

In 2018, the Company's directors had attended the following training courses/ seminars:

Directors	Training Courses / Seminar Titles
Mrs. Pariya Chirabhandu	Strategic Board Member Class, Thai Institute of Directors Advancing the Economy in a modern Thai Way, The University of the Thai Chamber of Commerce
Mr. Yanyong Maethapanich	"How to Develop a Risk Management Plan (HRP), Thai Institute of Directors
Mr. Dumrongrugs Apibalsawasdi	Strategic Board Member Class, Thai institute of Directors Advancing the Economy in a modern Thai Way, The University of the Thai Chamber of Commerce

8. Secretary to the Company

According to the Board of Directors' Meeting 3/2008 on 14th August 2008, the Board of Directors has passed a resolution to appoint Ms. Sudaluck Browvanakul as a Secretary to the Company. The duties and responsibilities of the Secretary to the Company are according to Section 89/15 of Securities and Exchange Act (No. 4) B.E. 2551 (2008) as well as complying with the laws and regulations of the Company, Board of Directors and resolutions of the shareholders' meeting as followings:

1. Preparing and keeping the following documents:
 - a) a register of directors;
 - b) a notice calling a director meeting, minute of the meeting of the board of directors and an annual report of the company;
 - c) a notice calling a shareholder meeting and minutes of the shareholders' meeting;
2. Keeping a report on interest filed by a director or an executive and submitting a copy of the report on interest in accordance with Section 89/14 to Chairman and Chairman of Audit Committee within 7 days of receipt of the mentioned report;
3. Performing any other acts as specified in the notification of the Capital Market Supervisory Board.

In addition, the Secretary to the Company has other responsibilities as followings:

1. To provide advice on the rules and regulations deemed crucial for the Board of Directors to acknowledge and abide by;
2. Arrange for the Board of Directors' Meetings and Annual General Shareholders' Meeting;
3. Coordinate with other departments in the Company to comply with the Board of the Directors and the resolutions of the Shareholders' Meeting;
4. Coordinate with regulatory agencies such as the Securities and Exchange Commission (SEC) and the Stock Exchange

of Thailand (SET) to regulate the information disclosure and report the disclosure to the mentioned agencies in accordance with the law;

5. Other duties as assigned.

9. Succession Plan

The Nomination and Remuneration Committee, on behalf of the Board of Directors, is responsible for the establishment of a Succession Plan, for the preparation of successors to the CEO and high-ranked executive positions. The Succession Plan has been established as an assurance that the Company is prepared and readily equipped with human resources for the purpose of replacement or substitution.

10. Director Orientation

The Board of Directors has arranged for an orientation for newly appointed Directors to attend and acquire knowledge on the Company's business policies as well as other related information namely investment structure and related rules and regulations, together with the distribution of Director's Manual that provides valuable detail and information for those assuming a Director position.

11. Business Ethics

The Board of Directors has established the Code of Conduct in a written format, as guidelines to follow and practice by the Board of Directors, management and all of the employees and staffs, in regards to the treatment of the rights of all stakeholders, be it the internal stakeholders such as employees and staffs, or external stakeholders namely shareholders, customers, business partners, competitors, creditors, society, community and environment; as well as human rights policy, political neutrality and anti-corruption. The Company has posted the Company's Code of Conduct on the Company's website at www.haadthip.com

12. Utilization of Internal Information

The Company has established a supervision policy to prevent Directors and Executives from exploitation of the Company's internal information for their own benefits as follows:

1. Directors or Executives are permitted to use the internal information related to the their assigned duties and responsibilities only,
2. Directors and management, inclusive of their spouses and children under legal age, are prohibited to make use of the Company's internal information, that has not yet been disclosed to the public, for own benefits or interests, including stock transactions. Moreover, personnel with knowledge of internal information that has not yet been disclosed to the public are prohibited to engage in any transactions of stocks issued by the Company within the period of 1 month before the information is released to the public and 24 hours after the information has been released to the public.
3. Directors/Executives or any department with knowledge of internal information are prohibited from disclosing such information to outside or unrelated persons,
4. Ensuring that the Directors/Executives report any changes in shareholding status to the Securities and Exchange Commission, in accordance with Article 59 of the Securities and Exchange Act B.E. 2535 (1992).



Internal Control and Risk Management

The Board of Directors continues to give precedence to the internal control and risk management systems, in realizing that the internal control and risk management systems serve as a security mechanism for the management, in helping to reduce any possible business associated risks and increase operational efficiency and effectiveness to the level established by the Board of Directors.

1. Internal Control

The Board of Directors has appointed the Audit Committee to supervise the internal control, risk management and corporate control systems of the Company, in order to ensure suitability and efficiency of the systems with a sound audit mechanism and as a counterbalance. The Company also has an Internal Audit Office to perform audit on the operational activities of all work units; provide advice on how to create an effective internal control system for all of the work systems; evaluate the level of efficiency and sufficiency of the internal control, risk management and corporate control systems on the operational activities of each work unit. The scope of work and guidelines for the Internal Audit Office to follow and perform the above-mentioned duties on the internal control, risk management and corporate control systems in a more accurate manner, have been adapted from the international standards of COSO or The Committee of Sponsoring Organizations of the Tread Way Commission; Enterprise Risk Management System; and in accordance with the Principle of Corporate Control set forth by the Stock Exchange of Thailand and Thai Institute of Directors (IOD). All matters relating to the above-mentioned systems shall be reported directly to the Audit Committee; and all activities performed by the Internal Audit Office must be accepted and approved by the Audit Committee.

2. Risk Management

The Company has appointed the Risk Management Committee (RMC) consisting of top management from different departments with Mr. Dumrongrugs Apibalsawasdi, Director/Vice president (Sales & Marketing) acting as President of the Risk Management Committee; RMC and Internal Audit Manager, acting as

secretary of the RMC

The Risk Management Committee: RMC is responsible for monitor, control and manage the level of risk in such a way that the Company accomplishes its goal and the level of risk is acceptable to the organization. The Risk Management Committee is also responsible for the establishment of a Risk Management Policy for all parties to strictly follow. The Risk Management Policy has been established through assessment and management of risks induced by both external and internal factors, which also cover all areas of risk namely strategic risk, operational risk, financial risk and compliance risk as well as risk from fraud, in order to find the best measure to deal with such risks in the most suitable manner. From an analysis of opportunity and effect, risk can be broken down into the following:

- RED (Inadequate): Unacceptable risk level which requires prompt action to manage risk to be at acceptable level
- YELLOW (Adequate): Acceptable risk level which requires preventive action
- GREEN (Strong): Acceptable risk level which requires no preventive nor any further actions

In order to manage the company's risk to the maximum effect, to standardize management process and to build company's culture which emphasize integrated development to make stakeholders confident that the company's risk management plays an important part in the operations of every department. The company has set up "Risk Management Department" to be responsible for planning and coordinating with each department to evaluate risk in working process at both operation's and company's levels. This covers significant factors related to risk, continual risk reduction plan and presentation to the Risk Management Committee prior to the Board's acknowledgement and consideration.

3. Operational Control

The Company has explicitly established measures and operational guidelines in the form of orders, rules and regulations, approval authority and operational procedures, in order for the management and staff of all levels to proceed in the same direction and

follow the same set of rules and regulations. In addition, the Internal Audit Office shall serve to regularly review the work performance in order to ensure that such orders, rules and regulations, approval authority and operational procedures have been strictly followed, to make certain that internal control system on operational activities is sufficient, suitable and efficient. The SAP system has also been implemented, in order to help speeding up the work process and ensure higher efficiency in the operational routines.

The Audit Committee serves to consider and review the Internal Audit Reports on a regular basis, in order to acknowledge the important issues and problems found from audit process; and make recommendations to the Management to rectify the problems and prevent the same problems from reoccurrence.

4. Information Technology and Communication System

The Company has an adequate data and information storage system that can be used for the benefit of the Company. It has also improved the information technology system in order to develop and improve the working system to a more efficient level. The Company has been using the Enterprise Resources Planning (ERP) software by SAP ECC 6.0 since June 2011.

In 2017, the Company had considered an investment in the HaadThip Improvement Project (HIP), with an objective to develop and improve a SAP software, to ensure higher efficiency and to facilitate the Company's business operations with the work procedure that is subject to change; and to add on another module that shall cover any other and new work procedures and operational activities. The HIP project was implemented on 15th May 2017 and completed on 13st May 2018 as planned.

Moreover, in 2018, the Company's information technology system was audited by an external Auditor (KPMG), and it has not been notified by the Auditor of any flaws or errors deemed material.

5. Monitoring System

The Board of Directors has arranged for an evaluation and follow-up system to monitor the internal control system on a regular basis and in completion. The Board of Directors has appointed the Audit Committee to audit, monitor and review the internal control system through the Internal Audit Office; and to perform audit activities on the operational procedures and evaluate the performance by the use of international standards, to ensure that issues found during audit activities or review process can be improved or revised in the most suitable and immediate manner. As for the evaluation of internal control on the accounting and finance side of the Company, the Auditor shall be responsible to perform the audit activities on this part and present the results for consideration by the Audit Committee on a quarterly and yearly basis. The outcomes from the review by the certified Auditor and Internal Control Office had shown no issues deemed defective, in all material aspects.

6. Internal Audit

The Audit Committee has been monitoring the performance of the Internal Audit Office, to ensure performance of the assigned duties. Such duties include building confidence and providing advice in an independent and equitable manner in regards to the audit activities and evaluation of the level of sufficiency of the internal control system; as well as following up on the improvement or revision of the operational procedures to ensure suitability and that all operational procedures of the Company have been covered. All of which shall be reported directly to the Audit Committee, and the Internal Audit Office Charter and the Internal Auditors' Code of Ethics shall explicitly serve as the operational guidelines.

The Internal Audit Office has developed and improved the internal audit procedure in such a way that it is in accordance with the Standards for the Professional Practice of Internal Auditing, in order to continuously improve the performance of Internal Auditors to a more efficient and effective level. The Company also promotes and supports regular training sessions on the subject of professional practice of internal auditing as well as other professions, as well as examinations to the level certified with a Professional Diploma.



Summary Profile of the Directors and Management

Gen. Charan Kullavanijaya

Position	:	Independent Director / Chairman of the Board
Age (years)	:	83
Education	:	Bachelor of Science CHULACHOMKLAO ROYAL MILITARY ACADEMY
	:	The Command and General Staff College, Fort Leavenworth, Kansas, USA
	:	Diploma on Economic Development The Nation Institute of Development Administration (NIDA)
	:	30th Thailand National Defense College (NDC)
% of shareholding	:	- None -
Family Relationship of Management Team	:	- None -
Date of Appointment	:	29 April 1998 (20 years in total)
Training by Thai Institute of Director	:	
Association (IOD)	:	- None -
Experience	:	1987 - Present Special ADC to H.M. the King
	:	2013 - Present Chancellor of the University Council, RAJAMANGALA University of Technology RATTANAKOSIN
	:	2006 - 2008 First Vice - President, The National Legislative Assembly
	:	1996 - 2000 Senator, Member of the Senate
	:	1992 - 1996 Senator, Member of the Senate
	:	1991 - 1996 Secretary General of the National Security Council, Office of the Prime Minister
	:	1991 - 1992 Member of the National Legislative Assembly
Date of Appointment	:	29 April 1998 (20 years in total)
Training by Thai Institute of Director	:	
Association (IOD)	:	- None -
Holding a position of Director / Executive in other organization:		
Listed Company	:	- None -
None - Listed Company	:	- None -

Sec. Lt. Phairoch Rattakul

Position	:	Chief Executive Officer / Authorize Directors / Chairman of Nomination and Remuneration Committee
Age (years)	:	86
Education	:	Bachelor of Economics Bristol University, England
% of shareholding	:	22.376 % of the paid - up capital and total voting right (Inclusive of shares held by spouse)
Family Relationship of Management Team	:	Father of Mrs. Pariya Chirabandhu & Maj. Gen. Patchara Rattakul Brother of Mrs. Yupares Thiengtham Uncle of Mr. Sarapat Thiengtham
Date of Appointment	:	24 August 1978 (40 years in total)
Training by Thai Institute of Director Association (IOD)	:	- None -
Experience	:	Haad Thip Public Company Limited 1978 – 22 December 2018 Chief Executive Officer Office of the Prime Minister 24 October 2006 - 6 February 2008 Advisor to the Prime Minister Southern Rocks Co., Ltd. 2012 - 22 December 2018 Managing Director Mee Por Pieng Co., Ltd. 2007 - 22 December 2018 Managing Director
Date of Appointment	:	24 August 1978 (40 years in total)
Training by Thai Institute of Director Association (IOD)	:	- None -
Holding a position of Director / Executive in other organizations:		
Listed Company	:	-None -
None - Listed Company	:	Managing Director 1. Southern Rocks Co., Ltd. 2. Mee Por Pieng Co., Ltd.

Remark: Passed away on December 22, 2018

Maj. Gen. Patchara Rattakul

Position	:	Chief Executive Officer/ Authorize Director
Age (years)	:	57
Education	:	M.A Philosophy Politics and Economics St. John's College, Oxford University, UK
% of shareholding	:	5.211% of the paid - up capital and total voting right
Family Relationship of Management Team	:	Sec. Lt. Phairoch Rattakul's son Mrs. Pariya Chirabandhu's brother Mrs. Yupares Thiengtham's nephew Cousin of Mr. Sarapat Thiengtham
Date of Appointment	:	17 March 2004 (14 years in total)
Training by Thai Institute of Director		
Association (IOD)	:	Director Accreditation Program (DAP), year 2005
Experience	:	HAAD THIP Public Company Limited 2009 - Present Chief Operating Officer 2003 - 2009 Advisor
	:	Southern Rocks Co., Ltd. 2012 – Present Director
	:	Mee Por Pieng Co., Ltd. 2007 – Present Director
Date of Appointment	:	17 March 2004 (14 years in total)
Training by Thai Institute of Director		
Association (IOD)	:	Director Accreditation Program (DAP), year 2005
Holding a position of Director / Executive in other organizations:		
Listed Company	:	- None -
None - Listed Company	:	Director
		1. Southern Rocks Co., Ltd.
		2. Mee Por Pieng Co., Ltd.

Remark: Appoint as CEO as the resolution of the Board meeting on 21st January 2019

Mr. Prakit Pradipasen

Position	:	Independent Director / Chairman of the Audit Committee
Age (years)	:	77
Education	:	Bachelor of Science of Business Administration Silliman University, Philippines
	:	Master of Business Administration Wayne State University, Detroit Michigan, USA
	:	City Bank Credit Trading Center, Philippines
	:	Senior Executive Program, Stanford National of Singapore, Singapore
	:	3 rd Special Program of Thailand National Defense College, Joint Public & Private Sector
	:	Program for Senior Executive The Sloan School of Management Massa- chusetts Institute of Technology, USA
% of Shareholding	:	- None -
Family Relationship of Management Team	:	- None -
Date of Appointment	:	17 March 1989 (29 years in total)
Training by Thai Institute of Director Association (IOD)	:	1. Director Accreditation Program (DAP) Class 1/2003 2. Role of Chairman Program (RCP) Class 15/2007 3. Thailand's 4 National Conference on Collective on Collective Action against Corruption Class 1/2013
Experience: Listed Company	:	Chairman 2003 - Present Diamond Building Products Plc. Chairman, Independent Directors / Chairman of Nomination and Corporate Governance Committee 2000 - Present The ERWAN Group Plc. Chairman, Independent Directors 2000 - Present Asian Marine Service Plc. Independent Director / Chairman of Audit Committee / Member of Nomination and Remuneration Committee 2000 - Present SUPALAI Public Company Limited Independent Director / Member of Audit Committee 2000 - Present SUSCO Public Company Limited
None Listed Company	:	Directors 2002 - Presen Myriad Material Co., Ltd.

Mrs. Yupares Thiengtham

Position	:	Director / Chairman of the Nomination and Remuneration Committee
Age (years)	:	82
Education	:	Certificate of Secretary and Commerce Bristol College of Commerce, England
% of shareholding	:	0.015% of the paid - up capital and total voting right
Family Relationship of Management Team	:	Maj. Gen. Patchara Rattakul's aunt
	:	Mrs. Pariya Chirabandhu's aunt
	:	Mr. Sarapat Thiengtham's mother
	:	Sec. Lt. Phairoch Rattakul's sister
Experience	:	Working experience with HAAD THIP Plc. 25 years, retired from the Company as Deputy Managing Director on 31st December 2003
Date of Appointment	:	24 August 1978 (40 years in total)
Training by Thai Institute of Director		
Association (IOD)	:	- None -

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	- None -

Remark: Appoint as Chairman of the Nomination and Remuneration Committee as the resolution of the Board meeting
No. 1/2019 on 21st January 2019

Miss Smornluk Mahasmiti

Position	:	Independent Director/ Member of Audit Committee / Member of Nomination and Remuneration Committee
Age (years)	:	75
Education	:	Srinakharin Wirot University Prasarnmit Demonstration School (Secondary)
% of shareholding	:	- None -
Family Relationship of Management Team	:	- None -
Experience	:	Working experience with HAAD THIP Plc. 26 years, retired from the Company as Deputy Managing Director on 31st December 2004
	:	Southern Rocks Co., Ltd 2012 – Present Director
Date of Appointment	:	21 March 2006 (12 years in total)
Training by Thai Institute of Director		
Association (IOD)	:	- None -
Holding a position of Director / Executive in other organizations:		
Listed Company	:	- None -
None - Listed Company	:	Director Southern Rocks Co., Ltd

Mr. Philipp Hugo Gutsche

Position	:	Director / Nomination and Remuneration Committee Member
Age (years)	:	81
Education	:	Bachelor of Commerce University of Cape Town, South Africa
% of Shareholding	:	1.34% of the paid - up capital and total voting right
Family Relationship of Management Team	:	- None -
Experience	:	Chairman 2 July 2016 - Present Coca - Cola Beverage Africa (Pty) Ltd. July 1962 - 2 July 2016 Coca - Cola SABCO (Pty) Ltd. Board Member 1 March 2016 - Present Meridian Holdings (Pty) Ltd. 7 September 1976 - Present GUSCHE Investment and Management Company 8 July 2015 - Present GUTSCHE Family Investments (Pty) Ltd.
Date of Appointment	:	30 November 2005 (13 years in total)
Training by Thai Institute of Director	:	
Association (IOD)	:	- None –

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	Chairman Coca - Cola Beverage Africa (Pty) Ltd. Board Member 1. Meridian Holdings (Pty) Ltd. 2. GUTSCHE Investment and Management Company 3. GUTSCHE Family Investments (Pty) Ltd.

Remark: Appoint as Nomination and Remuneration Committee Member as the resolution of the Board meeting

No. 1/2019 on 21st January 2019

Mr. Johan Willem Maarten Jansen (Martin Jensen)

Position	:	Independence Director
Age (years)	:	61
Education	:	Marketing Degree, HEAO - GRONINGEN (Higher studies Economics and Administration)
	:	NIMA - C Certificate, NIMA (Highest marketing diploma in the Netherlands)
% of shareholding	:	- None -
Family Relationship of Management Team	:	- None -
Experience	:	Non - Executive Director
		July 2007 - Present Equatorial Coca - Cola Bottling Company
		January 2011 - May 2018 The Coca - Cola AMATIL
	:	Executive Director
		Present MYCO Management Consulting
	:	Region Director & Chairman (Southeast Asia)
		January 2010 - May 2018 The Coca - Cola Company
	:	Chief Executive Officer
		January 2010 - May 2018 Coca - Cola Industries Ltd., China
Date of Appointment	:	21 March 2006 (12 years in total)
Training by Thai Institute of Director		
Association (IOD)	:	- None -

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	Non - Executive Director
		Equatorial Coca - Cola Bottling Company
	:	Executive Director
		MYCO Management Consulting

Mr. Yanyong Maethapanich

Position	:	Independent Director/ Member of Audit Committee / Member of Nomination and Remuneration Committee
Age (years)	:	53
Education	:	Prince of Songkla University Bachelor of Accounting Master of Business Administration
% of shareholding	:	- None -
Family Relationship of Management Team	:	- None -
Experience	:	INTADIT C.P.A. Office Co., Ltd. 1995 – Present Managing Director
Date of Appointment	:	5 November 1999 (19 years in total)
Training by Thai Institute of Director		
Association (IOD)	:	2005 Director Accreditation Program (DAP)
	:	2012 Role of the Compensation Committee - RCC
	:	2018 How to Develop a Risk Management Plan (HRP)

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	Managing Director INTADIT C.P.A. Office Co., Ltd.

M.L. Dhisana Sritavaj

Position	:	Director
Age (years)	:	56
Education	:	Master Degree (Engineering Management) George Washington University, Washington DC, USA
% of shareholding	:	1.598% of the paid - up capital and total voting right (Inclusive of shares held by spouse)
Family Relationship of Management Team	:	- None -
Experience	:	General Manager 2010 - Present SUVARNABHUMI Marketing Co., Ltd. 2009 - 2010 ISEPA Asia (Thailand) Co., Ltd. : Marketing Director 2002 - 2008 TON - YA - TAI Co., Ltd.
Date of Appointment	:	30 November 2005 (13 years in total)
Training by Thai Institute of Director		
Association (IOD)	:	- None -

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	General Manager SUVARNABHUMI Marketing Co., Ltd.

Mrs. Pariya Chirabandhu

Position	:	Authorize Director / Member of Nomination and Remuneration Committee
Age (years)	:	58
Education	:	Bachelor of Arts Boston University, USA
% of shareholding	:	4.453% of the paid - up capital and total voting right (Inclusive of shares held by spouse)
Family Relationship of Management Team	:	Maj. Gen. Patchara Rattakul's sister Sec. Lt. Phairoch Rattakul's daughter Mrs. Yupares Thiengtham's niece Cousin of Mr. Sarapat Thiengtham
Experience	:	HAAD THIP Public Company Limited 2005 - Present Senior Executive Vice President and Acting Procurement Director : Southern Rocks Co., Ltd. 2012 – Present Director : Mee Por Pieng Co., Ltd. 2007 – Present Director
Date of Appointment	:	29 March 1993 (19 years in total)
Training by Thai Institute of Director		
Association (IOD)	:	2006 Director Accreditation Program (DAP) : 2012 Role of the Compensation Committee - RCC : 2018 Strategic Board Member

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	Director 1. Southern Rocks Co., Ltd. 2. Mee Por Pieng Co., Ltd.

Mr. Dumrongrugs Apibalsawasdi

Position	:	Authorize Director
Age (years)	:	57
Education	:	Bachelor of Politics Chulalongkorn University
% of shareholding	:	- None -
Family Relationship of Management Team	:	- None -
Experience	:	HAAD THIP Public Company Limited 2012 - Present Vice President 2007 - 2012 Sales and Marketing Director 2004 - 2007 Marketing Director
Date of Appointment	:	20 May 2009 (9 years in total)
Training by Thai Institute of Director		
Association (IOD)	:	2018 Strategic Board Member

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	- None -

Mr. John Joseph Benedetti

Position	:	Senior Vice President (Supply Chain and Demand Fulfillment)
Age (years)	:	54
Education	:	St. Josephs College of Further Education, Glasgow, Scotland, UK
% of shareholding	:	- None -
Family Relationship of Management Team	:	- None -
Training by Thai Institute of Director Association (IOD)	:	- None -
Experience	:	HAAD THIP Public Company Limited 2015 - Present Senior Vice President 2014 - 2015 Vice President 2006 - 2014 Operation Director : Operations Manager - Highveld Bottling Scarlet Ibis Investments Coca - Cola Southern Africa : Operations Manager - Highveld Bottling, TJC Holding (PTY) Ltd. : Production Manager - Highveld Bottling, TJC Holding (PTY) Ltd. : Bottling Managing - Coca - Cola SABCO : Installation Technician - Bass Clarington Breweries London, UK
Holding a position of Director / Executive in other organizations:		
Listed Company	:	- None -
None - Listed Company	:	- None -

Mr. Timothy Edward Doyle

Position	:	Vice President (Customer Service System)
Age (years)	:	58
Education	:	Bachelor of Arts - Speech Communication & Business Marketing San Jose State University, San Jose California, USA
% of shareholding	:	- None -
Family Relationship of Management Team	:	- None -
Training by Thai Institute of Director	:	
Association (IOD)	:	- None -
Experience	:	HAAD THIP Public Company Limited 1 April - Present Vice President 2014 - 31 March 2016 Customer Service System Director 2006 - 2014 Operations Director
	:	Coca - Cola Southeast Asia Service Company (Coca - Cola Company Asia) 2011 - 2013 Lao Project Manager - Franchise Director Southern Thailand: TCCC 2002 - 2010 Company Manager PNG & Pacific Island

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	- None -

Mr. Takerng Kanchana

Position	:	Vice President - Production
Age (years)	:	63
Education	:	Bachelor of Engineering, Chulalongkorn University
	:	Master of Public Administration, National Institute of Development Administration (NIDA)
% of shareholding	:	0.018% of the paid - up capital and total voting right (Inclusive of shares held by spouse)
Family Relationship of Management Team	:	- None -
Training by Thai Institute of Director Association (IOD)	:	- None -
Experience	:	HAAD THIP Public Company Limited
		2015 - Present Vice President
		2004 - 2015 Plant Director
		1995 - 2004 Plant Division Manager

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	- None -

Mr. Thongchai Unchurit

Position	:	Vice President - General Administration
Age (years)	:	65
Education	:	Bachelor of Economics Ramkhamhaeng University
	:	Master of Public Administration National Institute of Development Administration (NIDA)
% of shareholding	:	0.005% of the paid - up capital and total voting right
Family Relationship of Management Team	:	- None -
Training by Thai Institute of Director		
Association (IOD)	:	- None -
Experience	:	HAAD THIP Public Company Limited
		1 July 2016 - Present Vice President
		2007 - 30 June 2016 General Administration Director
		2004 - 2006 General Administration manager
		2002 - 2003 Asst. Marketing Manager
	:	Southern Rocks Co., Ltd.
		2012 – Present Director

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	Director Southern Rocks Co., Ltd.

Mr. Sarapat Thiengtham

Position	:	Vice President - National Account & Indirect Chanel
Age (years)	:	54
Education	:	MBA International management University of DALLAS, USA
% of shareholding	:	0.0036% of the paid - up capital and total voting right
Family Relationship of Management Team	:	Mrs. Yupares Thiengtham's son Sec. Lt. Phairoch Rattakul' nephew Cousin of Mrs. Pariya Chirabandhu & Maj. Gen. Patchara Rattakul
Training by Thai Institute of Director Association (IOD)	:	- None -
Experience	:	HAAD THIP Public Company Limited 1 July 2016 - Present Vice President 28 May 2015 - 30 June 2016 National Account Manager 27 August 2014 - 27 May 2015 Senior Manager - National Account

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	- None -

Mr. Jose Henrique Zeitune

Position	:	Vice President - Commercial & Growth Strategy
Age (years)	:	54
Education	:	Master of Business Administration (MBA) Fundacao DOM Cabral, Brazil
% of shareholding	:	- None -
Family Relationship of Management Team	:	- None -
Training by Thai Institute of Director	:	
Association (IOD)	:	- None -
Experience	:	HAAD THIP Public Company Limited 5 October 2018 - Present Vice President - Commercial & Growth Strategy
	:	COCA - COLA THAILAND July 2013 - August 2018 Franchise Director for Southern Thailand (HAAD THIP Bottler) and LAOS
	:	COCA - COLA THAILAND seconded to THAINUMTHIP LIMITED May 2011 - July 2013 Strategic Planning Director

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	- None -

Miss Nopparat Amonchaisakda

Position	:	Financial Division Manager
Age (years)	:	50
Education	:	Bachelor Degree in Business Administration Prince of Songkhla University
	:	Master Degree in Business Administration Melbourne Institute of Technology (Australia)
% of shareholding	:	- None -
Family Relationship of Management Team	:	- None -
Training by Thai Institute of Director Association (IOD)	:	- None -
Experience	:	HAAD THIP Public Company Limited
		2008 - Present Financial Division Manager
		2007 - 2008 Accounting Division Manager

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	- None -

Summary Profile of the person taking the highest responsibility in finance and accounting (CFO) and the person supervising accounting

Miss Plernpun Rutchakijprakarn

Position	:	Senior Executive Assistant to CEO and Acting CFO
Age (years)	:	38
Education	:	Bachelor of Accountancy Chulalongkorn University
	:	MSc in Finance & Investment Durham University, UK
% of shareholding	:	- None -
Family Relationship of Management Team	:	- None -
Training by Thai Institute of Director		
Association (IOD)	:	- None -
The orientation training (hours)	:	- None -
Refresh (hours)	:	20
Experience	:	HAAD THIP Public Company Limited
		January 2019 - Present Senior Executive Assistant to CEO and Acting CFO
		2018 – 2019 Senior Executive Assistant to COO and Acting CFO
		2014 - 2018 Senior Executive Assistant to COO
		2012 - 2014 Commercial Operation Manager
	:	Trinity Securities Co., Ltd.
		2010 - 2012 Senior Associate (Investment Banking)
	:	Baker Tilly (Thailand) Co., Ltd.
		2005 - 2008 Senior Associate (Financial Advisory services)
	:	Ernst & Young Office Ltd.
		2002 - 2005 Senior Audit Assistant

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	- None -

Miss Nithinart Juntasurat

Position	:	Accounting Division Manager
Age (years)	:	47
Education	:	Bachelor of Commerce (Accounts) Chang Mai University
	:	Master of Business Administration Ramkhamhaeng University
% of shareholding	:	- None -
Family Relationship of Management Team	:	- None -
Training by Thai Institute of Director		
Association (IOD)	:	- None -
Refresh (hours)	:	14
Experience	:	HAAD THIP Public Company Limited 2010 - Present Accounting Division Manager 2006 - 2010 Asst. Accounting Division Manager
	:	Southern Rocks Co., Ltd. 2012 – Present Director

Holding a position of Director / Executive in other organizations:

Listed Company	:	- None -
None - Listed Company	:	Director Southern Rocks Co., Ltd.



Summary Profile of Company Secretary and Head of Internal Audit

Miss Sudaluck Brownvanakul

Position	:	Company Secretary
Age (years)	:	69
Education	:	Bachelor of Commerce and Accountancy (Finance and Banking), THAMMASAT University
% of shareholding	:	0.001% of the paid - up capital and total voting right
Family Relationship of management Team	:	- None -
Experience	:	Haad Thip Public Company Limited 2011 - Present Securities Division Manager 2004 - 2011 Security Deputy Manager
Date of Appointment	:	14 August 2008
Training by Thai Institute of Director Association (IOD)	:	Company Secretary Program (CSP) Class 32/2009

Mrs. Arunee Praduppeth

Position	:	Internal Audit Department Manager
Age (years)	:	47
Education	:	Bachelor Degree (Accounting) SUHHOTHA THAMMATHIRAT Open University
Certified Internal Auditor	:	IACP (Internal Auditing Certificate Program) The Institute of Internal Auditors of Thailand
% of shareholding	:	- None -
Family Relationship of management Team	:	- None -
Experience	:	5 years of work experience in Internal Auditing - HAAD THIP Public Company Limited - Ban Suzuki Group Co., Ltd. 18 years of work experience in Accounting - Ban Suzuki Group Co., Ltd. - PHIYHAN PHANICH Group Co., Ltd. - A.P.K. FURNISHING PARAWOOD Co., Ltd. - 3KHomeBase Co., Ltd.
Date of Appointment	:	3 January 2017
Training by Thai Institute of Director Association (IOD)	:	Private Sector Collective Action Coalition Against Corruption (CAC)



Related Transactions

Connected transactions mean transactions between a listed company or its subsidiary with connected person(s) such as an executive, major shareholder or person with controlling interest in the Company, inclusive of a company wherein the connected person is a major shareholder or person with controlling interest.

The Company certainly realizes that entering into a connected transaction may possibly lead to conflicts of interest. Therefore, in order to ensure equal opportunities of transparency and fairness among all shareholders, the Company shall ensure that all transactions are in conformity with the following principles:

1. A connected transaction must go through an approval process deemed transparent, and stakeholders or persons with possible conflict of interest in the connected transaction shall refrain from participating in the decision - making process
2. Consideration to enter into a connected transaction must be based on the best interest of the Company as the top priority
3. Careful consideration by the Audit Committee must be carried out before proposing to the Board of Directors and/or Shareholders' Meeting for approval of such a transaction
4. In the case that a connected transaction is entered as a trade agreement in such a way that any reasonable person would carry out a transaction agreement with another party to a contract in the same situation and with power of negotiation that bears no influences as a result of the reasonable person holding a position of a Director, Executive or related person thereof, depending on the case, or a normal transaction, or a normal business support

transaction with general trading terms and conditions; then the Company must propose such an Agreement to the Board of Directors or request for approval in principle from the Board of Directors before entering into such a transaction, as per Section 89/12(1) of the Security and Exchange Act (No.4) B.E. 2551

5. Connected transactions must be disclosed as per the rules and regulations stipulated by the Securities and Exchange Commission
6. There must be reliable follow – up and verification systems to ensure that the connected transactions are adhered to the correct procedure

For the year 2018, the Company has a transaction with Southern Rocks Company, which is the Company's subsidiary that the Company holds 99.99% of total shares in buying containers of Baht 467.99 million with the price policy of the cost plus margin, and blowing plastic bottles service of Baht 12.08 million with the price policy of contractually agree price, in accordance with the normal trade.

Future Related Transactions

Related transactions of the Company in the future shall be transactions of normal business operation without transferring any interest between the Company and related companies or persons. The company shall adhere to and strictly follow the regulations of the Stock Exchange of Thailand (SET) and Securities and Exchange Commission (SEC) as well as relevant laws, considering the reasonability and appropriateness of the conditions and market price which can be referred to in order to ensure that the shareholders and every stakeholder receive fair and equitable benefits according to the Company's good governance.



Management Discussion and Analysis: MD&A

1. Overall picture of the past performance

The Company is an operator of a sparkling beverage business, with main income generated by sales and distribution of sparkling beverage products namely Coke, Fanta and Sprite as well as non-carbonated products namely Minute Maid fruit juice group of beverages, Aquarius and Namthip Drinking Water, in the southern part of Thailand. In 2018, total sales of the Company had increased only by 1.77% from the previous year, resulting from the fact that the price of rubber and oil palm, the major economic crops of the South, continued to remain low, which had presented a negative impact on the economic condition of the southern region and led to contraction in consumption, especially contraction in the part of consumer spending.

2. The operating results of Haad Thip PCL and the Subsidiary

The Company's profit for the year, as stated in the Consolidated Financial Statement, was Baht 249.07 million, a decrease of Baht 34.24 million or 12.09% from the same period last year. The reasons behind changes in profit are as follows:

1. Revenue from sales of Baht 5,704.10 million showed an increase of Baht 33.02 million or 0.58% as a result of an increase in the sales volume.
2. Cost of sales was Baht 3,780.01 million, a Baht 27.02 million or 0.71% decline, in line with a decrease in the price of sugar and an increase in production of PET products at the second production plant, which had led to a drop in the cost of sales per unit.
3. There was a foreign exchange gain of Baht 0.29 million, a Baht 0.01 million or 17.90% decline.
4. Other income in the amount of Baht 18.40 million showed a decrease of Baht 1.12 million or 5.71%, mainly from a decline in gain from the sales of old motor vehicles.
5. Cost of distribution had increased by Baht 52.25 million or 4.63% as a result of an increase in sales promotion expense and distribution expense.
6. Selling and administrative expense increased by Baht 46.11 million or 11.08% as a result of an increase in compensation and benefits for the Company's staffs/employees, to be appropriately in line with labor market condition of southern Thailand; recruitment of skilled personnel to accommodate future business expansion; and an increase in amortization and depreciation from investment in computer programs and fixed assets deemed necessary for business operation.
7. Finance cost decreased by Baht 8.49 million or 21.81%.
8. Income tax increased by Baht 3.23 million or 18.61% following an improvement in the operating results of the Company-only financial statements; and the Company had exercised the right to corporate income tax exemption for income utilized for the purpose of investment.

Profitability and Operational Efficiency Ratios:

Ratios	2018	2017
Gross Profit Margin (%)	33.73	32.87
Operating Profit Margin (%)	4.27	4.93
Net Profit Margin (%)	4.37	5.00
Return on Equity (%)	9.26	11.03
Return on Assets (%)	6.41	7.29

- Gross profit margin increased by 0.86% as a result of a drop in the price of sugar and the cost of sales of some products and product sizes, following an increase in production by the second production plant.
- Operating profit margin decreased by 0.66% as a result of an increase in the cost of distribution as well as selling and administrative expenses.
- Net profit margin decreased by 0.63% as a result of an increase in the cost of distribution as well as selling and administrative expenses.
- Return to equity decreased by 1.77% as a result of a decrease in the Company's net profit.
- Return on assets decreased by 0.88% as a result of a decrease in the Company's net profit.

3. Financial Status of Haad Thip Public Company Limited and the Subsidiary

(Unit: Million Baht)

Items	As at 31 Dec 2018	As at 31 Dec 2017	Increase (Decrease) by	
			Amount	%
Total Assets	4,757.80	4,609.25	148.56	3.22
Total Liabilities	2,045.53	1,943.99	101.53	5.22
Shareholders' Equity	2,712.26	2,665.25	47.02	1.76

1. As at 31st December 2018, the Company's total assets was Baht 4,757.80 million, an increase of Baht 148.56 million or 3.22% from end of the year 2017.

- Cash and cash equivalents had increased by Baht 41.71 million or 67.72% since there was more inflow than outflow of cash from operating activities by the amount of Baht 575.50 million. Net cash used in investing activities was in the amount of Baht 261.24 million; and cash inflow from financing activities was in the amount of Baht 272.55 million.
- The amount of temporary investment had declined by Baht 16.13 million or 94.88%
- There was a net decline of Baht 0.62 million or 0.12% in account receivables.
- Other receivables had increased by Baht 4.75 million or 14.95%, mainly as a result of Value Added Tax claimable from Revenue Department, since the subsidiary had invested more on machinery and equipment at year end.
- There was an increase of Baht 27.55 million or 10.90% in inventory, mainly as a result of an increase in finished goods.
- Income tax assets for the current period declined by Baht 2.55 million since the Company had already claimed and received corporate income tax.
- Other current assets decreased by Baht 7.06 million or 39.98% as a result of a decrease in sales promotion materials.
- Available-for-sales investments increased by Baht 1.02 million as a result of an investment in securities available for sales.
- Remaining balance of investment property equaled to last year's balance of Baht 206.39 million.
- Land, building and equipment increased by Baht 63.45 million or 1.84% as a result of an increase in investment in fixed assets necessary for business

operation; and depreciation expenses during the year in the amount of Baht 273.64 million.

- Intangible assets increased by Baht 43.32 million or 239.55% as a result of investment in the computer programs to support and improve operational efficiency in the workplace.
- Other non-current assets decreased by Baht 6.91 million or 40.91% since the number of sales promotion materials in the category of fixed assets, such as refrigerators that had not been withdrawn from stock for utilization, had declined.

2. As at 31st December 2018, the Company's total liabilities was Baht 2,045.53 million, which could be divided into short-term liabilities in the amount of Baht 1,083.12 million and long-term liabilities in the amount of Baht 962.41 million. This indicated an increase of Baht 101.53 million or 5.22% in total liabilities from the end of year 2017.

- Short-term loan from financial institution increased by the entire amount of Baht 200.00 million. Short-term loan has been utilized as working capital.
- Account payables increased by Baht 38.38 million or 16.58% as a result of payables for the price of concentrate purchased from a business partner abroad and the purchase of other raw materials.
- Other payables increased by Baht 3.50 million or 0.77%, mainly as a result of an increase in excise tax and payables for spare parts for machinery; while accrued sales promotion expenses had decreased.
- Income tax payable increased by Baht 3.79 million or 150.56% from the fact that the Company had to pay higher income tax for an increase in profits from the Company-only financial statement.
- The entire amount of Baht 150.00 million of bond had decreased since the maturity date of the bond had already been reached on 12th September 2018.

- Long-term loan decreased by a total amount of Baht 33.29 million or 6.94% following the receipt of additional loan in the amount of Baht 70.35 million, while making loan repayment during the year in the amount of Baht 103.64 million.
 - Financial lease liabilities increased by the total amount of Baht 30.54 million or 19.00%
 - Customers' deposits on bottles and cases decreased by Baht 0.78 million or 3.56%, following the return of deposits on bottles and cases to customers.
 - Deferred tax liability decreased by Baht 4.43 million or 1.56% following an increase in the estimated provision for employee retirement benefits in 2018.
 - Estimation of non-current liabilities in the category of provision for employee benefits had increased by Baht 13.82 million or 8.63% following an increase in the gradual estimation of provision for employee retirement benefits.
3. The Company's shareholders' equity of Baht 2,712.28 million as at 31st December 2018 showed an increase of Baht 47.02 million or 1.76% from the end of year 2017 due to the net profit of the year subtracted by dividend payout from the operating results of 2017 at the rate of Baht 0.62 per share in May 2018, and interim dividend payout from the operating results of 2018 at the rate of Baht 0.38 per share in September 2018.

4. Cash Flow

Items (Unit : Million Baht)	2018	2017
Net cash from operating activities	575.50	630.33
Net cash used in investing activities	(261.24)	(130.56)
Net cash from (used in) financing activities	(272.55)	(574.36)
Net increase (decrease) in cash and cash equivalents	41.71	(74.60)

The Company's inflow of cash from operating activities was higher than outflow by Baht 575.50 million, a decline of Baht 54.82 million from the previous year. The Company's net cash used in investment activities in the amount of Baht 261.24 million showed an increase of Baht 130.68 million from the previous year. The Company's net cash used in financing activities was Baht 272.55 million as a result of the repayments of financial lease, long-term loans and bond. Dividend payout had also been made to the shareholders, from the operating results of the year 2017 as well as interim dividend payout from the operating results of the year 2018.

5. Liquidity

Important liquidity ratios:

Ratios	2018	2017
Liquidity Ratio (times)	0.89	0.93
Cash Ratio (times)	0.59	0.62
Average Debt Collection Period (day)	34.28	34.82
Average Inventory Turnover Period (day)	25.72	25.38
Average Debt Repayment Period (day)	24.21	23.20

- The Company's liquidity ratio of 0.89 times showed a decline by 0.04 times from the previous year; with cash ratio of 0.59 times, a decline by 0.03 times from the previous year. All of which was the result of utilization of short-term loan as working capital.
- The Company's average debt collection period was 34 days, which was slightly faster than the previous year.
- The average inventory turnover period was 26 days, which was slightly slower than the previous year.
- Average debt repayment period was 24 days, which was slightly slower than the previous year.

6. Financial Policy

Financial Analysis Ratios:

Ratios:	2018	2017
Debt-to-Equity Ratio (times)	0.75	0.73
Interest Coverage Ratio (times)	9.87	8.73

- Debt-to-equity ratio of 0.75 times was slightly higher than the previous year, indicating that investment came more from an increase in borrowing than from equities.
- Interest coverage ratio of 9.87 times showed an increase from the previous year.



Nomination and Remuneration Committee Report

Nomination and Remuneration Committee currently comprises the following 5 members:

- Mrs. Yupares Thiengtham^{1/} Chairman of the Nomination and Remuneration Committee
- Miss Smornluk Mahasmiti Member of the Nomination and Remuneration Committee
- Mr. Philipp Hugo Gutsche^{2/} Member of the Nomination and Remuneration Committee
- Mrs. Pariya Chirabandhu Member of the Nomination and Remuneration Committee
- Mr. Yanyong Maethapanich Member of the Nomination and Remuneration Committee

Note : ^{1/} Appointed the Chairman of the Nomination and Remuneration Committee following the resolution passed by the Board of Directors' Meeting on 21st January 2019, to be in succession of Sec. Lt. Phairoch Rattakul who passed away on 22nd December 2018.

^{2/} Appointed a member of the Nomination and Remuneration Committee following the resolution passed by the Board of Directors Meeting on 21st January 2019.

The Nomination and Remuneration Committee has performed the duties assigned by the Board of Directors, in accordance with the scope of duty and responsibility described in the Charter, in a prudent, equitable and reasonable manner.

In 2018, the Nomination and Remuneration Committee held a total of 2 meetings to consider the following matters:

- To consider and nominate members of Nomination and Remuneration Committee to replace those retired by rotation, before proposing to the Board of Directors to propose for approval from the Annual General Shareholders' Meeting.
- To consider the remuneration for the Company's Board of Directors as well as the Committees and Sub-committees before proposing to the Board of Directors to propose for approval from the Annual General Shareholders' Meeting. The rate of compensation must be appropriate for the scope of duty and responsibility; within a similar range to compensation set by other companies listed on the Stock Exchange of Thailand with the same operation size and in the same industry; at a sufficient rate to attract and retain qualified directors; and to be in accordance with the operating results of the Company.
- To consider and increase the salary and bonus for the Management and staff of the Company, through consideration of their performance, the overall operating results of the company as well as the economics condition and industry trend.

In addition, in 2018, the Company had provided the opportunity for minority shareholders to propose in advance the name of an individual deemed suitable for the director position of the Company. Such proposal was to be submitted as per the rules, regulations and method set by the Company, and to be published on the website of the Company: www.haadthip.com. However, no shareholder had proposed any name of an individual for the selection process.

(Mrs. Yupares Thiengtham)

Chairman of the Nomination and Remuneration Committee



Audit Committee Report

To Shareholders

The Audit Committee comprises 3 qualified professional and independent directors as follows:

- Mr. Prakit Pradipasen Chairman of the Audit Committee
- Miss Smornluk Mahasmiti Member of the Audit Committee
- Mr. Yanyong Maethapanich Member of the Audit Committee

The Audit Committee has performed duties in conformity to the scope of duty and responsibility as assigned by the Board of Directors of the Company, which is in accordance with the announcement of the Securities and Exchange Commission (SEC) and the requirements set forth by The Stock Exchange of Thailand (SET).

During the year 2018, the Audit Committee held a total of 4 official meetings with the Auditor and Internal Audit officers, with the presence of the Chairman of the Audit Committee and the 2 Committee members in all of the meetings. The meetings were held to consider the various matters according to the duty and responsibility of the Audit Committee as assigned by the Board of Directors. The results from the meetings were reported at each and every Board of Directors' Meeting, and can be summarized as follows:

- To consider the reports on the review of the quarterly and annual financial statements together with the Executive of the Accounting Department and the Auditor, by considering until satisfaction the report on observations from the audit activities or the review of the financial statements. However, the meetings with the presence of external Auditor were exclusive of the Executive responsible for such department. Once unanimous conclusion had been reached, recommendation on rectification would then follow. The Audit Committee had concluded that the quarterly and annual financial statements of the year 2018 were correct and accurate, and had been prepared and arranged in accordance with the generally accepted accounting standards, with disclosure of information deemed sufficient and appropriate.
- To consider the Internal Audit Report of the year 2018 and observations on the evaluation of the internal audit system as well as to provide recommendations and direction/suggestions for improvement and rectification by the Management as per the Code of Conduct. All of which was carried out to ensure that the internal audit system of the Company was appropriate and sufficient.
- To consider and approve the internal audit plan and annual budget for the year 2019, provided by the Internal Audit Office; and to issue internal audit guidelines for the Company, with an emphasis on the objectives and the scope of audit that cover significant risk factors of each and every work unit and activity.
- To consider and select an Auditor and consider the Audit Fee for the year 2019, by considering and selecting an Auditor with qualified performance and standard as well as expertise and independence in performing his/her duties. The selected Auditor would then be proposed to the Board of Directors for consideration and proposal for approval from the Annual General Shareholders' Meeting.

- To consider connected transactions and to disclose the information on connected transactions in the annual and quarterly Notes to the Financial Statements; as well as to provide an independent opinion on the gains and loss on investment assets in the major projects of the Company and subsidiary.
- Chairman of the Audit Committee had signed and certified the accuracy and completion of the self-evaluation in regards to the 71 items of the anti-corruption measure, as set forth by Thai Institute of Directors (IOD). The self-evaluation form was for the purpose of membership and certification renewal by Thailand's Private Sector Collective Action against Corruption (CAC). During the meeting of the Collective Action Certification Committee on 5th November 2018, resolution had been passed in approval of the renewal and certification of membership of Thailand's Private Sector Collective Action against Corruption (CAC) for the Company. The term of the certificate shall be 3 years from the date of the resolution and certification.

The Audit Committee has performed the duties with prudence, independence, provision of honest opinions and transparency as well as conformity to the principle of good corporate governance. The Audit Committee is confident that the Financial Statements and Notes to the Financial Statements of the Company are complete, accurate, reliable, appropriate and sufficient, and in accordance with the generally accepted accounting principle. Moreover, the Company's risk management and internal control measures are effective and sufficient. Internal audit is considered independent and provides sufficient coverage to the work procedure with high risk. The working procedure and performance of duties have also been monitored in such a way that conforms to the established laws and regulations in an appropriate manner.



(Mr. Prakrit Pradipasen)

Chairman of the Audit Committee



Report on the Board of Directors’ Responsibilities for the Financial Report

To Shareholders

The Company’s Board of Directors shall be responsible for the Financial Statements of Haad Thip Public Company Limited and the Subsidiary, which have been prepared in accordance with the Financial Reporting Standards as per the Accounting Act B.E. 2543 and the requirements set forth by The Securities and Exchange Commission on the subject of Financial Reporting, under The Securities and Exchange Act B.E. 2535. The Company has considered and adopted the accounting policy deemed suitable for the Company and has put the policy to practice on a regular basis. In addition, essential information in the Notes to the Financial Statements have been disclosed in a sufficient manner.

The Company’s Board of Directors has ensured that the Company has a sound Corporate Governance Policy; Anti-corruption Policy; and has established as well as intended to maintain the Risk Management System and Internal Control System, for the purpose of assurance that every accounting record is accurate, complete and timely, sufficient to preserve the Company’s assets and prevent any fraudulence or anomalous operations deemed material. As such, the Company has appointed an Audit Committee that comprises independent directors for the purpose of monitor and control; to perform the review of the Financial Statements in order to ensure reliable and accurate information in the Financial Statements; and to perform an assessment on Internal Control and Internal Audit System to ensure efficiency and effectiveness of the system. The opinions of the Audit Committee appear in the Audit Committee Report, which is presented in this Annual Report.

The Board of Directors issues an opinion that the Company’s Internal Control and Internal Audit System serves to assure that the Financial Statements of Haad Thip Public Company Limited and the Subsidiary for the accounting year ended 31st December 2018 display the financial status, operating results and cash flows in an accurate manner, in all material respects, and appropriately in accordance with the Financial Reporting Standards. The Auditor has performed a review; disclosed opinions; and issued an unqualified opinion in the Audit Report, which is presented in this Annual Report.

Gen. 
(Charan Kullavanijaya)
Chairman of the Board of Directors

Maj. Gen. 
(Patchara Rattakul)
Chief Executive Officer



Independent Auditor's Report

To the Shareholders of Haad Thip Public Company Limited

Opinion

I have audited the consolidated and separate financial statements of Haad Thip Public Company Limited and its subsidiary (the “Group”) and of Haad Thip Public Company Limited (the “Company”), respectively, which comprise the consolidated and separate statements of financial position as at 31 December 2018, the consolidated and separate statements of comprehensive income, changes in equity and cash flows for the year then ended, and notes, comprising a summary of significant accounting policies and other explanatory information.

In my opinion, the accompanying consolidated and separate financial statements present fairly, in all material respects, the financial position of the Group and the Company, respectively, as at 31 December 2018 and their financial performance and cash flows for the year then ended in accordance with Thai Financial Reporting Standards (TFRSs).

Basis for Opinion

I conducted my audit in accordance with Thai Standards on Auditing (TSAs). My responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements* section of my report. I am independent of the Group and the Company in accordance with the Code of Ethics for Professional Accountants issued by the Federation of Accounting Professions that is relevant to my audit of the consolidated and separate financial statements, and I have fulfilled my other ethical responsibilities in accordance with these requirements. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Key Audit Matters

Key audit matters are those matters that, in my professional judgment, were of most significance in my audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of my audit of the consolidated and separate financial statements as a whole, and in forming my opinion thereon, and I do not provide a separate opinion on these matters.

Completeness of accrued sales promotion and marketing expenses	
Refer to Note 16 to the financial statements	
The key audit matter	How the matter was addressed in the audit
In a highly competitive market, the Group has to incur more expenditures in relation to sales promotional and marketing activities with various campaigns to help the Group maintain their market shares. Sales are realised through modern trades with different types of sales incentives such as discounts, rebates, marketing support and sales promotion. Due to the variety of contractual terms, the estimate of the expenditure on incentives is complex in nature and highly uncertain depending upon market conditions. As a result, the completeness on estimate of accrued discounts, rebates, sales promotion and marketing support is an area of focus for my audit.	My principal audit procedures to address this matter included: - Understanding the process of sales and estimation relating to the accrual of sales promotion and marketing expenses and testing both key manual controls and systems-based controls of such processes with the assistance of KPMG's information technology specialists. This included, but was not limited to, accessing and maintaining customer master data and price list, credit limit approval and accrual rates of sales discounts, rebates, promotions and marketing campaigns. - Sampling the agreements with modern trades and comparing the data of sales discounts, rebates and incentives programs which were specified in those agreements to the data inputs in the system. - Analysing relationships and movements year on year of sales and related movements of discounts, rebates, promotional and marketing programs. - Considering the reasonableness of the accrual calculation on a sample basis, by corroboration of samples of inputs and inspection of underlying contractual terms with modern trades, and considering the historical accuracy of the accrual with actual expenditures incurred. Also performing test of subsequent expenditures incurred with amounts invoiced and payment documents on a sample basis. - Considering whether the amounts have been recognised in the proper period through sampling tests of credit notes and invoices received during the period and post period. - Sampling the sales promotion activities from promotion grid during the end of period and considering whether the sales promotion and marketing expenses have been recognized in the proper period. - Evaluating the adequacy of the Group's disclosure in accordance with Thai Financial Reporting Standards.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the consolidated and separate financial statements and my auditor's report thereon. The annual report is expected to be made available to me after the date of this auditor's report.

My opinion on the consolidated and separate financial statements does not cover the other information and I will not express any form of assurance conclusion thereon.

In connection with my audit of the consolidated and separate financial statements, my responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

When I read the annual report, if I conclude that there is a material misstatement therein, I am required to communicate the matter to those charged with governance and request that the correction be made.

Responsibilities of Management and Those Charged with Governance for the Consolidated and Separate Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with TFRSs, and for such internal control as management determines is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, management is responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group and the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's and the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

My objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with TSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with TSAs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

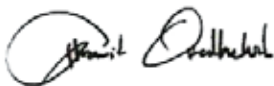
- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Group and the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. I am responsible for the direction, supervision and performance of the group audit. I remain solely responsible for my audit opinion.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide those charged with governance with a statement that I have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on my independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, I determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. I describe these matters in my auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, I determine that a matter should not be communicated in my report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



(Thanit Osathalert)
Certified Public Accountant
Registration No. 5155

KPMG Phoomchai Audit Ltd.
Bangkok
27 February 2019



Statement of financial position

Haad Thip Public Company Limited and its subsidiary

Assets	Note	Consolidated financial statements		Separate financial statements	
		31 December		31 December	
		2018	2017	2018	2017
(in Baht)					
Current assets					
Cash and cash equivalents	5	103,305,737	61,594,079	63,528,395	56,074,944
Current investments	6, 30	870,252	16,996,331	194,471	4,461,394
Trade accounts receivable	7	535,415,442	536,033,646	535,415,442	536,033,646
Other receivables	8	36,525,336	31,773,617	34,861,381	33,238,970
Inventories	9	280,165,398	252,620,117	243,643,509	223,506,372
Current tax assets		-	2,552,047	-	2,552,047
Other current assets		10,597,624	17,656,106	10,597,624	17,656,106
Total current assets		966,879,789	919,225,943	888,240,822	873,523,479
Non-current assets					
Available-for-sale investments	6, 30	1,020,000	-	1,020,000	-
Investment in subsidiary	4, 10	-	-	59,496,800	59,496,800
Investment properties	11	206,387,935	206,387,935	207,346,499	207,346,499
Property, plant and equipment	12	3,511,775,262	3,448,322,180	3,204,038,144	3,201,849,923
Intangible assets		61,401,888	18,083,516	61,386,121	18,063,448
Deferred tax assets	13	353,942	335,585	-	-
Other non-current assets		9,980,726	16,889,347	9,979,224	16,793,101
Total non-current assets		3,790,919,753	3,690,018,563	3,543,266,788	3,503,549,771
Total assets		4,757,799,542	4,609,244,506	4,431,507,610	4,377,073,250

The accompanying notes are an integral part of these financial statements.



Statement of financial position

Haad Thip Public Company Limited and its subsidiary

Liabilities and equity	Note	Consolidated financial statements		Separate financial statements	
		31 December		31 December	
		2018	2017	2018	2017
<i>(in Baht)</i>					
Current liabilities					
Short-term loans from financial institutions	14	200,000,000	-	200,000,000	-
Trade accounts payable	4, 15	269,881,969	231,503,717	331,563,481	288,358,483
Other payables	16	457,026,826	453,528,624	439,249,215	449,540,505
Current portion of long-term loans	14	91,140,000	100,290,000	91,140,000	69,840,000
Current portion of debenture	14	-	150,000,000	-	150,000,000
Current portion of finance lease liabilities	14	58,761,129	52,339,500	58,507,561	52,095,411
Income tax payable		6,308,797	2,517,866	6,308,797	2,517,866
Total current liabilities		1,083,118,721	990,179,707	1,126,769,054	1,012,352,265
Non-current liabilities					
Long-term loans	14	355,360,000	379,500,000	288,360,000	379,500,000
Finance lease liabilities	14	132,488,100	108,367,163	132,179,798	107,805,293
Customers' deposits on bottles and cases		21,151,412	21,932,194	21,151,412	21,932,194
Deferred tax liabilities	13	279,395,508	283,826,279	279,374,220	283,804,991
Non-current provisions for employee benefits	17	174,011,191	160,187,054	173,362,744	159,630,370
Total non-current liabilities		962,406,211	953,812,690	894,428,174	952,672,848
Total liabilities		2,045,524,932	1,943,992,397	2,021,197,228	1,965,025,113

The accompanying notes are an integral part of these financial statements.



Statement of financial position

Haad Thip Public Company Limited and its subsidiary

Liabilities and equity	Note	Consolidated financial statements		Separate financial statements	
		31 December		31 December	
		2018	2017	2018	2017
<i>(in Baht)</i>					
Equity					
Share capital					
Authorised share capital	18	199,218,000	199,218,000	199,218,000	199,218,000
Issued and paid-up share capital		199,218,000	199,218,000	199,218,000	199,218,000
Share premium					
Share premium on ordinary shares	18	353,945,500	353,945,500	353,945,500	353,945,500
Retained earnings					
Appropriated					
Legal reserve	19	25,000,000	25,000,000	25,000,000	25,000,000
General reserve	19	35,000,000	35,000,000	35,000,000	35,000,000
Unappropriated		811,088,052	764,068,215	509,228,386	510,966,141
Other component of equity	12	1,288,003,645	1,288,003,645	1,287,918,496	1,287,918,496
Equity attributable to owners of the parent		2,712,255,197	2,665,235,360	2,410,310,382	2,412,048,137
Non-controlling interests		19,413	16,749	-	-
Total equity		2,712,274,610	2,665,252,109	2,410,310,382	2,412,048,137
Total liabilities and equity		4,757,799,542	4,609,244,506	4,431,507,610	4,377,073,250

The accompanying notes are an integral part of these financial statements.



Statement of comprehensive income

Haad Thip Public Company Limited and its subsidiary

	Note	Consolidated financial statements		Separate financial statements	
		For the year ended 31 December		For the year ended 31 December	
		2018	2017	2018	2017
		(in Baht)			
Revenue					
Revenue from sale of goods		5,704,008,753	5,670,990,911	5,704,008,753	5,670,990,911
Net foreign exchange gain		289,127	352,303	-	353,785
Dividend income	4, 10	-	-	49,977,312	40,457,824
Other income		18,398,694	19,513,172	19,687,975	20,709,128
Total revenue		5,722,696,574	5,690,856,386	5,773,674,040	5,732,511,648
Expenses					
Cost of sales of goods		3,780,007,771	3,807,032,525	3,886,278,089	3,976,692,823
Distribution costs	21	1,180,406,048	1,128,155,384	1,180,406,048	1,128,155,384
Administrative expenses	22	462,231,363	416,121,638	456,562,790	411,045,389
Net foreign exchange loss		-	-	85,116	-
Finance costs	25	30,413,892	38,899,025	29,474,996	32,870,641
Total expenses		5,453,059,074	5,390,208,572	5,552,807,039	5,548,764,237
Profit before income tax expense		269,637,500	300,647,814	220,867,001	183,747,411
Tax expense	26	(20,566,149)	(17,338,602)	(20,579,323)	(17,347,216)
Profit for the year		249,071,351	283,309,212	200,287,678	166,400,195
Other comprehensive income					
Items that will not be reclassified to profit or loss					
Gains on revaluation of land, net of income tax	12, 26	-	65,028,670	-	65,028,670
Losses on remeasurements of defined benefit plans, net of income tax	17, 26	(2,828,162)	(10,874,345)	(2,807,433)	(10,811,259)
Other comprehensive income for the year, net of income tax		(2,828,162)	54,154,325	(2,807,433)	54,217,411
Total comprehensive income for the year		246,243,189	337,463,537	197,480,245	220,617,606
Profit attributable to:					
Owners of the parent		249,065,999	283,300,640	200,287,678	166,400,195
Non-controlling interests		5,352	8,572	-	-
Profit for the year		249,071,351	283,309,212	200,287,678	166,400,195
Total comprehensive income attributable to:					
Owners of the parent		246,237,837	337,454,965	197,480,245	220,617,606
Non-controlling interests		5,352	8,572	-	-
Total comprehensive income for the year		246,243,189	337,463,537	197,480,245	220,617,606
Basic earnings per share	28	1.25	1.42	1.01	0.84

The accompanying notes are an integral part of these financial statements.



Statement of changes in equity

Haad Thip Public Company Limited and its subsidiary

Consolidated financial statements										
		Retained earnings			Other component of equity					
	Note	Issued and paid-up share capital	Share premium on ordinary shares	Legal reserve	General reserve	Unappropriated (in Baht)	Revaluation surplus	Equity attributable to owners of the parent	Non-controlling interests	Total equity
For the year ended 31 December 2017										
		199,218,000	353,945,500	25,000,000	35,000,000	637,071,060	1,222,974,975	2,473,209,535	10,353	2,473,219,888
Balance at 1 January 2017										
Transactions with owners, recorded directly in equity										
Distributions to owners of the Company										
	29	-	-	-	-	(145,429,140)	-	(145,429,140)	-	(145,429,140)
Total distributions to owners of the Company										
		-	-	-	-	(145,429,140)	-	(145,429,140)	-	(145,429,140)
Change in ownership interests in subsidiary										
		-	-	-	-	-	-	-	(2,176)	(2,176)
Dividends of subsidiary to non-controlling interests										
Total change in ownership interests in subsidiary										
		-	-	-	-	-	-	-	(2,176)	(2,176)
Total transactions with owners, recorded directly in equity										
		-	-	-	-	(145,429,140)	-	(145,429,140)	(2,176)	(145,431,316)
Comprehensive income for the year										
		-	-	-	-	283,300,640	-	283,300,640	8,572	283,309,212
Profit										
	12, 17, 26	-	-	-	-	(10,874,345)	65,028,670	54,154,325	-	54,154,325
Other comprehensive income										
Total comprehensive income for the year										
		-	-	-	-	272,426,295	65,028,670	337,454,965	8,572	337,463,537
Balance at 31 December 2017										
		199,218,000	353,945,500	25,000,000	35,000,000	764,068,215	1,288,003,645	2,665,235,360	16,749	2,665,252,109

The accompanying notes are an integral part of these financial statements.

Statement of changes in equity

Haad Thip Public Company Limited and its subsidiary

Consolidated financial statements										
		Retained earnings			Other component of equity					
		Issued and paid-up share capital	Share premium on ordinary shares	Legal reserve	General reserve	Unappropriated reserve <i>(in Baht)</i>	Revaluation surplus	Equity attributable to owners of the parent	Non-controlling interests	Total equity
		199,218,000	353,945,500	25,000,000	35,000,000	764,068,215	1,288,003,645	2,665,235,360	16,749	2,665,252,109
					</					

The accompanying notes are an integral part of these financial statements.



Statement of changes in equity

Haad Thip Public Company Limited and its subsidiary

	Note	Separate financial statements					Total equity	
		Issued and paid-up share capital	Share premium on ordinary shares	Retained earnings				Other component of equity
				Legal reserve	General reserve (in Baht)	Unappropriated		
For the year ended 31 December 2017								
Balance at 1 January 2017		199,218,000	353,945,500	25,000,000	35,000,000	500,806,345	2,336,859,671	
Transactions with owners, recorded directly in equity								
Distributions to owners of the Company								
Dividends to owners of the Company	29	-	-	-	-	(145,429,140)	(145,429,140)	
Total distributions to owners of the Company		-	-	-	-	(145,429,140)	(145,429,140)	
Total transactions with owners, recorded directly in equity								
		-	-	-	-	(145,429,140)	(145,429,140)	
Comprehensive income for the year								
Profit		-	-	-	-	166,400,195	166,400,195	
Other comprehensive income	12, 17, 26	-	-	-	-	(10,811,259)	54,217,411	
Total comprehensive income for the year		-	-	-	-	155,588,936	220,617,606	
Balance at 31 December 2017		199,218,000	353,945,500	25,000,000	35,000,000	510,966,141	2,412,048,137	

The accompanying notes are an integral part of these financial statements.

Statement of changes in equity

Haad Thip Public Company Limited and its subsidiary

		Separate financial statements					Other component of equity	Total equity
		Retained earnings			Unappropriated reserve	Revaluation surplus		
	Note	Issued and paid-up share capital	Share premium on ordinary shares	Legal reserve			General reserve (in Baht)	
For the year ended 31 December 2018								
Balance at 1 January 2018		199,218,000	353,945,500	25,000,000	35,000,000	510,966,141	1,287,918,496	2,412,048,137
Transactions with owners, recorded directly in equity								
Distributions to owners of the Company	29	-	-	-	-	(199,218,000)	-	(199,218,000)
Total distributions to owners of the Company		-	-	-	-	(199,218,000)	-	(199,218,000)
Total transactions with owners, recorded directly in equity		-	-	-	-	(199,218,000)	-	(199,218,000)
Comprehensive income for the year								
Profit		-	-	-	-	200,287,678	-	200,287,678
Other comprehensive income	17, 26	-	-	-	-	(2,807,433)	-	(2,807,433)
Total comprehensive income for the year		-	-	-	-	197,480,245	-	197,480,245
Balance at 31 December 2018		199,218,000	353,945,500	25,000,000	35,000,000	509,228,386	1,287,918,496	2,410,310,382

The accompanying notes are an integral part of these financial statements.



Statement of cash flows

Haad Thip Public Company Limited and its subsidiary

	Consolidated financial statements		Separate financial statements	
	For the year ended 31 December		For the year ended 31 December	
	2018	2017	2018	2017
	(in Baht)			
<i>Cash flows from operating activities</i>				
Profit for the year	249,071,351	283,309,212	200,287,678	166,400,195
<i>Adjustments to reconcile profit to cash receipts (payments)</i>				
Tax expense	20,566,149	17,338,602	20,579,324	17,347,216
Finance costs	30,413,892	38,899,025	29,474,996	32,870,641
Depreciation	273,639,470	261,542,403	243,684,624	230,239,106
Amortisation	14,154,649	5,940,881	14,150,348	5,936,582
Employee benefit	14,240,795	12,215,819	14,174,943	12,172,752
Unrealised (gain) loss on foreign exchange	88,897	(13,703)	(59,546)	(13,703)
Reversal of bad and doubtful debt expenses for trade and other receivables	(439,762)	(508,319)	(439,762)	(508,319)
Allowance for obsolete inventories	2,407,066	4,166,046	2,407,066	4,166,046
Gain on disposal of property, plant and equipment	(5,682,763)	(3,325,248)	(5,682,763)	(3,325,248)
Loss on property, plant and equipment written-off	114,875	415,966	114,822	415,538
Loss on containers written-off	222,827	947,682	222,827	947,682
Gain on sale of investment units	(896,497)	(1,408,792)	(736,508)	(1,170,872)
(Gain) loss on fair value adjustment of investment units	22,576	(24,525)	3,432	(2,978)
Dividend income	-	-	(49,977,312)	(40,457,824)
Interest income	(417,142)	(486,005)	(401,255)	(468,894)
	597,506,383	619,009,044	467,802,914	424,547,920
<i>Changes in operating assets and liabilities</i>				
Trade accounts receivable	906,178	10,235,581	906,178	10,235,581
Other receivables	(4,599,931)	26,655,601	(1,470,623)	26,966,675
Inventories	(29,952,347)	20,011,140	(22,544,203)	33,134,141
Other current assets	7,058,482	4,738,235	7,058,482	4,738,235
Other non-current assets	6,908,621	(4,917,342)	6,813,877	(4,822,596)
Trade accounts payable	38,489,699	(20,870,765)	43,316,445	(34,238,327)
Other payables	(18,117,620)	(6,086,310)	(19,333,147)	(4,524,265)
Customers' deposits on bottles and cases	(780,782)	676,846	(780,782)	676,846
Provision for employee benefits	(3,951,860)	(1,918,640)	(3,951,860)	(1,918,640)
Net cash generated from operating	593,466,823	647,533,390	477,817,281	454,795,570
Taxes paid	(17,965,259)	(17,207,664)	(17,965,259)	(17,207,664)
Net cash provided by operating activities	575,501,564	630,325,726	459,852,022	437,587,906

The accompanying notes are an integral part of these financial statements.



Statement of cash flows

Haad Thip Public Company Limited and its subsidiary

	Consolidated		Separate	
	financial statements		financial statements	
	For the year ended		For the year ended	
	31 December		31 December	
	2018	2017	2018	2017
	<i>(in Baht)</i>			
<i>Cash flows from investing activities</i>				
Acquisition of available-for-sale investments	(1,020,000)	-	(1,020,000)	-
Proceeds from sale of property, plant and equipment	5,766,680	3,326,736	5,766,680	3,326,736
Acquisition of property, plant and equipment	(226,263,480)	(134,374,225)	(148,260,821)	(132,064,969)
Acquisition of intangible assets	(57,138,021)	(3,502,754)	(57,138,021)	(3,502,754)
Proceeds from sale of investment units	1,209,000,000	1,463,500,000	1,135,000,000	1,303,500,000
Acquisition of investment units	(1,192,000,000)	(1,460,000,000)	(1,130,000,000)	(1,300,000,000)
Dividends received	-	-	49,977,312	40,457,824
Interest received	417,142	486,005	401,255	468,894
Net cash used in investing activities	(261,237,679)	(130,564,238)	(145,273,595)	(87,814,269)
<i>Cash flows from financing activities</i>				
Proceeds from short-term loans	1,280,000,000	517,000,000	1,280,000,000	517,000,000
Repayment of short-term loans	(1,080,000,000)	(707,000,000)	(1,080,000,000)	(707,000,000)
Proceeds from long-term loans	70,350,000	88,800,000	-	88,800,000
Repayment of long-term loans	(103,640,000)	(231,560,000)	(69,840,000)	(88,060,000)
Repayment of debenture	(150,000,000)	-	(150,000,000)	-
Payment by a lessee for reduction of the outstanding liability relating to a finance lease	(58,483,821)	(57,243,418)	(58,239,733)	(57,008,456)
Dividends paid to owners of the Company	(199,218,000)	(145,429,140)	(199,218,000)	(145,429,140)
Dividends paid to non-controlling interests	(2,688)	(2,176)	-	-
Interest paid	(31,557,718)	(38,927,740)	(29,827,243)	(32,885,109)
Net cash used in financing activities	(272,552,227)	(574,362,474)	(307,124,976)	(424,582,705)
Net increase (decrease) in cash and cash equivalents	41,711,658	(74,600,986)	7,453,451	(74,809,068)
Cash and cash equivalents at 1 January	61,594,079	136,195,065	56,074,944	130,884,012
Cash and cash equivalents at 31 December	103,305,737	61,594,079	63,528,395	56,074,944

The accompanying notes are an integral part of these financial statements.



Statement of cash flows

Haad Thip Public Company Limited and its subsidiary

	Consolidated financial statements		Separate financial statements	
	For the year ended 31 December		For the year ended 31 December	
	2018	2017	2018	2017
	(in Baht)			
Supplemental disclosure of cash flows information				
Non-cash transactions :				
Property, plant and equipment and intangible assets purchased during the years are detailed as follows:				
Property, plant and equipment purchased during the years	337,514,172	222,120,751	246,294,411	220,618,851
Intangible assets purchased during the years	57,473,021	3,502,754	57,473,021	3,502,754
Less : assets acquired by way of finance lease	(89,026,388)	(90,542,854)	(89,026,388)	(90,542,854)
Interest capitalised	(824,728)	(57,345)	(21,550)	(57,345)
(Increase) decrease in payables on purchases of property and equipment	(21,399,576)	2,853,673	(8,985,652)	2,046,317
Increase in payables on purchases of intangible assets	(335,000)	-	(335,000)	-
Net purchase of property, plant and equipment and intangible assets paid by cash	283,401,501	137,876,979	205,398,842	135,567,723

The accompanying notes are an integral part of these financial statements.



Notes to the financial statements

Haad Thip Public Company Limited and its subsidiary

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These notes form an integral part of the financial statements.

The financial statements issued for Thai statutory and regulatory reporting purposes are prepared in the Thai language. These English language financial statements have been prepared from the Thai language statutory financial statements, and were approved and authorised for issue by the Board of Directors on 27 February 2019.

1 General information

Haad Thip Public Company Limited, the “Company”, is incorporated in Thailand and has its registered office at 87/1, Kanchanavanich Road, Thambol Banphru, Amphur Hadyai, Songkhla, Thailand.

The Company was listed on the Stock Exchange of Thailand in December 1988.

The Company’s major shareholders during the financial year were Rattakul family (35.57% shareholding), and Gutsche Family Investments (Proprietary) Limited (24.11% shareholding) which was incorporated in South Africa.

The principal businesses of the Company are manufacturing and distribution of soft drinks. Detail of the Company’s subsidiary as at 31 December 2018 and 2017 is given in note 10.

2 Basis of preparation of the financial statements

(a) Statement of compliance

The financial statements are prepared in accordance with Thai Financial Reporting Standards (TFRS); guidelines promulgated by the Federation of Accounting Professions (“FAP”); and applicable rules and regulations of the Thai Securities and Exchange Commission.

The FAP has issued new and revised TFRS effective for annual accounting periods beginning on or after 1 January 2018. The initial application of these new and revised TFRS has resulted in changes in certain of the Group’s accounting policies. These changes have no material effect on the financial statements.

In addition to the above new and revised TFRS, the FAP has issued a number of new and revised TFRS which are not yet effective for current periods. The Group has not early adopted these standards in preparing these financial statements. Those new and revised TFRS that are relevant to the Group’s operations are disclosed in note 34.

(b) Basis of measurement

The financial statements have been prepared on the historical cost basis except for the following items:

Items	Measurement basis
Investment in investment units	Fair value
Available-for-sale investments	Fair value
Land	Revaluation to fair value
Defined benefit liability	Present value of the defined benefit obligations as explained in Note 3 (m)

(c) Functional and presentation currency

The financial statements are prepared and presented in Thai Baht, which is the Company's functional currency. All financial information has been rounded in the notes to the financial statements to the nearest thousand unless otherwise stated.

(d) Use of judgements and estimates

The preparation of financial statements in conformity with TFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively.

Information about assumption and estimation uncertainties that have a significant risk of resulting in a material adjustments to the carrying amounts of assets and liabilities within the year ending 31 December 2019 is included in the following notes:

Note 12	Measurement of land
Note 16	Recognition of accrued sales promotions and marketing expenses
Note 17	Measurement of defined employee's benefit obligations: key actuarial assumptions: and
Note 30	Measurement of financial instruments

Measurement of fair values

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

The Group has an established control framework with respect to the measurement of fair values. This includes a valuation team that has overall responsibility for overseeing all significant fair value measurements, including Level 3 fair values, and reports directly to the chief financial officer.

The valuation team regularly reviews significant unobservable inputs and valuation adjustments. If third party information, such as broker quotes or pricing services, is used to measure fair values, then the valuation team assesses the evidence obtained from the third parties to support the conclusion that these valuations meet the requirements of TFRS, including the level in the fair value hierarchy in which the valuations should be classified.

Significant valuation issues are reported to the Group's Audit Committee.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly.
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

Note 11	Investment properties
Note 12	Measurement of land; and
Note 30	Financial instruments

3 Significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these financial statements.

(a) *Basis of consolidation*

The consolidated financial statements relate to the Company and its subsidiary (together referred to as the “Group”).

Subsidiary

Subsidiary is an entity controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiary is included in the consolidated financial statements from the date on which control commences until the date on which control ceases.

Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related non-controlling interests and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income or expenses arising from intra-group transactions, are eliminated.

(b) *Foreign currency transactions*

Transactions in foreign currencies are translated to the respective functional currency of Group entities at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the foreign exchange rates at the reporting date.

Non-monetary assets and liabilities measured at cost in foreign currencies are translated to the functional currency at the exchange rates at the dates of the transactions.

Foreign currency differences are generally recognised in profit or loss.

(c) Cash and cash equivalents

Cash and cash equivalents in the statements of cash flows comprise cash balances, call deposits and highly liquid short-term investments. Bank overdrafts that are repayable on demand are a component of cash and cash equivalents for the purpose of the statements of cash flows.

(d) Trade and other accounts receivable

Trade and other accounts receivable are stated at their invoice value less allowance for doubtful accounts.

The allowance for doubtful accounts is assessed primarily on analysis of payment histories and future expectations of customer payments. Bad debts are written off when incurred.

(e) Inventories

Inventories are measured at the lower of cost and net realisable value.

Cost is calculated using the weighted average cost principle, and comprises all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition. In the case of manufactured inventories, cost includes an appropriate share of production overheads based on normal operating capacity and is calculated using standard cost adjusted to approximate average cost.

Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs to complete and to make the sale.

(f) Investment

Investment in subsidiary

Investment in a subsidiary in the separate financial statements of the Company is accounted for using the cost method.

Investments in other equity securities

Investment in investment units held for trading are classified as current assets and are stated at fair value which is reference to the value from Asset Management Company at the reporting date, with any resultant gain or loss recognised in profit or loss.

Marketable equity securities, other than those securities held for trading or intended to be held to maturity, are classified as available-for-sale investments. Available-for-sale investments are, subsequent to initial recognition, stated at fair value, and changes therein, other than impairment losses and foreign currency differences on available-for-sale monetary items, are recognised directly in equity. Impairment losses and foreign exchange differences are recognised in profit or loss. When these investments are derecognised, the cumulative gain or loss previously recognised directly in equity is recognised in profit or loss.

Disposal of investments

On disposal of an investment, the difference between net disposal proceeds and the carrying amount together with the associated cumulative gain or loss is recognised in profit or loss.

If the Group disposes of part of its holding of a particular investment, the deemed cost of the part sold is determined using the weighted average method applied to the carrying value of the total holding of the investment.

(g) Investment properties

Investment properties are properties which are held to earn rental income, for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

Investment properties are measured at cost less impairment losses.

(h) Property, plant and equipment*Recognition and measurement**Owned assets*

Plant and equipment are measured at cost less accumulated depreciation and impairment losses except for land which are measured at their revalued amounts. The revalued amount is the fair value determined on the basis of the property's existing use at the date of revaluation less impairment losses.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site on which they are located, and capitalised borrowing costs. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Any gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment, and are recognised in profit or loss. When revalued assets are sold, the amounts included in the revaluation reserve are transferred to retained earnings.

Leased assets

Leases in terms of which the Group substantially assumes all the risk and rewards of ownership are classified as finance leases. Machinery, vehicle and computer system acquired by way of finance leases is capitalised at the lower of its fair value and the present value of the minimum lease payments at the inception of the lease, less accumulated depreciation and impairment losses. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged directly to the profit or loss.

Revalued assets

Revaluations are performed by independent professional valuers with sufficient regularity to ensure that the carrying amount of these assets does not differ materially from that which would be determined using fair values at the reporting date.

Any increase in value, on revaluation, is recognised in other comprehensive income and presented in the revaluation surplus in equity unless it offsets a previous decrease in value recognised in profit or loss in respect of the same asset. A decrease in value is recognised in profit or loss to the extent it exceeds an increase previously recognised in other comprehensive income in respect of the same asset. Upon disposal of a revalued asset, any related revaluation surplus is transferred directly to retained earnings and is not taken into account in calculating the gain or loss on disposal.

Subsequent costs

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group, and its cost can be measured reliably. The carrying amount of the replaced part is derecognised. The costs of the day-to-day servicing of property, plant and equipment are recognised in profit or loss as incurred.

Depreciation

Depreciation is calculated based on the depreciable amount, which is the cost of an asset, or other amount substituted for cost, less its residual value.

Depreciation is charged to profit or loss on a straight-line basis over the estimated useful lives of each component of an item of property, plant and equipment. The estimated useful lives are as follows:

Land improvements	10	years
Buildings, structures and leasehold improvements	20	years
Machinery and equipment	5, 10 and 20	years
Furniture and office equipment	5	years
Vehicles	5	years
Containers	5	years
Promotional equipment	5	years

No depreciation is provided on freehold land and assets under construction and installation.

Depreciation methods, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

(i) Intangible assets

Intangible assets that are acquired by the Group and have finite useful lives are measured at cost less accumulated amortisation and accumulated impairment losses.

Subsequent expenditure

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

Amortisation

Amortisation is based on the cost of the asset.

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use, since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset.

The estimated useful lives for the current and comparative years are as follows:

Software licences	5	years
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Amortisation methods, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

(j) Impairment

The carrying amounts of the Group's assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the assets' recoverable amounts are estimated.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. The impairment loss is recognised in profit or loss unless it reverses a previous revaluation credited to equity, in which case it is charged to equity.

Calculation of recoverable amount

The recoverable amount of a non-financial asset is the greater of the asset's value in use and fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate cash inflows largely independent of those from other assets, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

Reversals of impairment

Impairment losses recognised in prior periods in respect of other non-financial assets are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

(k) Interest-bearing liabilities

Interest-bearing liabilities are recorded at cost.

(l) Trade and other accounts payable

Trade and other accounts payable are stated at cost.

(m) Employee benefits*Contribution plan*

Obligations for contributions to contribution plan are expensed as the related service is provided.

Defined benefit plans

The Group's net obligation in respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in the current and prior periods, discounting that amount.

The calculation of defined benefit obligations is performed by a qualified actuary using the projected unit credit method.

Remeasurements of the net defined benefit liability, actuarial gain or loss are recognised immediately in other comprehensive income. The Group determines the interest expense on the net defined benefit liability for the period by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period, taking into account any changes in the net defined benefit liability during the period as a result of contributions and benefit payments. Net interest expense and other expenses related to defined benefit plans are recognised in profit or loss.

When the benefits of a plan are changed or when a plan is curtailed, the resulting change in benefit that relates to past service or the gain or loss on curtailment is recognised immediately in profit or loss. The Group recognises gains and losses on the settlement of a defined benefit plan when the settlement occurs.

Short-term employee benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(n) Provision

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

(o) Revenue

Revenue excludes value added taxes and is arrived at after deduction of trade discounts.

Sale of goods and services rendered

Revenue is recognised in profit or loss when the significant risks and rewards of ownership have been transferred to the buyer. No revenue is recognised if there is continuing management involvement with the goods or there are significant uncertainties regarding recovery of the consideration due, associated costs or the probable return of goods. Service income is recognised as services are provided.

Income on marketing support

The Group recognises marketing support as income in profit or loss as marketing plan occurred by accrual basis.

Investments

Revenue from investments comprises rental income from investment properties and dividend and interest income from investments and bank deposits.

Rental income

Rental income from investment property is recognised in profit or loss on a straight-line basis over the term of the lease.

Interest and dividend income

Interest income is recognised in profit or loss as it accrues and dividend income is recognised in profit or loss on the date the Group's right to receive payments is established.

Other income

Unclaimed customers' deposits on bottles and cases are recognised as income in profit or loss when the deposits are over 10 years.

Other income is recognised in profit or loss as it accrues.

(p) Finance costs

Interest expenses and similar costs are charged to profit or loss for the period in which they are incurred, except to the extent that they are capitalised as being directly attributable to the acquisition, construction or production of an asset which necessarily takes a substantial year of time to be prepared for its intended use or sale.

(q) Lease payments

Payments made under operating leases are recognised in profit or loss on a straight line basis over the term of the lease.

Contingent lease payments are accounted for by revising the minimum lease payments over the remaining term of the lease when the lease adjustment is confirmed.

Determining whether an arrangement contains a lease

At inception of an arrangement, the Group determines whether such an arrangement is or contains a lease. A specific asset is the subject of a lease if fulfilment of the arrangement is dependent on the use of that specified asset. An arrangement conveys the right to use the asset if the arrangement conveys to the Group the right to control the use of the underlying asset.

At inception or upon reassessment of the arrangement, the Group separates payments and other consideration required by such an arrangement into those for the lease and those for other elements on the basis of their relative fair values. If the Group concludes for a finance lease that it is impracticable

to separate the payments reliably, an asset and a liability are recognised at an amount equal to the fair value of the underlying asset. Subsequently the liability is reduced as payments are made and an imputed finance charge on the liability is recognised using the Group's incremental borrowing rate.

(r) *Income tax*

Income tax expense for the year comprises current and deferred tax. Current and deferred tax are recognised in profit or loss except to the extent that they relate to items recognised directly in equity or in other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the temporary differences relating to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future.

The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.

In determining the amount of current and deferred tax, the Group takes into account the impact of uncertain tax positions and whether additional taxes and interest may be due. The Group believes that its accruals for tax liabilities are adequate for all open tax years based on its assessment of many factors, including interpretations of tax law and prior experience. This assessment relies on estimates and assumptions and may involve a series of judgements about future events. New information may become available that causes the Group to change its judgement regarding the adequacy of existing tax liabilities; such changes to tax liabilities will impact tax expense in the period that such a determination is made.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised. Future taxable profits are determined based on the reversal of relevant taxable temporary differences. If the amount of taxable temporary differences is insufficient to recognise a deferred tax asset in full, then future taxable profits, adjusted for reversals of existing temporary differences, are considered, based on the business plans for individual subsidiaries in the Group. Deferred tax assets are reviewed at each reporting date and reduced to the extent that it is no longer probable that the related tax benefit will be realised.

(s) Earnings per share

The Group presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year.

(t) Segment reporting

Segment results that are reported to the Group's CEO (the chief operating decision maker) include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

4 Related parties

For the purposes of these financial statements, parties are considered to be related to the Group if the Group has the ability, directly or indirectly, to control or joint control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

Relationships with subsidiary, key management personnel and other related parties were as follows:

Name of entities	Country of incorporation/ nationality	Nature of relationships
<i>Subsidiary</i>		
Southern Rocks Co., Ltd.	Thailand	Subsidiary, 99.99% shareholding
<i>Other related parties</i>		
Gutsche Family Investments (Proprietary) Limited	South Africa	Major shareholder, 24.11% shareholding
<i>Key management personnel</i>		
Key management personnel	Thai	Persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of the Group.

The pricing policies for particular types of transactions are explained further below:

Transactions	Pricing policies
Purchases of containers	Cost plus margin
Blowing plastic bottles service	Contractually agreed price
Service fee for area utilisation	Contractually agreed price
Rental income from land	Contractually agreed price
Dividend income	Declared rate
Key management personnel compensation	As defined by the Group's policy

Significant transactions for the years ended 31 December with related parties were as follows:

<i>For the year ended 31 December</i>	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Subsidiary				
Purchases of containers	-	-	467,991	455,798
Blowing plastic bottles service	-	-	12,081	13,451
Service fee for area utilisation	-	-	2,640	2,640
Rental income from land	-	-	210	210
Dividend income	-	-	49,977	40,458
Key management personnel				
Key management personnel compensation				
Short-term benefits	74,167	70,048	74,167	70,048
Post-employment benefits	4,259	3,916	4,259	3,916
Total key management personnel compensation	78,426	73,964	78,426	73,964

Balances as at 31 December with related parties were as follows:

<i>Other receivable - related party</i>	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Subsidiary				
Southern Rocks Co., Ltd.	-	-	2,935	1,804
Trade account payable - related party				
Subsidiary				
Southern Rocks Co., Ltd.	-	-	98,890	75,502

Significant agreements with related parties

Service agreements for area utilisation

The Company has entered into service agreements for area utilisation with a subsidiary for Hadyai factory and Phoonpin factory of which the agreements have terms of 7 years expired in December 2019 and 8 years expired in February 2021, respectively. The subsidiary has agreed to pay service fees at the amounts as stipulated in the agreements.

Lease agreement for land

On 1 November 2014, the Company entered into a lease agreement for land with a subsidiary for the purpose of building construction. The lease term was for a period of 20 years commencing from 1 November 2014 to 31 October 2034. The subsidiary has the first priority to renew the lease agreement, which can be extendable for successive periods of 10 years each. The subsidiary can renew the lease by informing the Company at least 30 days before the expiry date. The subsidiary agreed to pay the rental fee in the amount as stipulated in the agreement and rental rates will be adjusted every 5 years. Under the term of the agreement, the building including other constructions thereon will be transferred to the Company when the agreement is terminated.

Service agreement for blowing plastic bottles

In February 2015, the Company has entered into service agreement for blowing plastic bottles with a subsidiary. The Company has agreed to pay service fee at the amount as stipulated in the agreement. The subsidiary is able to change the price as appropriate without prior notice to the Company. The Company may terminate the agreement at any time.

5 Cash and cash equivalents

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Cash and cheques received on hand	18,873	10,570	18,856	10,553
Cash at banks - current and savings accounts	84,433	51,024	44,672	45,522
Total	103,306	61,594	63,528	56,075

Cash and cash equivalents of the Group and the Company as at 31 December 2018 and 2017 were denominated entirely in Thai Baht.

6 Other investments

		Consolidated financial statements		Separate financial statements	
	Note	2018	2017	2018	2017
		(in thousand Baht)			
Current investments					
Investment units	30	870	16,996	194	4,461
		870	16,996	194	4,461
Other long-term investments					
Equity securities available for sale	30	1,020	-	1,020	-
		1,020	-	1,020	-
Total		1,890	16,996	1,214	4,461

Movements during the years ended 31 December of investment units were as follows:

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
<i>Current investments in investment units</i>				
At 1 January	16,996	19,063	4,461	6,788
Purchases during the year	1,192,000	1,460,000	1,130,000	1,300,000
Sales during the year	(1,209,000)	(1,463,500)	(1,135,000)	(1,303,500)
Gain on sales during the year	896	1,408	736	1,170
Valuation adjustment	(22)	25	(3)	3
At 31 December	870	16,996	194	4,461
<i>Other long-term investments</i>				
<i>Available-for-sale securities</i>				
At 1 January	-	-	-	-
Purchased during the year	1,020	-	1,020	-
At 31 December	1,020	-	1,020	-

7 Trade accounts receivable

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Other parties	543,864	544,838	543,864	544,838
Less allowance for doubtful accounts	(8,449)	(8,804)	(8,449)	(8,804)
Net	535,415	536,034	535,415	536,034
Bad and doubtful debts expenses (reversal) for the year	(355)	(397)	(355)	(397)

Aging analyses for trade accounts receivable were as follows:

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Other parties				
Within credit terms	534,249	518,493	534,249	518,493
Overdue:				
Less than 3 months	714	17,189	714	17,189
3 - 6 months	423	618	423	618
6 - 12 months	83	193	83	193
Over 12 months	8,395	8,345	8,395	8,345
	543,864	544,838	543,864	544,838
Less allowance for doubtful accounts	(8,449)	(8,804)	(8,449)	(8,804)
Net	535,415	536,034	535,415	536,034

The normal credit term granted by the Group ranges from 7 days to 90 days.

8 Other receivables

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Other accounts receivable	17,553	11,713	13,284	11,645
Less allowance for doubtful accounts	(5,403)	(5,819)	(5,403)	(5,819)
Net	12,150	5,894	7,881	5,826
Prepaid crown tax and lids taxes	-	4,213	-	4,213
Prepaid expenses	14,097	12,562	13,839	12,337
Others	10,278	9,105	13,141	10,863
Total	36,525	31,774	34,861	33,239

9 Inventories

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Finished goods	156,460	137,135	138,901	121,666
Less allowance for obsolescence	(6,002)	(4,940)	(6,002)	(4,940)
Finished goods, net	150,458	132,195	132,899	116,726
Raw materials and packing materials	97,136	93,181	81,832	86,122
Spare parts and factory supplies	31,789	26,982	28,131	20,396
Goods in transit	782	262	782	262
Total	280,165	252,620	243,644	223,506
Inventories recognised as an expense in cost of sales of goods:				
- Cost	3,777,601	3,802,867	3,883,871	3,972,527
- Write-down to net realisable value	2,407	4,166	2,407	4,166
Total	3,780,008	3,807,033	3,886,278	3,976,693

10 Investment in subsidiary

In June 2013, Southern Rocks Co., Ltd., registered with the Ministry of Commerce, an increase in registered share capital of Baht 50 million from Baht 47 million to Baht 97 million by increasing the number of shares from 470,000 shares to 970,000 shares with par value of Baht 100 per share, 25% shares subscription was called up in June 2013.

As at 31 December 2018, the Company had commitments for the purchase of investments to such subsidiary, which have not yet been called up, amounting to Baht 37.5 million (2017: Baht 37.5 million).

Investment in subsidiary as at 31 December 2018 and 2017, and dividend income from the investment for the years then ended, were as follows:

	Type of business	Ownership interest (%)		Paid-up capital		Cost		Impairment (in thousand Baht)		At cost- net		Dividend income	
		2018	2017	2018	2017	2018	2017	2018	2017	2018	2017	2018	2017
Subsidiary													
Southern Rocks Co., Ltd.	Manufacture and distribute plastic bottles and semi-finished plastic bottles and blowing plastic bottles service	99.99	99.99	59,500	59,500	59,497	59,497	-	-	59,497	59,497	49,977	40,458
Total						59,497	59,497	-	-	59,497	59,497	49,977	40,458

The subsidiary was incorporated in Thailand.

11 Investment properties

Investment properties comprise land held for future project and land that is leased to a subsidiary company.

The fair value of investment properties as at 31 December 2018 of Baht 607.3 million (2017: Baht 607.3 million) was determined by independent professional valuers, at open market values on an existing use basis. The fair value measurement for investment property has been categorised as a Level 3 fair value.

Measurement of fair value

Fair value hierarchy

The fair value of investment properties was determined by external, independent property valuer, having appropriate recognised professional qualifications and recent experience of the property being valued.

The fair value measurement for investment properties has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

Valuation technique and significant unobservable inputs

The external independent valuer applied the Market Comparison Approach to measure fair value of investment properties.

The significant unobservable inputs used in measuring the fair value of investment properties are the quoted price and the purchasing and selling price of comparable investment properties adjusted with other different factors.

12 Property, plant and equipment

Consolidated financial statements											
	Land		Buildings, structures and leasehold improvements	Machinery and equipment	Furniture and office equipment	Vehicles	Containers, net	Promotional equipment	Assets under construction and installation		Total
	Cost	Revaluation surplus	Land improvements								
<i>Cost / revaluation</i>											
At 1 January 2017	152,663	1,374,627	51,144	765,038	734,703	539,964	45,552	423,416	23,394	5,565,363	
Additions	-	81,286	-	296	20,047	43,425	1,354	13,066	143,933	303,407	
Transfers	3,532	-	5,280	24,130	13,989	69,012	-	-	(117,201)	-	
Disposals	-	-	-	-	(15,660)	(14,440)	(12,349)	(29,606)	-	(72,055)	
At 31 December 2017 and 1 January 2018	156,195	1,455,913	56,424	789,464	753,079	637,961	34,557	406,876	50,126	5,796,175	
Additions	-	-	-	60	19,847	93,452	3,623	29,816	243,695	390,493	
Transfers	-	-	10,710	89,098	13,208	7,505	-	-	(264,403)	(52,980)	
Disposals	-	-	-	-	(24,656)	(24,494)	(14,301)	(121,777)	-	(185,607)	
At 31 December 2018	156,195	1,455,913	67,134	878,622	761,478	714,424	23,879	314,915	29,418	5,948,621	
<i>Accumulated depreciation</i>											
At 1 January 2017	-	-	(9,478)	(261,542)	(589,672)	(367,475)	-	(362,837)	-	(2,157,540)	
Depreciation charge for the year	-	-	(4,646)	(32,749)	(54,905)	(61,267)	-	(23,513)	-	(250,144)	
Disposals	-	-	-	-	15,484	14,272	-	29,535	-	59,291	
At 31 December 2017 and 1 January 2018	-	-	(14,124)	(294,291)	(629,093)	(414,470)	-	(356,815)	-	(2,348,393)	
Depreciation charge for the year	-	-	(5,698)	(36,093)	(50,154)	(75,639)	-	(22,588)	-	(259,563)	
Disposals	-	-	-	-	24,572	24,408	-	121,751	-	171,110	
At 31 December 2018	-	-	(19,822)	(330,384)	(654,675)	(465,701)	-	(257,652)	-	(2,436,846)	

Accumulated depreciation

	Consolidated financial statements									
	Land	Land	Buildings, structures and leasehold improvements	Machinery and equipment	Furniture and office equipment	Vehicles	Containers, net	Promotional equipment	Assets under construction and installation	Total
	Cost	Revaluation surplus	Total							
Net book value										
At 1 January 2017										
Owned assets	152,663	1,374,627	1,527,290	503,496	139,049	71,751	45,552	60,579	23,394	3,294,146
Assets under finance leases	-	-	-	-	5,982	100,738	-	-	-	113,677
	<u>152,663</u>	<u>1,374,627</u>	<u>1,527,290</u>	<u>503,496</u>	<u>145,031</u>	<u>172,489</u>	<u>45,552</u>	<u>60,579</u>	<u>23,394</u>	<u>3,407,823</u>
At 31 December 2017 and 1 January 2018										
Owned assets	156,195	1,455,913	1,612,108	495,173	119,883	74,323	34,557	50,061	50,126	3,288,953
Assets under finance leases	-	-	-	-	4,103	149,168	-	-	-	159,369
	<u>156,195</u>	<u>1,455,913</u>	<u>1,612,108</u>	<u>495,173</u>	<u>123,986</u>	<u>223,491</u>	<u>34,557</u>	<u>50,061</u>	<u>50,126</u>	<u>3,448,322</u>
At 31 December 2018										
Owned assets	156,195	1,455,913	1,612,108	548,238	104,578	62,991	23,879	57,263	29,418	3,318,579
Assets under finance leases	-	-	-	-	2,225	185,732	-	-	-	193,196
	<u>156,195</u>	<u>1,455,913</u>	<u>1,612,108</u>	<u>548,238</u>	<u>106,803</u>	<u>248,723</u>	<u>23,879</u>	<u>57,263</u>	<u>29,418</u>	<u>3,511,775</u>
Finance costs capitalised										
Finance costs capitalised during 2018 (note 25)	-	-	-	16	-	-	-	-	-	819
Rates of interest capitalised during 2018 (<i>% per annum</i>)				MLR -2.5						
Finance costs capitalised										
Finance costs capitalised during 2017 (note 25)	-	-	-	-	-	-	-	-	47	57
Rates of interest capitalised during 2017 (<i>% per annum</i>)				MLR -2.5					MLR -2.5	

Separate financial statements

	Land		Land improvements	Buildings, structures and leasehold improvements	Machinery and equipment	Furniture and office equipment	Vehicles	Containers, net	Promotional equipment	Assets under construction and installation	Total
	Cost	Revaluation surplus									
Cost / revaluation											
At 1 January 2017											
Additions	152,007	1,374,217	48,062	703,917	1,199,094	706,271	536,250	45,552	423,416	23,084	5,211,870
Transfers	-	81,286	-	-	-	18,841	43,425	1,354	13,066	143,933	301,905
Disposals	3,532	-	5,280	24,130	1,258	13,989	69,012	-	-	(117,201)	-
At 31 December 2017 and											
1 January 2018											
Additions	155,539	1,455,503	53,342	728,047	1,200,352	723,443	634,247	34,557	406,876	49,816	5,441,722
Transfers	-	-	-	-	-	18,428	93,452	3,623	29,816	153,954	299,273
Disposals	-	-	10,710	88,788	1,758	12,953	7,505	-	-	(174,694)	(52,980)
At 31 December 2018											
	155,539	1,455,503	64,052	816,835	1,201,731	730,373	710,710	23,879	314,915	29,076	5,502,613
Accumulated depreciation											
At 1 January 2017											
Depreciation charge for the year	-	-	(9,315)	(258,324)	(511,503)	(572,387)	(365,955)	-	(362,837)	-	(2,080,321)
Disposals	-	-	(4,492)	(29,673)	(51,006)	(49,578)	(60,578)	-	(23,513)	-	(218,840)
At 31 December 2017 and											
1 January 2018											
Depreciation charge for the year	-	-	-	-	-	15,482	14,272	-	29,535	-	59,289
Disposals	-	-	-	-	-	(606,483)	(412,261)	-	(356,815)	-	(2,239,872)
At 31 December 2018											
	-	-	(13,807)	(287,997)	(562,509)	(606,483)	(412,261)	-	(356,815)	-	(2,239,872)
	-	-	(5,543)	(32,994)	(46,020)	(47,317)	(75,144)	-	(22,588)	-	(229,606)
	-	-	-	-	379	24,365	24,408	-	121,751	-	170,903
	-	-	(19,350)	(320,991)	(608,150)	(629,435)	(462,997)	-	(257,652)	-	(2,298,575)

Accumulated depreciation

At 1 January 2017

Depreciation charge

for the year

Disposals

At 31 December 2017 and

1 January 2018

Depreciation charge

for the year

Disposals

At 31 December 2018

During the fourth quarter of year 2017, the value of the Company's land was reappraised by CPM Capital Co., Ltd., an independent professional valuer, by applying market value as shown in the appraiser's reports dated 10 November 2017 to 13 December 2017. The value of the Group's and the Company's land increased by Baht 81.3 million. The Group and the Company recorded income tax from land revaluation in the account "Deferred tax liabilities" amounting to Baht 16.3 million and recorded its land at the reappraised value, with a revaluation surplus of land net of income tax amounting to Baht 65.0 million, in the account "Revaluation surplus", under other component of equity under "Equity" in the statement of financial position.

As at 31 December 2018, the revaluation surplus net of income tax for the Group and the Company amounted to Baht 1,288.0 million and Baht 1,287.9 million, respectively *(31 December 2017: for the Group and the Company amounted to Baht 1,288.0 million and Baht 1,287.9 million, respectively)*.

The gross amounts of fully depreciated buildings, machinery and equipment that were still in use as at 31 December 2018 amounted to approximately Baht 1,381.4 million and Baht 1,365.1 million, respectively *(31 December 2017: for the Group and the Company amounted to approximately Baht 1,275.6 million and Baht 1,275.5 million, respectively)*.

Security

As at 31 December 2018, a portion of the Group's and the Company's land, buildings, machinery and equipment with carrying value totaling approximately Baht 1,492.5 million and Baht 1,341.9 million, respectively *(2017: Baht 1,571.3 million and Baht 1,400.3 million, respectively)*, were mortgaged and pledged as collateral for the credit facilities obtained from a local bank. The Group and the Company also assigned the benefits of an insurance policy covering a portion of the Group's property and equipment to a local bank as collateral for credit facilities obtained from the same bank, as discussed in note 14.

Measurement of fair value

Fair value hierarchy

The fair value of land was determined by external, independent property valuer, having appropriate recognised professional qualifications and recent experience of the property being valued.

The fair value measurement for land has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

Valuation technique and significant unobservable inputs

The external independent valuer applied the Market Comparison Approach to measure fair value of land.

The significant unobservable inputs used in measuring the fair value of land are the quoted price and the purchasing and selling price of comparable land adjusted with other different factors.

13 Deferred tax

Deferred tax assets and liabilities as at 31 December were as follows:

	Consolidated financial statements			
	Assets		Liabilities	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Total	42,959	38,511	(322,001)	(322,001)
Set off of tax	(42,605)	(38,175)	42,605	38,175
Net deferred tax assets (liabilities)	354	336	(279,396)	(283,826)

	Separate financial statements			
	Assets		Liabilities	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Total	42,605	38,175	(321,979)	(321,979)
Set off of tax	(42,605)	(38,175)	42,605	38,175
Net deferred tax liabilities	-	-	(279,374)	(283,804)

Movements in total deferred tax assets and liabilities during the years were as follows:

	Consolidated financial statements (Charged) / credited to:				
	At 1 January 2018	Profit or loss	Other comprehensive income (in thousand Baht)	Equity	At 31 December 2018
Deferred tax assets					
Trade and other receivables (doubtful accounts)	2,925	(154)	-	-	2,771
Inventories (allowance for decline in value)	988	212	-	-	1,200
Other current assets (allowance for decline in value)	11	1	-	-	12
Property, plant and equipment (depreciation gap)	2,325	1,630	-	-	3,955
Provision for employee’s benefit obligations	32,038	2,052	707	-	34,797
Tax loss carry forward	224	-	-	-	224
Total	38,511	3,741	707	-	42,959
Deferred tax liabilities					
Property, plant and equipment (revaluation)	(322,001)	-	-	-	(322,001)
Total	(322,001)	-	-	-	(322,001)
Net	(283,490)	3,741	707	-	(279,042)

	At 1 January 2017	Consolidated financial statements (Charged) / credited to:			At 31 December 2017
		Profit or loss	Other comprehensive income (in thousand Baht)	Equity	
Deferred tax assets					
Trade and other receivables (doubtful accounts)	3,206	(281)	-	-	2,925
Inventories (allowance for decline in value)	1,012	(24)	-	-	988
Other current assets (allowance for decline in value)	11	-	-	-	11
Property, plant and equipment (depreciation gap)	1,581	744	-	-	2,325
Provision for employee's benefit obligations	27,260	2,059	2,719	-	32,038
Tax loss carry forward	224	-	-	-	224
Total	33,294	2,498	2,719	-	38,511
Deferred tax liabilities					
Property, plant and equipment (revaluation)	(305,744)	-	(16,257)	-	(322,001)
Total	(305,744)	-	(16,257)	-	(322,001)
Net	(272,450)	2,498	(13,538)	-	(283,490)
	At 1 January 2018	Separate financial statements (Charged) / credited to:			At 31 December 2018
		Profit or loss	Other comprehensive income (in thousand Baht)	Equity	
Deferred tax assets					
Trade and other receivables (doubtful accounts)	2,925	(154)	-	-	2,771
Inventories (allowance for decline in value)	988	212	-	-	1,200
Other current assets (allowance for decline in value)	11	1	-	-	12
Property, plant and equipment (depreciation gap)	2,325	1,630	-	-	3,955
Provision for employee's benefit	31,926	2,039	702	-	34,667
Total	38,175	3,728	702	-	42,605
Deferred tax liabilities					
Property, plant and equipment (revaluation)	(321,979)	-	-	-	(321,979)
Total	(321,979)	-	-	-	(321,979)
Net	(283,804)	3,728	702	-	(279,374)

	At 1 January 2017	Separate financial statements (Charged) / credited to:			At 31 December 2017
		Profit or loss	Other comprehensive income (in thousand Baht)	Equity	
Deferred tax assets					
Trade and other receivables (doubtful accounts)	3,206	(281)	-	-	2,925
Inventories (allowance for decline in value)	1,012	(24)	-	-	988
Other current assets (allowance for decline in value)	11	-	-	-	11
Property, plant and equipment (depreciation gap)	1,581	744	-	-	2,325
Provision for employee's benefit obligations	27,173	2,050	2,703	-	31,926
Total	32,983	2,489	2,703	-	38,175
Deferred tax liabilities					
Property, plant and equipment (revaluation)	(305,722)	-	(16,257)	-	(321,979)
Total	(305,722)	-	(16,257)	-	(321,979)
Net	(272,739)	2,489	(13,554)	-	(283,804)

14 Interest-bearing liabilities

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	(in thousand Baht)			
Current				
Short-term loans from financial institutions				
Secured	200,000	-	200,000	-
Current portion of long-term loans from financial institution				
Secured	91,140	100,290	91,140	69,840
Current portion of debenture	-	150,000	-	150,000
Current portion of finance lease liabilities	58,761	52,340	58,508	52,095
Total current interest- bearing liabilities	349,901	302,630	349,648	271,935

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Non-current				
Long-term loans from financial institution				
Secured	355,360	379,500	288,360	379,500
Finance lease liabilities	132,488	108,367	132,180	107,805
Total non-current interest-bearing liabilities	487,848	487,867	420,540	487,305
Total	837,749	790,497	770,188	759,240

The periods to maturity of interest-bearing liabilities, excluding finance lease liabilities, as at 31 December were as follows:

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Within one year	291,140	250,290	291,140	219,840
After one year but within five years	336,660	328,560	288,360	328,560
After five years	18,700	50,940	-	50,940
Total	646,500	629,790	579,500	599,340

Short-term loans from financial institutions bear interest rates ranging from 1.82% p.a. to 1.98% p.a. in 2018 (2017: ranging from 1.73% p.a. to 1.80% p.a.).

Long-term loans from financial institution

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Long-term loans	446,500	479,790	379,500	449,340
Less current portion	(91,140)	(100,290)	(91,140)	(69,840)
Net	355,360	379,500	288,360	379,500

On 27 November 2014, the Company entered into a loan agreement with the financial institution for loan facility of Baht 80 million for construction of warehouse. This loan bears interest at the Minimum Loan Rate (MLR) minus 2.50% per annum for the first two years, at the Minimum Loan Rate (MLR) minus 2.00% per annum for the third and fourth years and at the Minimum Loan Rate (MLR) minus 1.50% per annum for the fifth year onwards. Loan is repayable in monthly installments of Baht 1.12 million for each installment, which will be fully paid in 8 years commencing from the first drawdown date. As at 31 December 2018, the Company had no unutilised credit facility. (2017: Nil).

On 17 September 2015, the Company entered into a loan agreement with a financial institution for a loan facility of Baht 450 million for purchase of machinery, equipment and renovation of space for installing machinery. This loan bears interest at the Minimum Loan Rate (MLR) minus 2.50% per annum for the first two years and at the Minimum Loan Rate (MLR) minus 2.00% per annum for the third year onwards. The interest will be paid on monthly. The loan is repayable in monthly installments of Baht 4.7 million for each installment, which will be fully paid in 10 years commencing from the first drawdown date. As at 31 December 2018, the Company had unutilised credit facility totaling Baht 41.8 million. *(2017: Baht 41.8 million).*

On 23 February 2017, the Company entered into a loan agreement with a financial institution for a loan facility of Baht 158 million for improvement of accounting system, equipment, furniture and promotion equipment. This loan bears interest at the Minimum Loan Rate (MLR) minus 2.50% per annum for the first two years and at the Minimum Loan Rate (MLR) minus 2.00% per annum for the third year onwards. The interest will be paid on monthly. The loan is repayable in monthly installments of Baht 1.65 million for each installment, which will be fully paid in 10 years commencing from the first drawdown date. As at 31 December 2018, the Company had unutilised credit facility totaling Baht 132.1 million. *(2017: Baht 132.1 million).*

On 23 February 2017, the Company entered into a loan agreement with a financial institution for a loan facility of Baht 92 million for construction of building, land improvement and others. This loan bears interest at the Minimum Loan Rate (MLR) minus 2.50% per annum for the first two years and at the Minimum Loan Rate (MLR) minus 2.00% per annum for the third year onwards. The interest will be paid on monthly. The loan is repayable in monthly installments of Baht 0.96 million for each installment, which will be fully paid in 10 years commencing from the first drawdown date. As at 31 December 2018, the Company had unutilised credit facility totaling Baht 68.7 million. *(2017: Baht 68.7 million)*

Subsidiary

On 27 November 2014, the subsidiary entered into a loan agreement with the financial institution for a loan facility of Baht 240 million for purchase of machinery, building construction and system. This loan bears interest at the Minimum Loan Rate (MLR) minus 2.50% per annum for the first two years, at the Minimum Loan Rate (MLR) minus 2.00% per annum for the third and fourth years and at the Minimum Loan Rate (MLR) minus 1.50% per annum for the fifth year onwards. The loan is repayable in monthly installments of Baht 3.35 million for each installment, commencing from December 2016 which will be fully paid in 8 years commencing from the first drawdown date. As at 31 December 2018, the subsidiary had unutilised credit facility totaling Baht 62.7million. *(2017: Baht 62.7 million).*

On 23 February 2018, the subsidiary entered into loan agreements with a financial institution for loan facilities of Baht 110 million for purchase of machinery and equipment. The interest rate is 3.5% per annum. The loan is repayable in monthly installments of Baht 1.15 million for each installment which will be fully paid in 10 years commencing from the first drawdown date. As at 31 December 2018, the Company had unutilised credit facilities totaling Baht 43.0 million, respectively.

Under the terms of the long-term loan agreements, the Group has to comply with certain conditions, such as maintaining the debt to equity ratio, the debt covenant ratio, etc. The Group also assigned the benefits of an insurance policy covering the assets as collateral for secured interest-bearing liabilities.

Finance lease liabilities

Finance lease liabilities as at 31 December were payable as follows:

Consolidated financial statements						
	2018			2017		
	Future minimum lease payments	Interest	Present value of minimum lease payments <i>(in thousand Baht)</i>	Future minimum lease payments	Interest	Present value of minimum lease payments
Within one year	63,515	4,754	58,761	56,859	4,519	52,340
After one year but within five years	138,519	6,031	132,488	113,099	4,732	108,367
Total	202,034	10,785	191,249	169,958	9,251	160,707

Separate financial statements						
	2018			2017		
	Future minimum lease payments	Interest	Present value of minimum lease payments <i>(in thousand Baht)</i>	Future minimum lease payments	Interest	Present value of minimum lease payments
Within one year	63,244	4,736	58,508	56,588	4,493	52,095
After one year but within five years	138,204	6,024	132,180	112,513	4,708	107,805
Total	201,448	10,760	190,688	169,101	9,201	159,900

In 2017 the Company entered into finance lease agreements with local companies to purchase machinery and computer system with interest at the rates ranging from 3.07% per annum to 5.25% per annum and the lease agreements are repayable in monthly installments, expiring in June 2020.

In addition, the Company entered into finance lease agreements with local companies to purchase vehicles with interest at the rates ranging from 0.94% per annum to 1.74% per annum in 2018 (2017: at the rates ranging from 1.69% per annum to 1.79% per annum). The lease agreements are repayable in monthly installments, expiring in various periods up to November 2023. The ownership of the vehicles will be transferred to the Company when the Company exercises the purchase option and the payment for purchase option has been made.

In 2016, the subsidiary entered into finance lease agreement to purchase vehicle with interest at the rate of 3% per annum and the lease agreement is repayable in monthly installments, expiring in February 2021. The ownership of the vehicle will be transferred to the subsidiary when the subsidiary exercises the purchase option and the payment for purchase option has been made.

Secured interest-bearing liabilities and the credit facility of letters of guarantee in note 33 are secured by assets which had net book value as at 31 December as follows:

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Land	574,720	574,720	574,614	574,614
Buildings, structures and leasehold improvements	286,671	308,403	286,671	308,403
Machinery and equipment	631,149	688,158	480,620	517,302
Total	1,492,540	1,571,281	1,341,905	1,400,319

As at 31 December 2018, the Group and the Company had unutilised credit facilities totaling Baht 851.81 million and Baht 686.11 million, respectively (2017: Baht 1,005.4 million and Baht 882.7 million, respectively).

Changes in liabilities arising from financing activities

	Consolidated financial statements			
	Short-term loans	Long-term loans	Finance lease liabilities	Total
	<i>(in thousand Baht)</i>			
Balance at 1 January 2018	-	479,790	160,707	640,497
Changes from financing cash flows	200,000	(33,290)	(58,484)	108,226
Other changes - finance leases	-	-	89,026	89,026
Balance at 31 December 2018	200,000	446,500	191,249	837,749

	Separate financial statements			
	Short-term loans	Long-term loans	Finance lease liabilities	Total
	<i>(in thousand Baht)</i>			
Balance at 1 January 2018	-	449,340	159,900	609,240
Changes from financing cash flows	200,000	(69,840)	(58,239)	71,921
Other changes - finance leases	-	-	89,026	89,026
Balance at 31 December 2018	200,000	379,500	190,687	770,187

15 Trade accounts payable

		Consolidated financial statements		Separate financial statements	
	Note	2018	2017	2018	2017
		<i>(in thousand Baht)</i>			
Related party	4	-	-	98,890	75,502
Other parties		269,882	231,504	232,673	212,856
Total		269,882	231,504	331,563	288,358

16 Other current payables

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Accrued sales promotion and marketing expenses	79,325	144,400	79,325	144,400
Accrued operating expenses	167,181	151,373	165,100	151,302
Other payables	174,162	122,201	158,567	119,977
Accrued transportation expenses	10,633	11,426	10,633	11,426
Value added tax payable	18,231	13,400	18,231	11,707
Others	7,495	10,729	7,393	10,729
Total	457,027	453,529	439,249	449,541

Sales are realised through modern trades with different types of sales incentives such as discounts, rebates, marketing support and sales promotion. Discounts and rebates are deducted from revenue. Marketing support and other sales promotion expenditure are recognised as expenditure on an accrual basis.

17 Non-current provisions for employee benefits

The Group operates a defined benefit plan based on the requirement of Thai Labour Protection Act B.E. 2541 (1998) to provide retirement benefits to employees based on pensionable remuneration and length of service.

The defined benefit plan exposes the Group to actuarial risks, such as longevity risk and interest rate risk.

Movement in the present value of the defined benefit obligations:

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
At 1 January	160,187	136,297	159,630	135,862
Included in profit or loss:				
Current service cost	10,076	8,935	10,030	8,903
Interest on obligation	4,165	3,281	4,146	3,270
	14,241	12,216	14,176	12,173
Included in other comprehensive income				
Actuarial loss	3,535	13,593	3,509	13,514
Other				
Benefit paid	(3,952)	(1,919)	(3,952)	(1,919)
At 31 December	174,011	160,187	173,363	159,630

Actuarial losses recognised in other comprehensive income arising from:

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
		<i>(in thousand Baht)</i>		
Demographic assumptions	613	4,113	609	4,089
Financial assumptions	1,422	7,472	1,411	7,429
Experience adjustment	1,500	2,008	1,489	1,996
Total	3,535	13,593	3,509	13,514

Actuarial assumptions

The following were the principal actuarial assumptions at the reporting date (expressed as weighted averages):

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
		<i>(%)</i>		
Discount rate	2.6	2.6	2.6	2.6
Future salary growth	5.0	5.0	5.0	5.0

Assumptions regarding future mortality are based on published statistics and Mortality tables.

At 31 December 2018, the weighted-average duration of the defined benefit obligations was 9 years (2017: 10 years).

Sensitivity analysis

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligations by the amounts shown below:

	Consolidated financial statements		Separate financial statements	
	Increase	Decrease	Increase	Decrease
		<i>(in thousand Baht)</i>		
At 31 December 2018				
Discount rate (0.5% movement)	(6,912)	7,422	(6,912)	7,422
Future salary growth (0.5% movement)	7,204	(6,784)	7,204	(6,784)
	Consolidated financial statements		Separate financial statements	
	Increase	Decrease	Increase	Decrease
		<i>(in thousand Baht)</i>		
At 31 December 2017				
Discount rate (0.5% movement)	(6,311)	6,766	(6,311)	6,766
Future salary growth (0.5% movement)	6,574	(6,200)	6,574	(6,200)

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

On 13 December 2018, the National Legislative Assembly passed a bill amending the Labor Protection Act to include a requirement that an employee who is terminated after having been employed by the same employer for an uninterrupted period of twenty years or more, receives severance payment of 400 days of wages at the most recent rate. The Group will amend its retirement plan in the period in which the amendment will have become law and is announced in the Royal Gazette. As a result of this change, the provision for retirement benefits as at that future period end as well as past service cost recognized during that period in the consolidated and the separate financial statements is estimated to increase by an amount of approximately Baht 53.4 million and Baht 53.4 million, respectively.

18 Share capital

	Par value per share (in Baht)	2018		2017	
		Number	Amount	Number	Amount
(thousand shares / thousand Baht)					
Authorised					
At 1 January					
- ordinary shares	1	199,218	199,218	199,218	199,218
At 31 December					
- ordinary shares	1	199,218	199,218	199,218	199,218
Issued and paid-up					
At 1 January					
- ordinary shares	1	199,218	199,218	199,218	199,218
At 31 December					
- ordinary shares	1	199,218	199,218	199,218	199,218

Premium on ordinary shares

Section 51 of the Public Companies Act B.E. 2535 requires companies to set aside share subscription monies received in excess of the par value of the shares issued to a reserve account ("share premium"). Share premium is not available for dividend distribution.

19 Reserves

Reserves comprise appropriations of profit and/or retained earnings.

Legal reserve

Section 116 of the Public Companies Act B.E. 2535 requires that a public company shall allocate not less than 5% of its annual net profit, less any accumulated losses brought forward, to a reserve account ("legal reserve"), until this account reaches an amount not less than 10% of the registered authorised capital. The legal reserve is not available for dividend distribution.

General reserve

The Company has a policy to appropriate a reserve for general purposes. The general reserve as at 31 December 2018 amounted to Baht 35 million (2017: Baht 35 million).

Other component of equity**Valuation surplus**

The valuation surplus account within equity comprises the cumulative net change in the valuation of land included in the financial statements at valuation until such land is sold or otherwise disposed of.

20 Segment information

The Group operates in a single line of business as manufacturing and distribution of soft drinks, therefore, management considers that the Group has only one major business segment. In addition, the Group solely distributes in 14 provinces in Southern Thailand, therefore, management considers that the Group has only one major geographic segment.

21 Distribution costs

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Sales promotion and marketing expenses	469,358	425,525	469,358	425,525
Employee benefit expenses	310,292	308,305	310,292	308,305
Transportation and fuel expenses	203,644	196,212	203,644	196,212
Depreciation and amortisation	80,818	80,407	80,818	80,407
Others	116,294	117,706	116,294	117,706
Total	<u>1,180,406</u>	<u>1,128,155</u>	<u>1,180,406</u>	<u>1,128,155</u>

22 Administrative expenses

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Employee benefit expenses	344,195	314,323	341,116	311,287
Administration expenses	62,450	59,954	60,646	58,920
Depreciation and amortisation	37,041	25,395	36,939	25,286
Repair and maintenance expenses	6,232	6,796	6,232	6,796
Others	12,313	9,654	11,630	8,756
Total	<u>462,231</u>	<u>416,122</u>	<u>456,563</u>	<u>411,045</u>

23 Employee benefit expenses

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Wages and salaries	650,600	638,040	644,725	632,486
Contribution to provident fund	14,250	12,078	14,146	11,994
Commission	37,139	37,109	37,139	37,109
Compulsory social security contribution	17,877	15,753	17,702	15,607
Others	61,652	50,843	61,567	50,767
Total	<u>781,518</u>	<u>753,823</u>	<u>775,279</u>	<u>747,963</u>

Defined benefit plan

Details of the defined benefit plan are given in note 17.

Contribution plan

the contribution plan which comprise provident funds was established by the Group for its employees. Membership to the funds is on a voluntary basis. Contributions are made monthly by the employees at the rate of 3% of their basic salaries and by the Group at the rate of 3% of the employees' basic salaries. The provident funds are registered with the Ministry of Finance as juristic entities and are managed by a licensed Fund Manager.

24 Expenses by nature

The statements of comprehensive income include an analysis of expenses by function. Expenses by nature disclosed in accordance with the requirements of various TFRS were as follows:

		Consolidated financial statements		Separate financial statements	
	Note	2018	2017	2018	2017
		<i>(in thousand Baht)</i>			
Raw materials and consumables used		2,357,624	2,329,866	2,053,276	2,094,720
Excise tax		1,071,491	1,066,850	1,071,491	1,066,850
Employee benefit expenses	23	781,518	753,823	775,279	747,963
Depreciation and amortisation		287,736	267,365	257,777	236,083
Sales promotion and marketing expenses	21	469,358	425,525	469,358	425,525
Transportation and fuel expenses	21	203,644	196,212	203,644	196,212
Administration expenses	22	62,450	59,954	60,646	58,920
Repair and maintenance expenses		160,887	135,035	155,471	131,154
Others		27,937	116,680	476,305	558,467
Total cost of sales of goods, distribution costs and administrative expenses		5,422,645	5,351,310	5,523,247	5,515,894

25 Finance costs

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
Interest expense to financial institutions	26,542	32,206	24,800	26,178
Interest expense of debenture	4,697	6,750	4,697	6,750
Less capitalised as cost of assets	(825)	(57)	(22)	(57)
Net	30,414	38,899	29,475	32,871

26 Income tax expense

Income tax recognised in profit or loss

		Consolidated financial statements		Separate financial statements	
	Note	2018	2017	2018	2017
		<i>(in thousand Baht)</i>			
Current tax expense					
Current year		23,890	19,726	23,890	19,726
Under provided in prior year		417	110	417	110
		<u>24,307</u>	<u>19,836</u>	<u>24,307</u>	<u>19,836</u>
Deferred tax expense					
Movements in temporary differences	13	(3,741)	(2,498)	(3,728)	(2,489)
Total income tax expense		<u>20,566</u>	<u>17,338</u>	<u>20,579</u>	<u>17,347</u>

Income tax recognised in other comprehensive income

	Consolidated financial statements					
	2018			2017		
	Income tax			Income tax		
	Before tax	(expense) benefit	Net of tax	Before tax	(expense) benefit	Net of tax
	<i>(in thousand Baht)</i>					
Actuarial loss	(3,535)	707	(2,828)	(13,593)	2,719	(10,874)
Gain on revaluation of land	-	-	-	81,285	(16,257)	65,028
Total	<u>(3,535)</u>	<u>707</u>	<u>(2,828)</u>	<u>67,692</u>	<u>(13,538)</u>	<u>54,154</u>

	Separate financial statements					
	2018			2017		
	Income tax			Income tax		
	Before tax	(expense) benefit	Net of tax	Before tax	(expense) benefit	Net of tax
	<i>(in thousand Baht)</i>					
Actuarial loss	(3,509)	702	(2,807)	(13,514)	2,703	(10,811)
Gain on revaluation of land	-	-	-	81,285	(16,257)	65,028
Total	<u>(3,509)</u>	<u>702</u>	<u>(2,807)</u>	<u>67,771</u>	<u>(13,554)</u>	<u>54,217</u>

Reconciliation of effective tax rate

	Consolidated financial statements			
	2018		2017	
	Rate (%)	(in thousand Baht)	Rate (%)	(in thousand Baht)
Profit before income tax expense		269,638		300,648
Income tax using the Thai corporation tax rate	20.00	53,928	20.00	60,130
Income tax reduction - granted privileges of the exclusive development zone		(6,678)		(2,125)
Net profit from promotional privileges		(19,763)		(31,482)
Additional deducted expenses for tax purposes		(8,946)		(10,470)
Expenses not deductible for tax purposes		1,608		1,175
Under provided in prior year		417		110
Total income tax expense	7.63	20,566	5.77	17,338

	Separate financial statements			
	2018		2017	
	Rate (%)	(in thousand Baht)	Rate (%)	(in thousand Baht)
Profit before income tax expense		220,867		183,747
Income tax using the Thai corporation tax rate	20.00	44,173	20.00	36,749
Income tax reduction - granted privileges of the exclusive development zone		(6,678)		(2,125)
Dividend income exempted from income tax		(9,995)		(8,092)
Additional deducted expenses for tax purposes		(8,946)		(10,470)
Expenses not deductible for tax purposes		1,608		1,175
Under provided in prior year		417		110
Total income tax expense	9.32	20,579	9.44	17,347

Income tax reduction

According to the Royal Decree No. 492 B.E. 2553 dated 16 January 2010, No. 566 B.E. 2556 dated 10 July 2013, No. 584 B.E. 2558 dated 1 May 2015 and No. 624 B.E. 2560 dated 6 January 2017, the Group has been granted reduction in the corporate income tax rate to 3% of taxable profit, to juristic companies or partnerships whose place of business is located in the exclusive development zone and whose revenue derived from manufacturing, selling of goods or rendering services occur within the exclusive development zone, starting from the accounting period of 2010 which begins on or after 1 January 2010 until the accounting period of 2020 ending on or after 31 December 2020.

27 Promotional privileges

By virtue of the provisions of the Industrial Investment Promotion Act of B.E. 2520, the subsidiary has been granted privileges by the Board of Investment relating to semi-plastic bottle (Preform) and plastic bottles (PET) businesses. The privileges granted include:

- exemption from payment of import duty on machinery approved by the Board;
- exemption from payment of income tax for a period of eight years from the date on which the income is first derived from such operations.

As a promoted company, the subsidiary must comply with certain terms and conditions prescribed in the promotional certificates.

Revenue from sale of goods and service of promoted business of the subsidiary for the years ended 31 December 2018 and 2017 amounted to Baht 480.1 million and Baht 469.2 million, respectively.

28 Basic earnings per share

The calculations of basic earnings per share for the years ended 31 December 2018 and 2017 were based on the profit for the years attributable to ordinary shareholders of the Company and the number of ordinary shares outstanding during the years by the weighted average method as follows:

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht / thousand shares)</i>			
Profit attributable to ordinary shareholders of the Company (basic)	249,066	283,301	200,287	166,400
Weighted average number of ordinary shares outstanding (basic)	199,218	199,218	199,218	199,218
Earnings per share (basic) (in Baht)	1.25	1.42	1.01	0.84

29 Dividends

At the meeting of the Board of Directors of the Company held on 23 August 2018, the Board of Directors approved the payment of interim dividend of Baht 0.38 per share, amounting to Baht 75.7 million. The dividend was paid to the shareholders in September 2018.

At the annual general meeting of the shareholders of the Company held on 26 April 2018, the shareholders approved the appropriation of dividend of Baht 0.62 per share, amounting to Baht 123.5 million. The dividend was paid to the shareholders in May 2018.

At the meeting of the Board of Directors of the Company held on 16 August 2017, the Board of Directors approved the payment of interim dividend of Baht 0.38 per share, amounting to Baht 75.7 million. The dividend was paid to the shareholders in September 2017.

At the annual general meeting of the shareholders of the Company held on 26 April 2017, the shareholders approved the appropriation of dividend of Baht 0.35 per share, amounting to Baht 69.7 million. The dividend was paid to the shareholders in May 2017.

30 Financial instruments

Financial risk management policies

The Group is exposed to normal business risks from changes in market interest rates and currency exchange rates and from non-performance of contractual obligations by counterparties. The Group does not issue derivatives for speculative or trading purposes.

Risk management is integral to the whole business of the Group. The Group has a system of controls in place to create an acceptable balance between the cost of risks occurring and the cost of managing the risks. The management continually monitors the Group's risk management process to ensure that an appropriate balance between risk and control is achieved.

Capital management

The Board of Director's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The Board monitors the return on capital and the level of dividends to ordinary shareholders.

Interest rate risk

Interest rate risk is the risk that future movements in market interest rates will affect the results of Group's operations and its cash flow because loan interest rates are mainly floating. The Group is primarily exposed to interest rate cash flow risk from its borrowings (see note 14).

The interest rates of interest-bearing liabilities as at 31 December and the periods in which the interest-bearing liabilities mature were as follows:

	Interest rates (%per annum)	Within 1 year	Consolidated financial statements		
			After 1 year but within 5 years (in million Baht)	After 5 years	Total
2018					
Current					
Short-term loans from financial institutions	1.98	200	-	-	200
Non-current					
Long-term loans from financial institutions	3.50-4.60	91	337	19	447
Finance lease liabilities	0.94-5.25	59	132	-	191
Total		350	469	19	838
2017					
Non-current					
Long-term loans from financial institutions	4.10-4.60	100	329	51	480
Debenture	4.50	150	-	-	150
Finance lease liabilities	1.69-5.25	52	108	-	160
Total		302	437	51	790

	Interest rates (% <i>per annum</i>)	Within 1 year	Separate financial statements		Total
			After 1 year but within 5 years (<i>in million Baht</i>)	After 5 years	
2018					
Current					
Short-term loans from financial institutions	1.98	200	-	-	200
Non-current					
Long-term loans from financial institutions	4.10-4.60	91	288	-	379
Finance lease liabilities	0.94-5.25	59	132	-	191
Total		350	420	-	770
2017					
Non-current					
Long-term loans from financial institutions	4.10-4.60	69	329	51	449
Debenture	4.50	150	-	-	150
Finance lease liabilities	1.69-5.25	52	108	-	160
Total		271	437	51	759

Foreign currency risk

The Group is exposed to foreign currency risk relating to periodically imports certain raw materials and machineries which are denominated in foreign currencies. The Group primarily utilised forward exchange contracts with maturities of less than one year to hedge such financial liabilities denominated in foreign currencies. The forward exchange contracts entered into at the reporting date also relate to anticipated purchasing machinery, denominated in foreign currencies, for the subsequent period.

At 31 December, the Group and the Company were exposed to foreign currency risk in respect of financial liabilities denominated in the following currencies:

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
<i>United States Dollars (USD)</i>				
Trade accounts payable	20,705	4,706	10,310	4,706
Other payables	7,007	754	7,007	754
	<u>27,712</u>	<u>5,460</u>	<u>17,317</u>	<u>5,460</u>
<i>Euro (EUR)</i>				
Other payables	1,389	156	1,389	156
<i>Chinese Yuan (CNY)</i>				
Other payables	10	-	10	-
Gross statement of financial position exposure	<u>29,111</u>	<u>5,616</u>	<u>18,716</u>	<u>5,616</u>
Currency forwards purchase				
United States Dollars (USD)	(11,942)	-	-	-
Net exposure	<u>17,169</u>	<u>5,616</u>	<u>18,716</u>	<u>5,616</u>

Credit risk

Credit risk is the potential financial loss resulting from the failure of a customer or a counterparty to settle its financial and contractual obligations to the Group as and when they fall due.

Management has a credit policy in place and the exposure to credit risk is monitored on an ongoing basis. Credit evaluations are performed on all customers requiring credit over a certain amount. At the reporting date, there were no significant concentrations of credit risk. The maximum exposure to credit risk is represented by the carrying amount of each financial asset in the statement of financial position. However, due to the large number of parties comprising the Group's customer base, management does not anticipate material losses from its debt collection.

Liquidity risk

The Group monitors its liquidity risk and maintains a level of cash and cash equivalents deemed adequate by management to finance the Group's operations and to mitigate the effects of fluctuations in cash flows.

Carrying amount and fair values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

Consolidated financial statements

	Carrying amount	Fair value			
		Level 1	Level 2	Level 3	Total
		(in thousand Baht)			
31 December 2018					
<i>Financial assets and financial liabilities measured at fair value</i>					
Investment units	870	-	870	-	870
Equity securities available for sale	1,020	1,020	-	-	1,020
Forward contracts	-	-	11,942	-	11,942

31 December 2017***Financial assets and financial liabilities measured at fair value***

Investment units	16,996	-	16,996	-	16,996
Debenture	150,000	-	150,392	-	150,392

Separate financial statements

	Carrying amount	Fair value			
		Level 1	Level 2	Level 3	Total
		(in thousand Baht)			
31 December 2018					
<i>Financial assets and financial liabilities measured at fair value</i>					
Investment units	194	-	194	-	194
Equity securities available for sale	1,020	1,020	-	-	1,020

31 December 2017***Financial assets and financial liabilities measured at fair value***

Investment units	4,461	-	4,461	-	4,461
Debenture	150,000	-	150,392	-	150,392

	Consolidated financial statements		Separate financial statements	
	Carrying amount	Fair value	Carrying amount	Fair value
	<i>(in thousand Baht)</i>			
31 December 2018				
<i>Financial assets and financial liabilities not measured at fair value</i>				
Long-term loans	446,500	447,620	379,500	379,500
31 December 2017				
<i>Financial assets and financial liabilities not measured at fair value</i>				
Long-term loans	479,790	479,790	449,340	449,340

The Group determines Level 2 fair value for investment units by reference to the value from Asset Management Company at the reporting date.

The Group determines Level 1 fair value for equity securities available for sale by reference to the closing price from Stock Exchange of Thailand at the reporting date.

The Group determines Level 2 fair value of debenture as at 31 December 2017, which have been determined based on quoted selling prices from the Thai Bond Market Association at the close of the business at the reporting date.

The Group determines Level 2 fair value of forward contracts by reference to the quoted selling prices of forward contracts at the reporting date.

Fair values of current financial assets and liabilities are taken to approximate the carrying amounts because the relatively short-term maturity of these financial instruments.

Fair value of long-term loans which bear interest at floating market rate is taken to approximate the carrying amounts.

Fair values of long-term loans which bear interest at fixed rate is evaluated by discounted cash flows valuation.

31 Agreements

Exclusive distribution license agreement

On 1 January 2014, the Company and two suppliers (altogether “Licensees”) and a customer (“Licensor”) entered into the memorandum of agreement, whereby the licensor permits the licensees to sell exclusively fountain products in the stores of the licensor. The memorandum of agreement affects all parties from 1 January 2014. In consideration thereof, the Company, as a licensee, has an obligation to pay the marketing support fee at rates based on the purchase quantity of the licensor, as stipulated in the memorandum of agreement.

Service agreement

On 19 December 2013, the Company entered into an agreement with a local company, whereby such company will provide services and support as necessary to assist the Company's production, distribution, marketing, promotion, and sales activities pertaining to the beverages, including maintaining the image of the Company's trademark. In consideration thereof, the Company agreed to pay the service fee in the amount as indicated in the agreement. The agreement period is five years commencing from 1 January 2014 and ending on 31 December 2018. Unless there is notification to terminate the agreement within three months before the expiry date, the agreement will be automatically renewed for successive periods of one year.

32 Commitments with non - related parties

	Consolidated financial statements		Separate financial statements	
	2018	2017	2018	2017
	<i>(in thousand Baht)</i>			
<i>Future minimum lease payments under non-cancellable operating leases</i>				
Within one year	16,003	16,731	16,003	16,731
After one year but within five years	7,854	19,149	7,854	19,149
Total	23,857	35,880	23,857	35,880
Commitment for machinery purchased	12,937	-	-	-
Commitment under land improvement agreements	-	1,177	-	1,177
Commitment for building system installment	454	-	454	-
Commitment for installation of information system	2,556	-	2,556	-
Commitment for accounting system improvement	-	28,495	-	28,495
Commitment for building improvement	621	32,874	-	32,874
Forward contracts	12,002	-	-	-

Operating lease commitments

- Lease agreements for restaurant business for a period of one year expiring in June 2019.
- Lease agreement for land and office building for a period of three years expiring in September 2020.
- Lease agreement for service of internet for periods from one to three years expiring in various periods up to in May 2020.
- Lease agreements covering vehicles for periods from four to five years expiring in various periods up to December 2020.

- Lease agreement for office equipment for a period of three years expiring in June 2020.

Forward contracts

As at 31 December 2018, the Group had outstanding balance of forward contracts for a period not exceeding one year as follows:

	Consolidated financial statements		Separate financial statements	
	Foreign amount	Equivalent to Baht (in thousand)	Foreign amount	Equivalent to Baht
United States Dollars (USD)	369	12,002	-	-
Total		12,002		-

Other commitments

Syrup supply agreement

On 22 December 2015, the Company entered into a syrup supply agreement with a company. Under the term of the agreement, the Company agrees to purchase for syrup supply during 2016 – 2020 at the quantities required by the Company and at the prices specified in the agreement. The agreement may be terminated by mutual agreement or by either party by giving to the other advance written notice not less than 30 days.

Sugar supply agreements

The Company has sugar supply agreements with many companies. Under the terms of the agreements, the Company agrees to purchase sugar at the quantities required by the Company and at the prices specified in the agreements. These agreements are effective for a period of 1 year from the commencement date and is renewable when expire as agreed by both parties.

33 Contingent liability

As at 31 December 2018, the Group was contingently liable for letters of guarantee issued by a local bank in favor of certain government agencies, state enterprises and companies totaling approximately Baht 21.5 million (2017: Baht 25.0 million), mainly in respect of the use of electricity and lease for restaurant business. These letters of guarantee are collateralised by the mortgage and pledge of a portion of the Group's land, buildings, machinery and equipment as discussed in note 14.

34 Thai Financial Reporting Standards (TFRS) not yet adopted

A number of new and revised TFRS which relevant to the Group's operations are expected to have significant impact on the consolidated and separate financial statements on the date of initial application. Those TFRS become effective for annual financial reporting periods beginning on or after 1 January of the following years.

TFRS	Topic	Effective
TFRS 7*	Financial Instruments: Disclosures	2020
TFRS 9*	Financial Instruments	2020
TFRS 15	Revenue from Contracts with Customers	2019
TAS 32*	Financial Instruments: Presentation	2020

* TFRS - Financial instruments standards

(a) TFRS 15 Revenue from Contracts with Customers

TFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognised. Revenue should be recognised when an entity transfers control over goods or services to a customer, measured at the amount to which the entity expects to be entitled.

The Group has made a preliminary assessment of the potential impact of adopting and initially applying TFRS 15 on the consolidated and separate financial statements and expects that there will be no material impact on the consolidated and separate financial statements in the period of initial application.

(b) TFRS - Financial instruments standards

These TFRS establish requirements related to definition, recognition, measurement, impairment and derecognition of financial assets and financial liabilities, including accounting for derivatives and hedge accounting.

Management is presently considering the potential impact of adopting and initially applying TFRS – Financial instruments standards on the consolidated and separate financial statements.

35 Reclassification of accounts

Certain accounts in the 2017 financial statement have been reclassified to conform to the presentation in the 2018 financial statements.

	2017					
	Consolidated financial statements			Separate financial statements		
	Before reclass.	Reclass.	After reclass. (in thousand Baht)	Before reclass.	Reclass.	After reclass.
<i>Statement of comprehensive income</i>						
Cost of sale of goods	3,836,241	(29,208)	3,807,033	4,005,901	(29,208)	3,976,693
Distribution costs	987,662	140,493	1,128,155	987,662	140,493	1,128,155
Administrative expenses	527,407	(111,285)	416,122	522,330	(111,285)	411,045
		<u>-</u>			<u>-</u>	

The reclassifications have been made because, in the opinion of management, the new classification is more appropriate to the Group's business.



Audit Fee of the Company and its subsidiary company

The appointed certified public accountant for HAAD THIP PUBLIC COMPANY LIMITED and its subsidiary of the year 2018 was Mr. Thanit Osathalert, certified public accountant register No. 5155 of KPMG Phoomchai Audit Ltd. The 2018 Auditor's Fee for the auditing services of the Company and its subsidiary are the amount of Baht 2,130,000, has increased by 11.52% compared to that of 2017, which can be summarized as follows:

(Unit: Baht)

Description	For the fiscal year ended 31 December		Increase (Decrease)	
	2018	2017	Amount	%
1. Audit Fee of the Company:				
Annual audit fee	1,150,000	1,040,000	110,000	10.58
Interim financial statements audit fee	270,000	270,000	-	-
Non- audit fee	-	-	-	-
Total	1,420,000	1,310,000	110,000	8.40
2. Audit Fee of the Subsidiary Company:				
Annual audit fee	455,000	380,000	75,000	19.74
Interim financial statements audit fee	75,000	60,000	15,000	25.00
Total	530,000	440,000	90,000	20.45
3. Non- audit fee (Subsidiary Company)				
Fee for BOI Promotion Certificates	180,000	160,000	20,000	12.50
Total	180,000	160,000	20,000	12.50
GRAND TOTAL	2,130,000	1,910,000	220,000	11.52



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